

Balaji Amines (BALAMINES)

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Call: May 2023

27th May , 2023

To,
The General Manager -Department of
Corporate Services,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.

The Manager -Listing Department,
National Stock Exchange of India Limited,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051.
Scrip Code: 530999 Scrip Code: BALAMINES

Dear Sir/Madam,

Sub.: Submission of Earnings Call Transcript under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the Transcript of the Investors/Analysts call held on Monday, 22nd May, 2023 to discuss the Q4FY23 Results of the Company .

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Balaji Amines Limited

Lakhan Dargad
Company Secretary & Compliance Officer

Encl: a/a

Page 1 of 19

"Balaji Amines Limited Q4 FY23 Earnings Conference
Call"

May 22, 2023

MANAGEMENT : MR. D RAM REDDY – MANAGING DIRECTOR , BALAJI
AMINES LIMITED

MODERATOR : MR. GAGAN DIXIT – ELARA SECURITIES PRIVATE LIMITED

Balaji Amines Limited
May 22, 2023

Page 2 of 19

Moderator : Ladies and gentlemen, good day and welcome to Q4 & FY23 Earnings Conference Call of Balaji Amines Limited hosted by Elara Securities Private Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now have the conference over to Mr. Gagan Dixit from Elara Securities Private Limited. Thank you and over to you sir.

Gagan Dixit : Thank you and a very good afternoon and a very warm welcome to everyone. It is our pleasure to be able to bring to you the management of Balaji Amines Limited led by Mr. D Ram Reddy, who is the Managing Director.

Before handing it over to the Management regarding today's call, following is the safe-harbor statement. This conference call may contain forward-looking statements about the Company, which are based on the beliefs, opinion and expectations as of today. Actual results may differ materially. These statements are not the guarantee of future performance and involve risk and uncertainties that is difficult to predict. A detailed safe-harbor statement is given on Page 2 of the Company's "Investor Presentations", which has been uploaded on the stock exchanges and Company's website as well.

I will now hand over the conference to the Balaji Amines Management. Over to you, sir.

D Ram Reddy : Thank you, Gagan a very good evening to all of you and welcome to the Conference Call to Discuss the "Financial Performance" of the Q4 and FY2023 and performance of the Company Balaji Amines Limited. I hope you have got the chance to go through the "Press Release and the Financial Statements" submitted to the Stock Exchanges and uploaded on our Website.

I would like to address the recent "Financial Results," which, although not as favorable as we had hoped, still demonstrate resilience and potential for future growth.

Despite facing headwinds in the Pharma API and Agro-industries globally, we have managed to deliver decent results. However, we experienced a fall in margins, primarily due to the de-growth in the Pharma API and Agro sectors. We believe that the performance of our Company will gradually improve in the coming months. We anticipate a return to growth and margin levels similar to those achieved before the onset of the COVID-19 pandemic. We are confident that this improvement is sustainable and can be achieved in due course. In the past years, we experienced exceptionally high realization for certain products driven by global circumstances that have since normalized. It is important to acknowledge the normalization and adjust our Balaji Amines Limited

May 22, 2023

Page 3 of 19

expectations accordingly. Our capital expenditures were planned based on normalized profitability, ensuring that our Company will not be adversely impacted by this change. We have taken a proactive approach to manage our investments and align them with realistic projections.

Now let me take you through the "Stand alone Financials and Operational Performance":

Our total revenue stood at Rs. 351 crores in Q4 FY 2023 as against Rs. 625 crores in the corresponding quarter of the previous year. EBITDA stood at Rs. 59 crores in Q4 FY2023 as compared to Rs. 131 crores in the same period last year with EBITDA margin at 17% in Q4 FY2023 as compared to 21% in the same period last year. Profit after tax stood at Rs. 38 crores in the current quarter under review, as against Rs. 82 crores in Q4 FY 2022.

PAT margin stood at 11% in Q4 FY2023 as against 13% in Q4 FY2022. Diluted EPS for Q4 FY2023 stood at Rs. 11.59 per equity

share as compared to Rs. 25.21 per equity share in Q4

FY2022. Sales volume stood at 2,158 metric tons for Q4 FY2023 as against 28,877 metric tons in Q4 FY2022.

Coming to our "Standalone Performance" for the Financial Year 2023:

Revenue from operations in FY2023 stood at Rs. 1,736 crores as compared to Rs. 1,939 crores in FY2022. The EBITDA stood at Rs. 339 crores in FY2023 as compared to Rs. 459 crores in FY2022. Our EBITDA margin was 20% in FY 2023. PAT for 2023 stood at Rs. 225 crores from Rs. 308 crores FY2022. The diluted EPS for FY 2023 stood at Rs. 70.18 as against Rs. 95.04 per equity share in FY2022.

I would like to add that currently we are a zero-debt Company on a standalone basis.

Now coming to the consolidated performance for the Financial Year 2023:

The revenue from operations for Financial Year 2023 stood at Rs. 2,370 crores as compared to Rs. 2,338 crores in FY 2022, a growth of 1.4%. EBITDA for the Financial Year 2023 stood at Rs. 624 crores as compared to Rs. 637 crores in FY2022. EBITDA margin for FY2023 was at 26% as against 27% in FY2022. PAT for the Financial Year 2023 stood at Rs. 406 crores as compared to Rs. 418 crores in FY2022.

Diluted EPS for the Financial Year 2023 stood at Rs. 100.47 as against Rs. 113.71 per equity share in financial year 2022. Total volume stood at 89,231 metric tons in FY2023 as against 98,179 metric tons in FY2022.

For Financial Year 2023, Amines volumes stood at 25,739 metric tons, Amines Derivatives volumes stood at 33,091 metric tons, Specialty Chemicals volumes stood at 51,628 metric tons.

Coming to consolidated performance of Q4 FY23, our total revenue stood at Rs. 477 crores in Balaji Amines Limited

May 22, 2023

Page 4 of 19

Q4 FY2023 as against Rs. 785 crores in the corresponding quarter of the previous year. EBITDA stood at Rs. 99 crores in Q4-2023 as compared to Rs. 201 crores in the same period last year. EBITDA margin was at 21% in Q4 FY2023 as compared to 26% in the same period last year. The fall in operating margin was primarily on account of de-growth in the Pharma and API sector.

Profit after tax stood at Rs. 55 crores in the current quarter under review as against Rs. 131 crores in Q4 FY2022. PAT margin stood at 12% in Q4 FY2023 as against 17% in Q4 FY2022.

Diluted EPS for Q4 FY2023 stood at Rs. 14.63 per equity share as compared to Rs. 33.56 per equity share in Q4 FY2022.

Sales volumes stood at 25,505 metric tons for Q4 FY2023 as against 33,780 metric tons in Q4 FY2022. For Q4 FY2023 Amines volumes stood at 6,659 metric tons. Amines Derivatives volumes stood at 8,607 metric tons; Specialty Chemicals stood at 11,239 metric tons.

Our subsidiary Company Balaji Specialty Chemicals Limited continued to witness substantial demand as well as robust price realization. We logged sales volumes of 4,916 metric tons in Q4 FY2023 at our subsidiary plant as against 4,903 metric tons in same quarter last year. We have recorded the capacity utilization of about 72% in FY2023 as against 56% in FY2022.

Accessibility for raw materials required for manufacturing products of the subsidiary plant continues to remain a major challenge. If the accessibility of raw materials improves, we anticipate a quick ramp up the production in subsequent quarters with strong underlying demand from end customers. Apart from the operational performance, I have several positive developments to share.

To continue independent representation and strengthen our board, we have recently inducted 4 distinguished individuals as new Board members. I am delighted to introduce Ms. Suhasini Yatin Shah and Dr. Uma Rajiv Pradhan, Mr. R Mohan Kumar and Mr. Adabala Sheshagiri Rao as the newest additions to the Board. Each of them comes from diverse backgrounds, bringing with them a wealth of knowledge and extensive experience. Their presence will undoubtedly

inject

velocity and rigor into our boardroom, enhancing our strategic business operations and providing valuable guidance to propel our Company to new heights. I welcome them all on our Board.

We have implemented certain changes in the re-designation of management roles to better align our focus and drive profitability and growth for both our parent and subsidiary companies. Mr. Hemant Reddy Gaddam has resigned as Whole-Time Director and CFO of the Company to focus on subsidiary Company Balaji Specialty Chemicals Limited. Mr. Anand Srinivas Reddy our Whole-Time Director will also take charge as CFO and Mr. Rajeshwar Reddy Nomula has been re-designated as Whole-Time Director.

CAPEX Updates:

Balaji Amines Limited

May 22, 2023

Page 5 of 19

Revenues from our newly commenced plants including DMC, Propylene glycol and Ethylamine will start contributing to our topline from the coming quarters. This influx of revenue has the potential to improve the margin profile of our Company starting from Q1 FY24.

Looking ahead, we have strategic CAPEX plans in place to fuel our future growth journey. We have initiated the CAPEX for setting up the following plants, which will significantly contribute to our expansion.

1. We are progressing swiftly with the expansion project of our N-Butylamines plant, which will have a capacity of 15,000 tons per annum and we expect the plant to be commissioned during the second half of Financial Year 2023-24.

2. The implementation work of our Methylamine plant with a capacity of 40,000 tons has already commenced. We anticipate that this project will be commissioned around March

2024.

In addition to these ongoing projects, we also have some exciting new projects in our pipeline. This includes the establishment of a Dimethyl ether plant, with a capacity of 100,000 tons per annum. The DME a new age gas, holds significant potential in various fields such as replacing LPG for fuel and aerosol usage. We are also exploring other applications and usages for replacing LPG, which will further enhance our market presence.

Furthermore, we plan to set up an Acetonitrile plant with a capacity of 50,000 tons with a new technology and a DMAHCL plant with a capacity of 12,000 tons and a DMF plant with a capacity of 30,000 tons. These projects demonstrate our commitment to expanding our product portfolio and catering to the evolving needs of our customers.

For our new Acetonitrile plant, we have an ambitious plan we will undertake production through a new upgraded technology which will provide us with a cost advantage. This advantage will enable us to withstand higher prices of Acetic acid and ultimately result in healthy operating margins.

Now we can open the floor for questions and answers. Thank you.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Sudarshan Padmanabhan from JM Financial PMS. Please go ahead.

Sudarshan Padmanabhan: Sir I have 3 questions. One is on the demand, on the APIs and the pharmaceutical side, the commentary has been mixed, I mean there are some companies which have been talking about coming out of the woods, but there are companies that are talking about the issues still persisting as far as competition is concerned and specifically on the Agro side as well, there are higher inventory as you walk into the ending of season. If you can elaborate a bit on how do you see

Balaji Amines Limited

May 22, 2023

Page 6 of 19

the demand scenario, say in the near term and on a longer term? And the second is on the raw material side, I understand that we have scaled a fair amount of sea-saw as far as raw material is concerned, but have we exhausted all the high-cost inventories? Where do we see this inventory levels rationalizing going forward? And my 3rd question is on your CAPEX spe

cifically on the

DME, the Dimethyl ether, if I am looking at how it has been implemented, you know in Indonesia they have talked about blending and eventually doing away with imports of LPG, how do you see this kind of rolling out as far as India is concerned? And your specific role in this?

D Ram Reddy: Thank you, Mr. Sudarshan. See, as far as the current situation about the API pharma and Agrochemical, you are right, the previous few months they were facing a lot of problems, but what we can see for the last few weeks and this quarter, there we have seen some improvements because earlier because of the high-cost raw materials and low demand in the world market, but we are seeing there is improvement and which may take another 1 or 2 quarters to go to the normal. But definitely it is starting from this quarter the improvements in the API market whereby our capacity utilization will improve. And second thing the raw materials, yes, you are right many of the raw materials were high peak in the earlier months like Ammonia went up to Rs. 90 to Rs. 100, which has come down to Rs. 48 to Rs. 50. We expect another Rs. 4, Rs. 5 to come down maybe Rs. 40 - Rs. 45 should be a realistic price for the Ammonia and Methanol also, in India, it is taking some time but if you see the outside country like China from the \$300 - \$320, today's price it has come down to somewhere \$255 to \$260 and we expect in turn to India also will come down to same levels maybe \$240 to \$250 levels which will give great oxygen for the Indian chemical industry in turn for the intermediate and also for the API Industries. And even acetic acid also, which has went up to Rs. 70, Rs. 80 has come down to below Rs. 40. We expect it should be somewhere Rs. 30, Rs. 35, but still it is Rs. 38, Rs. 39 and we expect this will come down in the coming 1 month, 1.5 month. All these prices will come down to the original expected levels original I can say to the pre-COVID levels.

Sudarshan Padmanabhan: It should dynamically inventory levels, right? Sir we should exhaust the high-cost inventory by the time in about 2 quarters.

D Ram Reddy: Yes, you are right, with everybody, but in our Company we have only one raw material which was having high inventory, but all others were going as per the consumption. We were travelling with the market very carefully because of the earlier experiences. Only one raw material that is for the NMP and which is going to be exhausted by first week of next month, there will not be any high-cost inventory, real time inventory should be there at the price point of view. And third you are asking about Dimethyl ether; this is really very exciting for us. We were in with the Government of India in correspondence with the NITI Aayog for the several months of course, we cannot touch the domestic market when we say the replacement for the LPG, but we are going for this aerosol market is big and other commercial market like using the fuel for the heating elements in industrial use and even commercial like hotels and all where this huge requirement is replacing the LPG. So, we have big hopes and this project we expect by the end

Balaji Amines Limited

May 22, 2023

Page 7 of 19

of this financial year we should be in a position to come to some final levels. We have the land; we got the environmental clearance and we just started the detailing and the equipment the ordering also started. Probably, you will hear in detail exact date for the next quarter we will give you exact commencement of this plant and other project like DMC which was earlier a DMC and Propylene glycol both were in the approvals and that has finished and really speaking in the last one month, we have seen good off take of these 2 products and we expect in the coming months these products will go in full swing, at least PG will go in full swing, DMC we are

looking part in the country and part outside country also, as we have taken the outside REACH registration, so we have given already couple of ISO Tanks to the various customers in the Europe and other areas. We expect that these products also will go in full swing.

Moderator: Thank you. The next question is from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: Very happy to see a series of new products being launched by the Company as you have always guided, sir my question is, so now first on the standalone side, we did around 90,000 tons for FY23 and now we have 1 lakh ton additional capacity going live over this year. So, this 90,000 tons should grow at what rate? And by FY 26, 3 years, what is your goal? What sort of volume are you looking at the standalone level?

D Ram Reddy: See, it should go more than 100,000 tons. Every year there should be a minimum 10% growth should be there without adding the new capacities and again, the new capacities you are well aware that in the initial first year specifically, if you remember, I am telling again and again when we introduce products first time in the country, it will take a lot of time. This you see, I think the last 6 - 7 months we have started the plant up for DMC and Propylene glycol, the real dispatches have taken place only last month and this month and we have exhausted stocks, we restarted the plant and here onwards I think we should be in a position to go 40% -50% level and by end of the year we should reach to more than 70% - 80% this plant. Another for DME, it will take time to introduce, to explain the people, the replacement when we talk about the new product, but over a period of time after 6 months or a year, you will see definitely good boom like all we have done, all our products we are experiencing same thing. Even in the subsidiary also we faced a lot of problem in the first 6 months, maybe one year also we face the problem for the approval to bring them back from their international contracts to the domestic just in time thing it took a lot of time. So, we expect in the coming years these existing will grow with the 8% to 10% of the volumes and new plants immediately starting it should go first year about to 30% - 40% and the next year onwards it should go to 70% to 80%.

Dhaval Shah: So, when you say new plants, so one is DMF, which is going to sum up 60,000, then you have Acetonitrile another 15,000 odd and then this N-Butylamine which is 15,000 and plus Methylamine.

Balaji Amines Limited

May 22, 2023

Page 8 of 19

D Ram Reddy: Mr. Dhaval, let me give you the sequence, first plant will come to N-Butylamine, which is in advanced stage. You will see by September, October you will see the plant will be commissioned and why we have taken this first because nobody is there in the country. We want to do that first because other products we have at least some capacities we are running, so that is the reason we have taken this into the front bench N-Butylamine and we have done the proper survey outside country also we are expecting good response. So, second is the Methylamine, why Methylamines, I will tell you because the DMF we are not in a position to run the existing plant in full capacity because DMA is becoming short many times. We are not in a position; we are just catering to the other customers DMA and the leftover we are trying to use for the DMF. So, when we want to operate both plants, we need to commission this. So, once we commission this, then both the plants will run in the proper way. This is the reason the second we come to Methylamine which is already in full swing, the civil works and other erections are going on. By March 2024, we expect this 40,000 tons will come in the line after N-Butylamines. Third plant, we see that DME may take the front bench because of this, first time we are

coming up

and there is a lot of exciting news we are seeing that replacement of the LPG. So, in the meantime we may get some other response from the NITI Aayog also. They have referred this to BIS in the storage point of view. Otherwise, we are open for selling these to aerosol and the commercial market. And after this then we are along with the DME parallelly the ACN plant will come, Acetonitrile with the new technology. And then we are talking about the DMF, DMAHCL both parallel after these 2 plants. Every year you will see these 2 plants, you will see coming up.

Dhaval Shah : So, this DME and Acetonitrile , earlier Acetonitrile was supposed to go live by September 2023. Now does that.

D Ram Reddy : That will go for the next year. These projects will go for the next year.

Dhaval Shah : So, 20,000

D Ram Reddy : Market scenario, you are well aware ACN is not doing very well as of now but since our technology is different, we believe that we should be in a better position when you compared to the existing technology, but still the other products are very exciting and which have well demand is the reason we have taken them in the front line.

Dhaval Shah : So, now sir considering all this new capacities , by when can we expect at the standalone level the Company to clock around roughly 18 0,000 like 190,000 tons, by when should we expect that numbers ?

D Ram Reddy : With my current run rate with the current situation and current speed, I think we should be going 2026 , we should be in a position to touch double the existing number .

Balaji Amines Limited

May 22, 2023

Page 9 of 19

Dhaval Shah : By 2026, and on the subsidiary side, anything would you like to share with regards to the IPO and the growth and how do you feel there the next 3 - 4 years?

D Ram Reddy : See, I cannot share the numbers because being this with the legal restrictions, but I can say that subsidiary has already applied for the new land for the new expansions, which is expected this month the new land about 100 acres , they applied to the government of Maharashtra, which is in very active stage . You will hear that in maybe 1 to 2 weeks times you will hear that and there I can only tell that they are looking for the new products again first time in the country, they recently acquired some new technology which is Sodium cyanide technology acquired probably on that line there are several products are there, which we are going to do in the coming years, that is what I can say.

Moderator: Thank you . The next question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat : Firstly, I wanted to talk about realization for your standalone business , if I see the realization we have seen as consecutive decline over the last 4 quarters , so one can you explain what is driving this moderation and realization ? And even from here on, do you expect further moderation given that your RM prices have also come down significantly ?

D Ram Reddy : Mr. Jaiveer, thank you for this question I think this is many people must be having in their mind. I just want to clarify if you remember my earlier interviews I was telling that last 4 quarters, everybody in the country like Chemical Intermediate and Specialty Chemical API Pharma, we enjoyed some bonus period , bonus in the sense pre-COVID suppose before COVID if you have done some EBITDAs 20% - 22%, during this period we have done 39 % - 40% EBIT DAs and we cannot take that as a standard . Every time I was telling the same thing. If you take now today 's results of our Company , I will just give the example suppose if you take 22 to 23 margins on standalone basis, I think 17 to 18% is there presently and if you take pre-COVID I am talking about 2019 -20 that time we have done the margins of 16 to 17% , means there is no major change if you take standard as pre -COVID. So,

in spite of all these hurdles , these results have done, we have done better. Even though our end users like Pharma API a de-growth almost people have done below 30 % below 40% they worked , but still we could do because of this product mix and all those things and I expect , as you rightly said, the many raw materials are coming to the normal stage like Methanol, Ammonia and Acetic acid, even Ethanol. So, we see that there should be gradual growth from this quarter onwards. In my knowledge it is applicable for all the industry, not only for the Balaji , so there should be between 5 to 7% margin improvement should be there from here onwards for year-on-year you can see the improvement in the margins.

Jaiveer Shekhawat : Sir, if I just compare your realization versus pre-COVID , I mean these are still at a significant premium , so one is it that a lot of Chinese imports have come into the market which is further pushing the prices ? And if you can just clarify on the point given that now you have seen a lot

Balaji Amines Limited

May 22, 2023

Page 10 of 19

of correction in Ammonia prices even Methanol , do you expect further realizations to go down from current level?

D Ram Reddy : Yes, but see the top lines, you can see the declining because the raw material prices will go down whereby your finished product also will go down , but I feel that the margin should improve because of the raw materials will come down whereby the correction will take place, the margins corrections will take place during this period. And as you said that China, yes, in our case we have only 1 or 2 products which are coming from the China otherwise 90% of our products we are not having any major threat 1 or 2, only 2 products I can say little threat but we have come

out of that . Earlier , we used to fight for the anti -dumping and all, but this time only one product we feel that we need some support which we are fighting with the government that is DMF and that also started improving again for this quarter onwards.

Jaiveer Shekhawat : Sir one question on your subsidiary as well , so you have mentioned in your commentary that you are seeing robust realization as well as demand for products of your subsidiary , but when we see the results of this subsidiary, I mean what appears to us is that there has been significant moderation in your realization and volume even during the quarter , so one thing your resolved this disconnect and secondly, if I just compare your performance with another let us say a competitor which is Diamines and Chemicals which have similar product portfolio, they seem to have done very well , so what explains this disconnect your comments here ?

D Ram Reddy : Yes, I will tell you what happened , there was some raw material problem during this period. We thought that we will catch 75 to 80% of the capacity , we could end at 70 to 73% because there was issue for the raw material in between for 4 - 5 weeks we could not get the raw material that is one thing. And the second thing, if you see the price point of view, I don't think we have done well in what we were telling that Rs. 180 crores or something we were telling that the PAT, I think we have touched that. I don't think that we have not done what we said , we said that we are having some products in the pipeline which has been delayed that new expense totally new with the existing plant what the guidance we have given we have achieved. And regarding the other, I cannot comment that I don't know what they are doing , if you go in detail numbering like tonnage, what tonnage because we are doing the manufacturing, you cannot compare the other Company , they are not manufacturing, they are doing the distillation . If you see exactly they are bringing the stream and they must be doing other products also, I do not know exactly , but this because we have done much better than you compare

to the exact manufacturers of this

product like if you take the BASF, Dow , all those people, they could not continue their manufacturing because of the raw material because of the gas for the many reasons specifically European companies and we have exported this product to China where there is a competitiveness. So, we expect in the going forward, as I said in the earlier answer for some Members question that they have acquired some new technology that Sodium cyanide and all , you will hear in coming months.

Balaji Amines Limited

May 22, 2023

Page 11 of 19

Moderator: Thank you. The next question is from the line of Anubhav Sahu from McPro Research . Please go ahead.

Anubhav Sahu : Sir, my first question is regarding the volume growth, but on an overall basis, we have a de-growth of 22% and particularly de-growth has been more for this Specialty Chemical, could you share which are the key products where you see some major challenge and if you could also talk about is it more because of as you mentioned in your opening comments in some of the products we are facing difficulty in getting the raw material. And also, is it more due to the un-market challenge?

D Ram Reddy : See Mr. Sahu, you are right that market situation was not good because end of the day, if my end users, my end customers are doing well, then I will be doing well , so if you see the Pharma API because our total basket more than 55 by 60% goes to the Pharma API only , so there they were having the de-growth where we could not do very well that if you ask about the specific products, there is one product that the DMF we could not do very well the other second product NMP, where we were having high cost inventory which we are going to finish this month and next month onwards you will not see the high cost inventories. And second thing as regarding the de-growth , when you said the Specialty Chemical , specialty products or you said about the subsidiary , I didn't understand. Amines Specialty products, if you say that they did the products like NMP as I said the margins have come down because of the high-cost raw materials because of the volatility in raw material which will be corrected in the next month onwards.

Anubhav Sahu : And regarding your specific comment regarding , I mean you are still finding some difficulty in getting raw material, is it something ..?

D Ram Reddy : Till last month now yes, like there are big companies like SABIC and there is one Company in Thailand GC Glycol , these big plants went for the shutdown , unexpected major shutdown whereby entire market was in the short supply. And now they have started , SABIC has started end of last month and this Thailand plant is coming up in the next month , so there should not be challenging for the going further. We have covered from the other markets . For these 2 months, we have sufficient raw materials further going also there should not be any problem.

Anubhav Sahu : And secondly, if I wanted to gaze your stance regarding sustainable operating margin, I am just trying to understand it like in your opening comments you mentioned that we would want to like to go back to margin which were prevailing in pre-COVID era, let us say probably it will be 18 to 20% I think when you mentioned 18 % - 20% I think are you mentioning it for standalone business or for the consolidated business?

D Ram Reddy : Consolidated will be 26 % to 27%, stand alone 22 %.
Balaji Amines Limited
May 22, 2023

Page 12 of 19

Anubhav Sahu : And so lastly , if you could share how much of these for the Balaji Specialty, how much of the sales is coming from EDA now? What is the product mix change in terms of revenue?

D Ram Reddy : The product is of suppose about 5 ,000 tons per quarter we are selling 4 ,000 tons about total sales if we do, I will give the exact numbers if you want, I can give you. For the

Q4 EDA we sold

about 4,000 tons. If you talk about the total year 2023 end, EDA sold about 17,600 tons , PIP sold about 1 ,300 to 1,400 tons. DETA is about 1 ,500 to 1,600 tons. Other product is 800 to 900 tons. So, all put together to 21 ,000 to 22,000 tons as against last year 17,000 tons , in spite of the raw material problem.

Moderator: Thank you. The next question is from the line of Chandrakant Dhanuka from CD Equisearch . Please go ahead.

Chandrakant Dhanuka : Sir, can you tell me any evidence of the pickup in Pharma industry in recent months?

D Ram Reddy : The evidence means my lifting of raw materials speed up is increased , from last 2 , 3 weeks we have seen there is an increase in the raw material take off from the customer point of view.

Projection is given by some of the customers .

Chandrakant Dhanuka : And my second question is like how is your DMF business faring currently?

D Ram Reddy : DMF now it is picking up , in between there was a problem because of the high cost of raw materials and the competition from the dumping from the outside. Now it is improved , so and in some cases what happened DMA when the market is full demand for the DMA and we were not getting that DMA we are not in a position to allocate the DMA for the DMA plant. There is a reason we are talking about the new plant, which is under construction, coming by end of this financial year.

Chandrakant Dhanuka : So, cannot we buy DMA from outside and produce DMF?

D Ram Reddy : No, in country, everybody is busy. There is no additional DMA, only DMF is coming from outside country but not DMA . DMA rather some quantities were exporting outside the country also. We are targeting outside also.

Chandrakant Dhanuka : Sir what is the current DMF price? Can you tell me?

D Ram Reddy : About Rs. 95.

Chandrakant Dhanuka : Sir my second question is how would you explain some 36% drop in receivables in fiscal year 23 at a time when your sale was almost flat?

D Ram Reddy : Drop in the receivables?

Balaji Amines Limited
May 22, 2023

Page 13 of 19

Chandrakant Dhanuka : Yes.

D Ram Reddy : That means sale is not increased, sale is lower and we had recovered faster from our customer .

Chandrakant Dhanuka : Sir why did it happen like that ?

D Ram Reddy : See, it might have because of the precautions taken by industry , entire industry was not getting good and we thought of the where we extended 120 days credit we might have reduced it to the 90 days we might have rejected some of the bad customers and that might have resulted to this.

And still if you want the detail, I will just check maybe if you can drop a mail, we would love to answer that in detail.

Moderator: Thank you. We have the next question from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj : On the board rejig, was it any regulatory requirement or was it voluntary given that a significant amount of board has been rejig at one go?

D Ram Reddy : Thank you , Nagraj and let me clarify. Actually, as per the SEBI guidelines, any Independent Director is there on the Board more than 10 years , they are not the Independent Directors , they can be treated as the Executive Directors. That is what they say that is the reason and in our case, what happened majority of the directors inducted in the similar period. One month here and there, everybody is finishing the 10 years and that has happened is the panic in this thing and there are 1 or 2 directors who are attaining more than 75 years age, that is also another reason we have requested and we have replaced all the Members, Independent Directors and since it has come at a time, people have taken as a in a different this thing actually there is nothing wrong in it. It is as per the SEBI guidelines.

Rohit Nagraj : Sir second question is there are multiple capacities which we are putting up across products and you indic

ated in your earlier remarks that probably in the first year of operation will go up to say 30 - 40% utilization, about 70% plus what gives us the confidence of lifting this material

and its products completely import substituted or on the downstream side, there are lot of customers who are putting up or expanding their capacities and that is why within couple of years it will go 70% plus kind ?

D Ram Reddy : I understood your question. See we have taken , why I am telling you where before setting up any plant you are well aware that we will do the perfect survey when we talk about the import substitute that Butyl amines is imported almost 7,000 to 8,000 tons per year in the country. And we checked outside country, my existing customer outside country also about 3,000 to 4,000 tons consumption is there. If I talk about 10,000 tons, I can go first year easily 7,000 to 8,000 tons and if I take the growth there will be 10 to 15% growth for these products and in next

Balaji Amines Limited

May 22, 2023

Page 14 of 19

coming 2 - 3 years, we will reach that what we are talking about 15,000 tons N-Butylamine. We have estimated next 4 - 5 years , we have estimated and we are investing the money this 15,000 tons. And our products also in the same way and second thing you said that a lot of companies under PLI scheme, if you go to their website, many companies put up their papers for the going for the expansions, many API Pharma industries because of the last 5 , 6 months de-growth, they are not talking, nobody is talking including no TV show, nobody is talking about the Pharma API, but if you go back years back and see their papers in the PLI scheme everybody is talking about the expansion. There are 500 companies that put up their papers. I don't know how many companies have got the approval for their PLI schemes, so there all these products these are all basic products for the any new molecule comes one or 2 products will go in that. So, that is the confidence what we can see, if not today then tomorrow, definitely all these products will go in full swing.

Rohit Nagraj : Just one clarification, any competitors globally are also expanding their capacities or they are relatively, kind of numb as of now and we are the ones who are in Asia or particularly in India are expanding capacities?

D Ram Reddy : Must be doing outside, but I do not have the exact numbers, but definitely there must be some expansion going in places and BASF has shut some of the plants in Europe and they are starting some of the plants in China and some of the plants in other locations, like many people are doing , it is not like that we are only doing in India but outside country also these expansions activity is taking place.

Moderator: Thank You. The next question is from the line of Jiten Parmar from Aurum Capital. Please go ahead.

Jiten Parmar : My question is on the capacity utilization , what was the capacity utilization for FY24?

D Ram Reddy : This is total number of plants ; different plants are there. You can say that all plants together it is somewhere 80 - 85%.

Jiten Parmar : So, our capacity is around 231,000, so what was your volume for the whole year?

D Ram Reddy : See 98,000 tons if you are taking which are under expansion like you see Dimethyl carbonate, Propylene glycol they have just started, you can't take them as a new capacities like other capacities we have shown 231,000 tons capacity , but if you talk about the Methylamine , the Methylamines 48,000 tons it has run 95%, but out of that , see 80% is used in the various products that cannot be counted as a separate capacity, right.

Jiten Parmar : And my second question is on what will be the CAPEX for FY 24 and FY25? And what will be the source for that?

Balaji Amines Limited

May 22, 2023

Page 15 of 19

D Ram Reddy : See for the current year as I am today happy to say that C

ompany is the zero debt and even we are not using the working capital where we are eligible for Rs. 200 crores to Rs. 300 crores working capital available . We are not using a single rupee for the working capital rather we are sitting on the cash which will be utilized for this new expansions and as per the current situation, current calculations we are going to do all expansions with the internal accruals and this year current financial we are expecting above Rs. 250 crores to Rs. 300 crores. If everything goes well, we will be spending Rs. 250 crores to Rs. 300 crores on these proposed expansions and the same thing in the next year also.

Jiten Parmar : And just my final question is what would be the outlook for FY24 from volume growth and from market ...?

D Ram Reddy : Volume growth, 10% volume growth we are looking until and unless some major thing comes or hurdle comes otherwise we will look its current situation , current projections we can go easily 10% volume growth.

Jiten Parmar : And margins, do you think we will improve from what we did?

D Ram Reddy : 5 to 7% margin should increase with current levels. There is a lot of changes. There is more than

10 - 15% gap has taken place when you compared to the earlier and current , so that gap will not going to improve immediately . As per my view this current year there should be 5 to 7% improvement should be there in the margins and same way in the next year and next year also it should be improved.

Jiten Parmar : Congratulations that you are doing all these capacity expansions using internal accruals , so that is very good.

Moderator: Thank you . The next question is from the line of Rajeev Rupani, an individual investor. Please go ahead.

Rajeev Rupani : Sir. I had a question on the subsidiary last time you had told that the current products, what we have in a subsidiary, so we can do expansion 15 to 20% by debottlenecking, so I would like an update on that and derivatives were planned on those because right now in the concall you have told that 4 - 5 new products are planned and for last time also you have told 2 - 3 years EDA capacity will double. So, can you please clarify?

D Ram Reddy : See Rajeev there are 3 things opportunity for them . Number one if the situation demands they can double the capacity because present capacity they have reached to 80 to 90%, the way the growth is taking place, the way the imports are happening. Still , this year we have seen 30,000 tons has come from outside. Earlier when we set up the plant , that time we say that imports are 30,000 tons. Today, total consumption has become more than 45,000, whereby we could cater

Balaji Amines Limited

May 22, 2023

Page 16 of 19

only 20,000 tons, still 50% of the products are coming from outside. If the situation demands like this in the coming months, maybe 2 - 3 months, they may take a call after doubling the capacity that is number one opportunity. Number 2 opportunity is the new products along with the derivatives the new products which I was spelling out the Sodium cyanide technologies, there are a number of products, I cannot disclose them because of some restrictions which you will hear, maybe not more than 1 - 2 months -time, you will hear everything. All these products will come into the place. We have already applied for the land probably next 1 - 2 weeks we will hear that land allotment from the government of Maharashtra that is one thing. Third thing we said that there is a debottlenecking , yes part of debottlenecking has already taken place and this we cannot take because lot of shutdown time is required because of the market situation, we cannot close the plant for more than we ekdays. We are just taking the shutdowns on installment . One month, 7 days do some work , run one month and then 7 days and do some work like that it may take another 3 - 4 months to hear about the debottl

lenecking capacities adding.

Rajeev Rupani : My next question on DMC , sir last time you had talked about 3 more carbonates plant and maybe and you had told something of blending in diesel of DMC and you had also said we may plan for a new 50,000 tons new plant for DMC , so could you update?

D Ram Reddy : Still I am telling my statement this was basing on the lithium battery manufacturers. There are 5 - 6 companies in the pipeline , everybody is talking past 5 - 6 years they are talking we are coming up until otherwise somebody kickstarts of manufacturing this we cannot take the decision on that additional 50,000 tons. All the 6 people are talking , every one month we are getting the calls from them for all these Dimethyl carbonate, methyl ethyl carbonate, Ethyl carbonate and even NMP also . These 4, 5 products one root is required NMP also. So, the most positive thing is in last 6 months we heard that lithium deposits in the various states. One is I think Srinagar and second thing is Rajasthan, I think these 2 states if they get this lithium, this is very positive for the country and whereby we have very positive thing if somebody starts, even a single Company starts is enough for me to go ahead. Recently we had a discussion with Amar a Raja, they were talking about big plans and the way we have the NMP they are talking about more than 10,000 tons in over a period of time they may consume. So, like that, if all the 5 - 6 companies comes , then we will have all these things. This is all subject to consumption otherwise DMC is not consumed in the other fields in big quantities. Second thing, this we said, but there was a lot of we tried with the authorities, there are a lot of restrictions for this being a subsidiary incentive by the Government of India , I don't think we should put our legs in that shoe . That is the reason we are just taking slow on that subject.

Rajeev Rupani : My last question was on an ACN , now, sir, we have existing 9,000 tons and we are putting 15,000 tons and , sir Alkyl Amines has already 30,000 -ton capacity and they have talked about in their recent con call that they will have an edge over us because of their experience in making this product for a longer period of time and their capital costs have been absorbed , so could you throw some light on this?

Balaji Amines Limited

May 22, 2023

Page 17 of 19

D Ram Reddy : If that is the case, my all Methyl , Ethyl everything is capital cost is absorbed , I am zero today,

but still I am fighting with them . It is not like that, Rajeev , I am telling means you if you think and if you evaluate last one year while we are waiting the existing plant were not running also. You just go to the market and the import price is Rs. 150 and the other cost price is also Rs. 150 only. We do not want to make losses , even that 9 ,000 plant also we are not running today because of the situation, until and unless I get edge on the technology. So, we are talking about the new technology whereby definitely we are sure that we have done the pilot plant now we are going for the main plant whereby you will see that maybe in the worlds 1 or 2 people must be using this technology, once we start that ..

Rajeev Rupani : My last question, all these new projects which you have announced Methylamine, DMA ACN, DMAHCL and DMF, so by when do these 5 is complete?

D Ram Reddy : I have told you N-Butylamine will start the second half of this year . Methylamine will finish by March 2024. Then next year we will have Dimethyl ether and ACN , both the project should come parallel , then next after next year DMF and DMAHCL should come. If in between something new products, exciting product comes and these products may take the backbench and that will come to the front bench like this. DME and N-Butylamine has taken the same place.

Moderator: Thank you . The next question is from the

line of Ranvir Singh from Nuvama . Please go ahead.

Ranvir Singh : I think most of questions have answered but just want clarity on EBITDA , you guided 22% on stand alone and 26% on consolidated for FY23.

D Ram Reddy: Yes

Ranvir Singh: And so I was little confused because in press release it was saying that we will have a pre - COVID level of EBITDA and that is what you are guiding , but after 3 facilities , 3 products are coming in Q1 FY24, 3 new plant that will join during the stream , so I thought that would have been margin side, we would have been shown EBITDA margin than what we achieved during pre-COVID , so is this because that Amine is in a you know their EBITDA would be lower than what we achieved in pre-COVID ?

D Ram Reddy : Not like that I am just telling you little conservative basis . This year you have seen standalone basis 19.55% and all the time I am talking is a 22% that means it, will add another 2% & 22% should be sustainable for the whatever the products we are making in the Amine standalone. And when we talk about the consolidated, definitely that Specialty Chemicals will have the different margins, totally different ball game . There definitely we will have more margin . That is the reason I am talking about 26% when you consolidate both 25 to 26%.

Balaji Amines Limited

May 22, 2023

Page 18 of 19

Ranvir Singh : And after Q 1, once that new project joins revenue stream, their scaling up will happen gradually, so what would be the capacity utilization roughly on a ballpark number by end of year? Just wanted to understand by how fast this can be ramped up.

D Ram Reddy : This N-Butylamine , I think by end of the year we should be in a position to operating at 40 to 50% level and next year we should ramp up to 70 to 75%.

Ranvir Singh : And secondly, just on Indian competitors now, I was talking about that Alkyl Amine s despite all these headwinds and challenges, they have been able to show sequential growth in revenue , so just I wanted to understand because our gap is you know it is a big gap if you see the kind of decline we saw in Q-on-Q. So, where was the disconnect ? What is the differentiating factor which is covered in ?

D Ram Reddy : We will have to see. I do not know what they are doing . What are the products , their mix, we have not gone in detail, but in our thing if you see the consolidated both , so you cannot separate this Company this is a part of the Balaji Amines subsidiary also. So, why cannot we talk on the consolidated numbers? So, we are doing much better with the consolidated basis.

Ranvir Singh : But otherwise in Ethylamine , have you been able to retain our market share or we see some challenges?

D Ram Reddy : Yes, we are selling you can ask in the market. The problem is you are just seeing only numbers. If you go to the market , then you will understand or if you visit the plant I request all the members whoever has asked questions, who are going to ask a question. I request members to visit the plant if you want any assistance, you can drop a mail to our CS and once you see the plants, the level of the technology , the scale of the operations, everything you will understand once you visit the plant. So, I wish all the members make one visit to the plant in the coming months. So, there you will get the better understanding?

Ranvir Singh : And one last one related to that rejig in directors and management, just I wanted to understand like in a CFO we have now Full-Time Director ?

D Ram Reddy : That also I will tell you before you ask ; what happened , see both the companies we are having common Board. All 5 Directors , 5 executives here, 5 executives there. So, now what we are doing because that Company is growing big way and this Company is also having various things , we just want to divide the responsibilities. This director is resigned here and going to take

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additional responsibility in Balaji Specialty and it has happened that he is holding that additional CFO portfolio that is the reason people are talking CFO, actually one director is resigning here and going to take care of additional responsibilities in the Balaji Specialty Chemicals. Here also I was there as a director, I have resigned from the subsidiary and I am going to give the full time Balaji Amines Limited
May 22, 2023

Page 19 of 19

for the Balaji Amines. So, we have just reorganized the total board to take the more responsibilities to run in the perfect level.

Ranvir Singh : Because I could not understand that the tenure of his appointment would be on 31st March FY26. So, I wanted to understand what is the remaining tenure? So, it was because that earlier CFO had the tenure up to that March '26 and so this was not related to the regulation

D Ram Reddy : Many companies you will see the CFO is a separate from the Director, here what happened is the director is holding the CFO post, that is the reason it has happened. The director is going to the other Company to take on the additional responsibilities and he is forced to leave this post also. Another Director is given additional charge of the CFO.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Gagan Dixit for closing comments. Over to you Sir.

Gagan Dixit : Thanks to all the participants and special thanks to the Balaji Amines management for sharing their views on the Company's 4th Quarter Fiscal Year 2023 Performance. We take this opportunity to thank Mr. Ram Reddy and his team once again. Any closing comments, Sir?

D Ram Reddy : Thank you. Mr. Gagan, I thank you all the stakeholders, and to all the shareholders, investors who are with us for the years. And once again, I request them if anybody is interested to visit us, they can visit and also I probably some of the people have missed the questions, they can send the mail to cs@balajiamines.com. We would love to answer all the queries anytime, any type of questions. Thank you once again. Thank you very much.

Moderator: Thank you very much sir. On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Sep 2023

15th September , 2023

To,
The General Manager -Department of
Corporate Services,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.

The Manager -Listing Department,
National Stock Exchange of India Limited,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051.
Scrip Code: 530999 Scrip Code: BALAMINES

Dear Sir/Madam,

Sub.: Submission of Earnings Call Transcript under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the Transcript of the Investors/Analysts call held on Friday, 8th September , 2023 to discuss the Q 1FY24 Financial Results of the Company .

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Balaji Amines Limited

Lakhan Dargad
Company Secretary & Compliance Officer

Encl: a/a

Page 1 of 16

"Balaji Amines Limited
Q1 FY '24 Earnings Conference Call"
September 08, 2023

MANAGEMENT : MR. D. RAM REDDY – MANAGING DIRECTOR – BALAJI
AMINES LIMITED

MODERATOR : MR. RANVIR SINGH – NUVAMA WEALTH AND
INVESTMENT LIMITED

Balaji Amines Limited
September 08, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Balaji Amines Limited Q1 FY24 Earnings Conference Call hosted by Nuvama Wealth and Investment Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star and then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ranvir Singh from Nuvama Wealth and Investment Limited. Thank you and over to you sir.

Ranvir Singh: Thank you and a very good afternoon and warm welcome to everyone. We have with us Mr. Ram Reddy, the Managing Director of Balaji Amines. Before handing it over to the management regarding today's call, I would like to read the safe harbor statement. Before this conference calls contain forward-looking statements about the company, which are based on belief, opinion and expectations as of today. Actual results may differ materially. These statements are not the guarantee of future performance and invoke risks and uncertainties that are difficult to predict. A detailed safe harbor statement is given on page 2 of the company's investor's presentation, which has been uploaded on the stock exchange and the company's website. I will now hand over the conference to Mr. Ram Reddy. Over to you, sir.

Ram Reddy: Thank you, Mr. Ranvir. A very good evening and extend a warm welcome on behalf of Balaji Amines Limited to all of the shareholders who have joined us for this conference call to discuss the financial performance of the Q1 FY24 and performance of the company. We appreciate your time and interest in our company's performance. Before we dive into the financial results, I would like to address a significant factor affecting the timely submission of our financial results for the quarter ended June 30, 2023. The delay is primarily due to our subsidiary Balaji Specialty Chemicals Limited proposing to undertake its initial public offering of equity shares which has been subsequently withdrawn.

The management team of Balaji Specialty Chemicals has been fully engaged in this process which has temporarily hampered their availability to complete the preparation of financial results required for the consolidation of our company's financial statements for the said period. We apologize for any inconvenience this may have caused. Moving on to the financial performance of Q1 FY24, I hope everyone had an opportunity to go through the financial results and investor presentation which have been uploaded on Stock Exchange and on our company's website.

During the first quarter of the year, our company encountered an unparalleled array of hurdles with the specialty chemical industry. These challenges were predominantly a consequence of the swift contraction in global demand. This has been further exacerbated by an oversupply situation in China stemming from sluggish domestic demand and slowdown in several developed markets due to stockpiling. These factors have impacted the offtake and sustenance of realization, especially in the specialty chemicals market. However, we firmly believe that this is a temporary setback and our long-term prospects remain robust.

Balaji Amines Limited
September 08, 2023

Our performance in Q1 aligns with the industry's subdued trends. We are dedicated to maintaining a customer-centric approach consistently delivering value. This commitment underscores our dedication to serving our customers' needs effectively. Our medium to long-term plans are progressing as intended. Our new projects are on track and we are diligently working towards their successful completion without incurring any debt. Our strategic focus

remains on identifying unique product opportunities, enhancing our product offerings and contributing to India's self-sufficiency objectives through the development of world class manufacturing facilities.

Our continued leadership in Amines and their derivatives within India has been the cornerstone of our success. Additionally, our comprehensive portfolio of specialty chemicals sets us apart from competitors and reinforces our position as a reliable and innovative industry player. In summary, while the challenges of the first quarter were notable, we remain optimistic about our long-term prospects. Our commitment to customer satisfaction, strategic initiatives, and our strong market position in key areas will continue to drive our success as we navigate through these challenging times.

Now let me take you through the consolidated financial and operational performance. Revenue from operations for Q1 FY24 stood at INR 469.32 crores as compared to INR 674.86 crores in Q1 FY23. Total volume stood at 26,820 metric tons for Q1 FY24 as against 27,358 metric tons

in Q1 FY23. EBITDA for Q1 FY24 was INR 103.69 crores as compared to INR 219.48 crores in Q1 FY23. EBITDA margin for Q1 FY24 stood at 22.09% as against 32.52% in Q1 FY23. PAT for Q1 FY24 was INR 67.68 crores as compared to INR 148.04 crores in Q1 FY23. Diluted EPS for Q1 FY24 stood at INR 16.28 per equity share as against INR 37.95 in Q1 FY23. For Q1 FY24, Amines volume stood at 6,757 metric tons, amines derivatives volume stood at 8,288 metric tons and specialty chemicals value stood at 11,775 metric tons. And on a standalone basis we are a zero debt company.

Looking ahead we have strategic capex plans in place to fuel our future growth journey. We have initiated the capex for setting up the following plants which will significantly contribute to our expansion. Number one, the N-Butylamine plant which will have a capacity of 15,000 tons per annum is progressing well and we anticipate commissioning the plant around December 2023. The Methyl amine plant with a capacity of 40,000 tons has initiated project implementation work. We expect this project to be commissioned around June 2024. In addition to these ongoing projects, we also have some exciting new projects in our pipeline.

This includes the establishment of dimethyl ether with a capacity of 100,000 tons per annum, a new age gas which has application in various fields such as replacement of LPG for fuel and aerosol usage, demand of which is being met by imported LPG currently. The company is working on various other applications and usage for replacing LPG. The project is likely to be commissioned by the end of financial year 2025 and DMAHCL plant with a capacity of 7500 tons is likely to be commissioned by the end of H2 FY 2024. These projects demonstrate our commitment to expanding our product portfolio and catering to the evolving needs of the customers.

Balaji Amines Limited
September 08, 2023

Page 4 of 16

Our unit 4 (currently executing phase 2 and 3 projects) is shaping up as a world class facility, set to begin phased production for the second half of FY 24 onwards. We are confident about stronger long term opportunities. We anticipate FY25 to be marked by growth and opportunities and improved market conditions.

The promising future is driven by India's potential on the global stage. We are well positioned to be a game changer and a performance leader as the market dynamic shifts. Our inherent strengths and competencies continue to guide us in navigating market complexities, propelling us towards greater excellence as a leader in Amines and Specialty Chemicals.

Now we can open the floor for question -and-answers. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session.

The first question

is from the line of Rajiv Rupani, an individual investor. Please go ahead.

Rajiv Rupani: Yes, good evening Mr. Reddy. Sir, when I had visited you for the factory plant visit on 30, June, so at that time you had informed us that the Methylamines new plant will be commissioned by March '24, the DME new plant will be commissioned by July '24, and the N-Butylamine will be commissioned in two months, three months by September. And in the presentation and the press release, there is an extension of date. So, is there a delay and why, sir?

Ram Reddy: There is a one month or two months delay because of some of the equipment's and on account of labour shortage. So now we have taken stock of the situation and given the exact likely dates.

Like before December, we'll be commissioning the N-Butylamine Plant. Maybe one or two months is delayed, what we say. And the same way methylamines will commence by June 2024.

And the DME will take further time that is by the end of the financial year 25. All are under construction. Both are under construction and under commissioning level, at the final stages.

Rajiv Rupani: Okay, sir. But DME is taking much more -longer time, like more than four months, five months' time period, more....

Ram Reddy: Rajiv, one -by-one we have to do it. One plant is commissioning now. Because there are some regulatory issues, some of the storages we need the government approval for filling the material in the storage like ammonia, like methylamines gas even for the DMA also, we have to take methanol permission. So, all the permission now, within the control, based on those dates, we have given these new dates.

Rajiv Rupani: Okay, sir. And one more thing, now last time, in this Unit 4, we were supposed to do expansion of DMF and ACN, which was put on hold. So, any update on that and have the prices of these products improved in the last two, three months?

Ram Reddy: DMF, I'll tell you, what is happening, DMF sometimes we are getting shortage of DMA. That's the reason, we have taken DMA first. And for the DMF, we still want to give some time for the market to absorb. With the latest development, we started exporting this product. We want to settle down to the full capacity of the present capacity then we will take. We have not scrapped that plant. It is still there but it has taken the back bench. And as regards your Acetonitrile, because of the market condition, prices have gone to below raw material cost.

Even today it is in the same situation. The reason we stopped manufacturing for the last 1.5 quarter, we are not producing. We have some stocks. We are just salvaging those stocks. So the moment it improves, because these, the products which are looking the brighter market we have taken to the front bench. The moment when we finish this then probably we may take that in addition to this, we have many other projects in the pipeline which we are going to declare in the subsequent time.

Rajiv Rupani: Okay, and my next question was on the EBITDA margins and top line. Sir, you had guided us earlier that once all this expansion is complete in two years, three years, our top line will be about INR4,000 crores. So, are you sticking to that? And once all these expansions are complete, in let's say, two years, three years, what will be our consolidated EBITDA margins?

Ram Reddy: See, as I said, it depends upon the raw material and finished product prices. All the prices have come down. That's the reason, it is difficult to say, I say that, as on the date, the prices, if you take the reference of those prices, yes, I'm still taking to the INR4,000 crores in the coming years. And EBITDA, as I said, it will be between 20% to 22% on a consolidated basis.

Rajiv Rupani: Okay, and my next question on Balaji S

pecialty. Now, since we have withdrawn the IPO, could you give us more information about, one, is the debottlenecking complete, number one. Number two, I believe we have the 100 acres for expansion. So what are the products planned in that 100 acres? And you had also talked about two years, three years, we'll double EDA productions, an update on that. And what's the EDA price right now?

Ram Reddy: See, debottlenecking, we are taking probably next week, we are going to take the equipment. One equipment has to come. Almost 90% of the equipment has reached to the plant. Only 10%, which we are expecting in one week. Once that comes, we are going to take the shutdown for the three weeks for a finishing this debottlenecking activity, where we are installing one or two additional columns, whereby you get the increase the capacity as well as the purity also will improve. That is number one.

Number two, I said that, two opportunities, either the new products or doubling the capacity. See, until otherwise this goes to the 100% capacity market, use the full support in the price point of view, we are not going to be double the capacity. However, the new products, like as I said, the land allotment actually we are going to receive today, final. We received a provisional letter, where we have paid 25% EMD and we are expecting the final letter today, as the units have completed two days back only.

Once that comes probably within seven days to eight days, we are going to submit the details to the environmental clearance for which the products like I will tell you few products, Hydrogen Cyanide, Sodium Cyanide, EDTA, EDTA 2Na, Sodium Cyanide, Dimethyl malonate, Diethyl malonate, Methyl Cyanoacetate, Triethyl orthoformate, Trimethyl orthoformate, These are the products actually, maybe one or two products somebody must be doing or maybe all the products will be first time in the country. Some of the products actually listed in the PLI scheme by the Government of India. So you will hear in coming quarters about the development of this or probably when you come after two quarters, you will see actual plants building at site.

Balaji Amines Limited
September 08, 2023

Rajiv Rupani: Okay. And this all will be through internal accruals at BSC, Balaji Specialty Limited...

Ram Reddy: Majority of the accruals, maybe we will be required some INR100 crores, INR200 crores if the projects are not delayed. If they are delayed, then we will be doing this from the internal accruals. If we are doing faster installations, probably we may ask to temporarily some banks, maybe INR100 crores, INR120 crores from the borrowings from the bank, maybe we may take help of the parent company.

Rajiv Rupani: Thank you. I'll get back in the queue.

Ram Reddy: Thank you.

Moderator: Thank you. We have the next question from the line of Kishan Gupta from CD EquiSearch Private Limited. Please go ahead.

Chandrakant: Sir, Chandrakant here. Sir, how has specialization in Amines helped the company move through in these tough times? Can you just say, like if there is any specialization regarding that?

Ram Reddy: Since we are there in the market, Amines market, more than 25 years, definitely our cost price is lower than anybody else. I can say probably in the world also, I can say, what we have seen.

We are in a position to export to various parts of the world. Unlike earlier days, today we are exporting Methylamine also to different-different parts of the world. In some of the places,

samples were approved.

Earlier we were not having the REACH registration for the Methylamine. Now we have taken the REACH registration for the Methylamine and started exporting also. So, because of our expertise for the past 15 years, 20 years, our consumption co-efficiencies are lower. That is the reason today, we are in a position

to stand in front of this tough competition.

Chandrakant: Okay, sir, yes, and then like despite talks of global demand contraction, how come the company has more or less maintained the volumes this quarter?

Ram Reddy: See volumes, I can say because of the basket, we have the various products. Mr. Gupta, if you see that we are going on adding the new capacities, in spite of the new capacities, we are not in a position to increase the volumes. Suppose if you see that everything goes well, then you will see that increased capacity will reflect on the total volumes. That you will see in the coming quarters.

As I said in my initial comments, we have not taken the current situation as a permanent thing.

We have not stopped our expansions. All the expansions, maybe one or two months here and there, are progressing as decided earlier. And because we believe that this is a temporary period, maybe one quarter, 1.5 quarter, maybe after one quarters or two quarters, we will see the demand for all these products. When you come back to the original stage, then we will definitely get the advantage of all these capacities created as of now.

Chandrakant: Okay, sir. Sir, has the company tried to benefit in any way from the sharp fall in raw material prices?

Balaji Amines Limited

September 08, 2023

Page 7 of 16

Ram Reddy: It is not like that. Because of the last 1.5 quarters -- one quarters to two quarters back, the inventory has given a very bad taste to all the industry including our company. That is the reason, we are going very optimistic inventories. The reason you will not get the neither the benefit nor the loss for the inventories. Right. It is very short. We will be having only 15 days, 20 days raw materials unlike earlier days. But definitely going forward, the prices have started increasing now, last two weeks, we are seeing the methanol prices have gone up, and the Methylamine price are likely to get the improvement for domestic and as well as outside the country also.

Chandrakant: Okay, sir. Thank you so much, sir.

Ram Reddy: You're welcome.

Moderator: Thank you. The next question is from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Rohit Sinha: Yes. Thank you for taking my question, sir. First question on our Acetonitrile plant, as you said that, costing is a little bit on the higher side right now so, we have stopped production. So just wanted to understand whether the demand still is there or demand has also taken a hit because of different factors and when we are seeing any kind of improvement in terms of starting this plant?

Ram Reddy: Thank you. See, demand is still there because of the import outside country. The acrylonitrile by-product is Acetonitrile from the outside country still coming into the country. That's the reason today we are not in a position, I think somebody has gone for the anti-dumping also, filed the case of the anti-dumping. If that comes then probably, we may think of restarting.

And as I said earlier, we have a plan of alternate technology, but we are still waiting whether that alternate technology also will give us the sustainability in front of these lower prices from outside country. And we are also waiting how long the people from the outside country will make the losses and dump in the country. That is also another big question. The moment the situation improves, the plant is there and we can start immediately.

Rohit Sinha: Okay. And secondly, as we largely focus on most of the, I would say, import substitution products, so our export earlier was not that significant. But looking at the current scenario in the market where I mean, Europe, most of the chemical companies are looking to shut down or maybe reduce their production levels. So how we are seeing the kind of opportunity building up for us in the export ma

rket and do we have that kind of plan for expanding sizes in our existing portfolio or producing any new product there, especially for the export market?

Ram Reddy: Definitely, we are trying to encash the China Plus opportunities. As I said for the earlier question, the products which we have never exported, we have taken the REACH registration, we started exporting. Like DMF, we used to shout every time in the domestic market itself. Now we started exporting the DMF outside country where there's an opportunity, where the people stopped buying from the China and some of the developed countries like USA.

We just started looking those markets and all other products, which we have not taken the REACH earlier, now we have taken the REACH registration. Probably in coming two quarters,

we will see the increments in the exports when you compare to the earlier quarters in addition to the new products.

Rohit Sinha: Okay, so roughly what is the export domestic mix right now for us and where we will be targeting down the line over the next one years, two years?

Ram Reddy: We are there 85%, 15%, if you see the stand-alone basis and in the days earlier year, we have done consolidated basis even 25%, 70% we also we have done because we cannot take that, that particular year was the different when you compare to the normal market situation. But going forward, our target is to take minimum 20%, 22% of the exports and balance 78% to 80% should be the domestic.

The reason why I am telling the 20% in our type of industry, if I do more than 15% to 18% exports, then I will get the natural hedge for the imports if any we import any of the raw material. So that is the reason we are targeting that minimum we should do it 20%, 22%. And we will achieve in coming two quarters, three quarters.

Rohit Sinha: Okay. Sir, one last question. Looking at our revenue profile from last five quarters, six quarters and I think from peak of March '22, the top line has come down consistently. So it was obviously the prices have corrected significantly in the recent times. Now as we are talking about the bottoming out of chemical prices, are we looking at, I mean, as the company, also we are looking at the same situation as this situations look to be in bottom side and no further downside maybe looking, and maybe at hereon we should be looking on a positive side on this?

Ram Reddy: Mr. Rohit, we don't see because in the '21-'22, the year was a special year, where some of the products which are sold at INR170, which were sold in those period at INR500. That was a special period, we cannot compare that. But yes, definitely the current situation has bottomed up. I don't think the prices will go further down. We see from here onwards, there should be some improvement and maybe in coming one quarters or two quarters, prices should be stable at normal level from these bottoms.

Rohit Sinha: Okay. So the margin profile should also I think...

Moderator: We request you to please re-join the question queue for follow-up questions. Thank you. We have the next question from the line of Aman Madrecha from Augmenta Asset Managers. Please go ahead.

Aman Madrecha: Yes, hi, sir. Thanks for the opportunity. Sir, could you throw some light on like how has been the DMF utilization over the last six months? And also, how has been the product doing, the new product doing, like the DMC and the Propylene Glycol? Are we able to produce this product on a full scale or are we still not able to find the right customer mix on this new product like the DMC and the Propylene Glycol?

Ram Reddy: See, DMF, yes, you are right. There were two types of problems we faced. One problem, sometimes prices. When there is a price, we were not having the sufficient DMA. These were the two types of the

problems we were facing. The reason we were operating at some 40%, 45% capacity levels. Once we commission these Methylamine plants, at least one problem will be

solved, that the shortage of the DMA will not be there, because the additional capacity of the DMA will be coming into the line.

And secondly, the other thing, because of the market pricing, we are targeting now the outside country, because the outside country prices we have seen the, better than the domestic. Actually dumping is happening in the country. Very unfortunate we are not getting government support for the antidumping.

So, the reason we just looking outside the country. Europe we started supplying, USA we will be supplying this quarter onwards and Saudi we exported few quantities. So, definitely in going forward we should see more than 60%, 70% capacity utilization for the DMF.

As regards DMC and propylene glycol, see DMC we were hoping that the lithium battery manufacturers will start at least 2 to 2.5 quarters back only they were supposed to start. But very unfortunately, no company has actual started up the batteries that is one. Second thing, the prices at China like other products for this product also, they have created huge capacities and they have -- actually they are selling in the losses. So, that's the reason we are in a position to cater whatever domestic availability we are giving around 25% to 30% capacity we are running and to increase this, to take it further, we have started, we've already taken the REACH registration for these products also. We started giving the -- see marketing outside country like Europe we

have given a couple of ISO tanks. The moment we get the full approvals, then probably the year also we will go to 50% to 60% in the coming quarters.

Aman Madrecha: And sir, on the, as you were mentioning that we'll be exporting, we are looking to export DMF post the commissioning of the DMA capacity, but over the past years we have been facing dumping from the countries like Saudi Arabia and all these countries only. So, where is the problem lies on one side we are facing the problem for the dumping from the Saudi Arabian countries and on the other side we are claiming that we will be able to export outside.

Ram Reddy: Actually, Saudi Arabian, they have -- they are dumping only in India. In their own country they are selling at much higher price that's the reason we targeted for information this month we sold two ISO tanks to Saudi Arabia at much higher price. So, now we just started going to the outside country where those people are having the good prices and dumping in our country.

We are also going outside only, at least to give them the competition so that they will understand that dumping outside, how it will affect everyone. So, USA also the same place. In USA they are having good prices, only in the domestic market it is very unfortunate for us, we are having both countries like Saudi Arabia and China is dumping below raw material prices.

Aman Madrecha: So sir, maybe we can say like INR100 to INR120 could be a viable price for exports for DMF?

Ram Reddy: Even INR90 viable, INR90, INR95 also we can sell because we get some additional export benefits for the duty free raw material. All these things will add even if we sell at INR90 INR95 also it will be viable for us. So, that is the reason we started going out.

Balaji Amines Limited

September 08, 2023

Page 10 of 16

Aman Madrecha: And sir, on the exports of the DMF, so like, do we have some visibility like by the end of FY '24 or early half of FY '25, we will be able to utilize the capacity to the tune of 60%, 70% on the DMF side?

Ram Reddy: Definitely. We are targeting 60, minimum 60% to 70%.

Aman Madrecha: And on the DMC and the propylene glycol side also we are targeting during the same time?

Ram Reddy: Yes, coming, I mean now we are at 20%, 25% level. We are targeting before end of this year we should minimum do 50% to 60% capacity of these two products. And other product like ethylamine, which was Greenfield project, which was first phase of these two products, so DMC and before starting this, we started that ethylamine that is doing more than 90% capacity.

Aman Madrecha: Okay. And sir, one more thing on this thing, like for example, as we've seen during the past, like DMF, we have introduced DMF, but we have struggled for commissioning that and currently as we have introduced DMC also, we are facing some issues. So, as we are coming up with a new product that is n-Butylamine, so we know that the domestic demand is around 8,000 metric tons and we are the only producers.

So, are we confident that as we start the plant and in a year or so we'll be able to utilize the plant, there won't be any issues of utilizing the n-Butylamine plants your thoughts on the same?

Ram Reddy: Yes, definitely. See, whenever we plan the plants, we will just look at the global capacities and also consider the domestic growth like today is 8,000 tons, maybe in coming two years it should become 12,000 to 13,000 tons and we are going by the capacity of 15,000 tons. And there will be some market outside country also maybe 2,000 to 3,000 tons and we cannot expect like what we are seeing in the DMC PG. Initially out of 15,000 tons, definitely we will sell 8,000 tons to 9,000 tons in the first year of operation. But going forward, we will definitely see in the coming one or two years. Whenever, as I said, we have to see the -- consider further 4 years, 5 years requirement of the various parts of the world, that's the reason we have taken 15,000 tons capacity. Going forward, we will see in the coming two years, it will go to the 100% capacity.

Aman Madrecha: Okay. Sir, my whole goal is to understand like for example...

Moderator: We request you to please rejoin the queue for follow-up questions.

Aman Madrecha: Yes, Yes, sure, sure.

Moderator: Thank you. We have the next question from the line of Richa Agrawal from Equitymaster. Please go ahead.

Richa Agrawal: Thank you for the opportunity, sir. I wanted to understand this demand and the oversupply situation a little bit better. So, what is your outlook, how much time do you think the situation is likely to persist await us and when you say that the perhaps worst is already here, the prices have bottomed out. What gives you that confidence, if you could just let us take us through the demand and supply situation and how it is impacting?

Balaji Amines Limited

September 08, 2023

Page 11 of 16

Ram Reddy: Richaji, you are right. We have seen all the bad time like prices lower and even the quantities

volumes also lower. Now the confidence why we are getting more is the quantities lifting improvement has already started. Only thing is price we are still because people are habituated to the lower price, you are well aware that from the lower price to higher price it will take longer time making higher price to lower, it will be done very faster.

So, when we see the higher quantities have started lifting, we see the coming at least one, two quarter, it should come to the normal level of the volume point of view. Even price point of view also it should come to the stable normal levels in the coming two quarters.

Richa Agrawal: Okay. And sir on the capacity expansions that you are doing, my understanding is that you know we were going from 231,000 to 346,000 MT kind of capacity. What will be the current capacity and utilization and of this how much is actually going to the end market and what kind of capacity or production is being used actively?

Y if you could talk a little bit about that?

Ram Reddy: See, Richaji, till now what has happened in the Methylamines, Ethylamines, we were utilizing more than 60% to 70% in-house only. That is the reason we were not in a position that is the reason we have gone for the expansion. One is Ethylamines we have done the bigger capacity even though we were having a small capacity and Methyl I also we are talking today additional 40,000 tons is the reason where we can sell some quantities in the market.

And today we have 231,000 tons capacity altogether like some of the products like NMP we have 33,000 tons where we are doing only 15,000, 16,000 tons and new capacities which we are talking 162,000 tons like including the Dimethyl Ether is 100,000 tons. I feel that this answer is for everybody who is listening to this. I feel, it is my personal view, the Dimethyl Ether should be big game changer for the company.

The reason is, if I calculate at least one district, two districts itself is more than 60,000, 70,000 consumption of the LPG is there. So, we are talking about the, if I take the, at one reason, at least western Maharashtra or part of the south market if I take this is not sufficient even 20%, 30% of their consumption. So, going forward, today we are running at some of the plants at 80, 90 and some of the plants at 30.

If you take the overall average is about 60% to 70% of the total installed capacity and next 162,000 tons which I was saying that total coming two years we go for the revenue point of view INR4,000 crores, while considering these capacities we were hoping that we will do minimum INR4,000 crores on the stable normal pricing levels.

Richa Agrawal: Right, so I mean two years kind of time period, I mean do you have that confidence that the situation will normalize or the pricing pressure, I mean they will improve, but still...

Ram Reddy: Definitely.

Richa Agrawal: And sir this product I think DME that you are talking about as a LPG substitute. So, from the end user point perspective, is it the shortage LPG or is it the pricing differential that will encourage them to shift from let's say LPG to this product, if you could talk about that?

Balaji Amines Limited

September 08, 2023

Page 12 of 16

Ram Reddy: Both are there, both are there. Actually, we were in touch with the government of India with the Niti Aayog for the past 1 and 1.5 year, we were corresponding with the government. Recently, that is about a month back, government has already initiated that in all respects, the LPG companies should mix 25% of this product into the LPG, which you will see in the coming two weeks, three weeks, we should see the order should come out. They have already given this instruction to the BIS, Bureau of Indian Standards to check the storages using like LPG storage, storages can be used for the DME and all.

In our point of view, we have seen in China, they are already using more than 300,000 tons 400,000 tons, they are using, they are mixing in the LPG. They are mixing more than 30% 40% in China. So definitely, we looking into all these situations, we see that there will be bright future for this product.

Richa Agrawal: Thank you and all the best.

Ram Reddy: You are welcome.

Moderator: Thank you. The next question is from the line of Harsh from Marcellus. Please go ahead.

Ram Reddy: Yes Mr. Harsh.

Moderator: Harsh, the line for you has been unmuted. You may proceed with your question. Harsh, if you're speaking, you are not audible. Ladies and gentlemen, as there is no response from the line of the current participant in the queue, we will move on to the next question, which will be from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Ram Reddy: Yes Mr. Jhaveri.

Darshil Jhaveri: Hello, hi. Good evening, sir. Thank you so much for taking my question

I hope I am audible.

Ram Reddy: Yes go ahead.

Darshil Jhaveri: So, sir, I just wanted to ask like as the previous participant, you said maybe around INR4,000 crores revenue we can do on stable raw material prices. But as a layman who's not in the industry, what part should we be able to track so that we know that the prices have started correcting or what do you see maybe coming quarters or somewhere like something that would be easier for us to be able to check upon or maybe what do you see that maybe the start of calendar year FY '24 things will become normal, so a bit color or flavor on along those lines?

Ram Reddy: Yes. Mr. Darshil you see may maybe by end of this current financial year, I mean, last quarter of the financial year, we are expecting the prices should go to the normal level. It may not go to the levels of 21 -22, because there was a special period, but normal level. For example, that product today we are talking, Ethylamine, last year it went up to INR500. Today it is INR160, INR170. I am talking about it should be somewhere INR200 to INR225 should be the normal level.

Same way with Methylamines on 100% basis earlier we sold up to INR150, INR200 also. But normal level we felt it should be somewhere INR100 which is today INR85 INR90. If this

Balaji Amines Limited

September 08, 2023

Page 13 of 16

situation takes, I am talking about only 15%, 20% improvement in the current prices. If that takes place, yes we are confident that with the additional capacities what we are creating and the old plants running at reasonably higher capacities, we should be definitely in a position to reach INR4,000 crores level of revenues in coming two years.

Darshil Jhaveri: So, that's very good to know, sir. And sir I also wanted to know any other risk that you see that maybe that can hamper us or is the worst behind us that like any other that we might not understand or something that you see that can also again put a speed bump and just want to know sir so maybe this year can we consider a bit flattish in terms of profits and next year we'll have a maybe non-linear growth in profit that can compensate for this year?

Ram Reddy: I think this two quarters, one quarter we got some better taste and this current quarter also may go little and next two quarters that is three and four quarters, if they do greater than the normal, then averaging about it should be flat, but not sluggish as you said. This is my personal view I'm telling you. And other thing like bottom prices, bottoming up which you are telling is what we have seen the totally bottom has already happened.

I do not think the countries like China will go further in losses and so some of the plants we have already seen who are doing lower prices in last three, four quarters, one or two plants already closed, like especially in the BDO 1,4 -Butanediol based products, they are already closed. So, like that, how long they will do once they come to the realization, once they come to the real thing in the market and other thing like U.S already stopped taking from the China that advantage as an alternate India will get. Looking into all these points, I feel it should be improved in coming two quarters.

Darshil Jhaveri: Sir, one last question if I may, sir.

Ram Reddy: Yes.

Darshil Jhaveri: So sir, with this FY '25, can we assume maybe we might be able to do INR3,000 crores revenue and then 4,000? The two-year plan target is about FY '26 or '25 I just wanted to clarify that, sir in normal case scenario?

Ram Reddy: Current year you should not consider, yes, you are right, that '25, that is 24 -25 you should touch plus or minus INR3,000 crores. Then 26 -27 we should be in a position to touch INR4,000 crores.

Darshil Jhaveri: Okay, okay. So, that helps me a lot. So, all the best, sir, and hope for great results. Thank you. Ram

Reddy: Thank you, Mr. Jhaveri.

Moderator: Thank you. We have the next question from the line of Harsh from Marcellus. Please go ahead.

Harsh: Yes. So, sir my question is basically we have been hearing for some time now that China is setting up some large capacities. So, I just want to know that are you hearing some large capacities will setup in our products methyl, ethyl, Acetonitrile?

Ram Reddy: Can you repeat your question I didn't understand.

Balaji Amines Limited

September 08, 2023

Page 14 of 16

Harsh: So, basically we have been hearing that China is setting up some large capacities which will be coming online sometime in late 2023 or in 2024. These capacities are across a whole bunch of products. So, just want to know from you that, are you hearing as well about some capacity which will come online in any of our products, that is methylamine, ethylamine, or Acetonitrile magnifier specialty chemicals?

Ram Reddy: Fortunately, I have not seen any new capacities coming in China for the methylamines and

ethylamines. Methylamines they are already in short of ethanol. They are depending on the USA, which has become a little tight. So, that's the reason I don't think ethylamines they will come. And methyl it is licensed in their country. If they want to export, they need to take the license from the government of China that is the reason many of the companies are not thinking of it.

If anything comes, maybe smaller capacities. But for the methylamines there is a entire world is open. So, I don't think that will impact at least for the methyl and ethylamines. Yes, like Acetonitrile if they go like go like this dumping it will definitely impact on the domestic companies for the acetonitrile, but not on the methyl and ethyl.

Harsh: Okay, and are you hearing any new capacity coming up for acetonitrile in China?

Ram Reddy: That also we have not seen, but existing they have huge capacities. Like acrylonitrile capacities are coming up, the existing acrylonitrile and acetonitrile as I said earlier, that new technology, yes there one plant is coming up with a new technology which we were declared that we will be coming up with a new technology. Similar technology I heard somebody is coming in China. If that comes into the pipeline probably that gives more tough competition for the Acetonitrile in domestic market.

Harsh: Okay, this helps sir. Thank you a lot.

Ram Reddy: Thank you.

Moderator: Thank you. The next question is from the line of Rajiv Rupani an Individual Investor. Please go ahead.

Rajiv Rupani: Yes sir, I had a follow up question on DMC. Sir, earlier you had talked about DMC blending in diesel. So, could you throw some light on that and also I'm reading about Amara Raja Batteries and Exide forming up plans for lithium-ion batteries. So, are we in talks with them and by when do you think they will start their plans?

Ram Reddy: We are very much in advance with both the companies. Discussed in one of the company we have sent the samples also, not only for the DMC. They may not use much of DMC, but they will be using more of NMP. We were discussing more on the N-Methyl-2-pyrrolidone and part of the DMC also. So, the moment they start, definitely we are first in touch with them for the raw material for both the companies.

Rajiv Rupani: And DMC blending in diesel?

Balaji Amines Limited

September 08, 2023

Page 15 of 16

Ram Reddy: Blending in diesel, yes we are still in corresponding with the government of India. We have done some trial with one of our vehicle with the Automotive Research Center in Pune that is in Innova we sent a vehicle and that has given good result. But still government has to give clearance for that. Before that they gave the more positive on this Dimethyl Et

her. So, that is

the reason we are working on the Dimethyl Ether, but DMC they are not full confident for the mixing in the diesel. In China, they are using in many places they are using it.

Rajiv Rupani: Okay that was helpful and DMC you had last time intimated that three more carbonate are planned and product is ready. So any update on that?

Ram Reddy: No, no, until otherwise this battery starts, battery manufacture starts, we are not going to touch that. We have the technology. Things are ready at the table. The moment they start manufacturing this lithium battery, I do not know how many people will start for the full up manufacturing, how many will go for the N minus 1. Many people will bring and assemble their manufacturers. We do not know 100% until otherwise they start buying from us. So, we will have to wait to kick start their manufacturing facilities.

Rajiv Rupani: Thank you.

Ram Reddy: Thank you Rajiv.

Moderator: Thank you. The next question is from the line of Aman Madrecha from Augmenta Asset Managers LLP. Please go ahead.

Aman Madrecha: Yes. Thank you for the opportunity again. Actually, I missed the first half of the call. So, could you please highlight why was the BSCL IPO called off?

Ram Reddy: See, that is taken by the Balaji Specialty Board because of the current market situation. The valuation expected valuation did not come and they were not having market was not favoured. So, that is the reason I think they have deferred it. Probably they will take the next course of action in coming quarters and which he will be informed.

Aman Madrecha: Okay. And also sir what has happened with the board now who is in Balaji Specialty Chemicals and who is in Balaji Amines?

Ram Reddy: You can see on the call on the website there, but still I can tell you that in Balaji Amines A Prathap Reddy is there, D Ram Reddy myself, A Srinivas Reddy and N Rajeshwar Reddy these four are the Executive Directors and same equally four Independent Directors like Dr. Suhasini Shah is there and Dr. Uma Pradhan is there and Mr. Adabala Seshagiri Rao is there and Mr. R

Mohan Kumar. These are the four Independent Directors and four Executive Directors in Balaji Amines Limited.

And Balaji Specialty Chemicals again Mr. Prathap Reddy is there and Mr. Rajeshwar Reddy is the Managing Director of the company and Mr. Hemant Reddy will be the Whole-Time Director for that company. And the Independent Director, one is Mr. Rajendra Tapadiya and the other again is Amarendra Reddy is there as an Independent director. Again Dr. Suhasini Shah is common in both the companies. She is the Independent Director.

Balaji Amines Limited

September 08, 2023

Page 16 of 16

Aman Madrecha: Okay, okay sir. That's all from my side. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take one last question from the line of Rohit Sinha from Sunidhi Securities. Please go ahead.

Ram Reddy: Yes, Mr. Rohit.

Rohit Sinha: Yes. Thank you for the follow up. Just one thing, we are also anticipating some recovery. And since we have, I think, close to 50% exposure towards...

Ram Reddy: Not clear, Mr. Rohit can you speak out clearly and loudly?

Rohit Sinha: So, as we are talking about some kind of, you could say, recovery from the second half and we have close to 50% exposure in pharma and roughly around 25%, 26% in the agro side. So, where initially you can say recoveries signs are visible as of now and where we should be keeping close eye on?

Ram Reddy: Yes. Thank you. See as I am telling you are also telling the same board that we have seen some improvements in the AP and pharma market where our exposure is more than 55% to 60% and agrochemical also as I said the improvement we have seen the quantities have started moving more than the earlier quarters. Only thing is prices, we will have to change the i

mproving the

margins and prices in the coming weeks and months.

Probably in four weeks, five weeks, we should be in a position to convince the customer end for bringing back to the normal levels prices as the raw materials also are going up. So, we look forward in coming two quarters, definitely by end of the year, we all should cheer up and talk about the improvement in the total market, raw materials and as well as finished products.

Rohit Sinha: Okay. Okay. That's it from my side. Thank you.

Moderator: Thank you. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Ram Reddy: Thank you very much. Thank you for taking all time and participating in our conference call.

The overall outlook for Indian pharmaceutical companies and agrochemicals is expected to improve further as companies in Western economies support the China plus One policy and the pharmaceutical and agrochemical industries account for the vast majority of our end user clients' needs for aliphatic amines and specialty chemicals. Given the strong correlation between demand for our products and demand for the products from our end-user industry. We anticipate a strong growth potential for our company in the coming years.

At the same time, we are constantly working to expand and diversify our products portfolio in order to address more segments of our end-user markets and thank you once again to all the shareholders, stakeholders who are showing confidence at our company, even at the bad times. So, you stood with us. I'm really thankful to you all. Thank you very much.

Moderator: Thank you. On behalf of Nuvama Wealth and Investment Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

20th Nov ember , 2023

To,
The General Manager -Department of
Corporate Services,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.

The Manager -Listing Department,
National Stock Exchange of India Limited,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051.
Scrip Code: 530999 Scrip Code: BALAMINES

Dear Sir/Madam,

Sub.: Submission of Earnings Call Transcript under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the Transcript of the Investors/Analysts call held on Friday, 10th Nov ember , 2023 to discuss the Q 2FY24 Financial Results of the Company .

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Balaji Amines Limited

Lakhan Dargad
Company Secretary & Compliance Officer

Encl .: a/a

Page 1 of 11

"Balaji Amines Limited
Q2 FY'24 Earnings Conference Call "
November 10, 2023

MANAGEMENT : MR. D. RAM REDDY – MANAGING DIRECTOR – BALAJI AMINES LIMITED

MODERATOR : MR. GAGAN DIXIT -- ELARA SECURITIES PRIVATE LIMITED

Balaji Amines Limited
November 10, 2023

Page 2 of 11

Moderator: Ladies and gentlemen, good day, and welcome to the Balaji Amines Q2 FY '24 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gagan Dixit from Elara Securities Private Limited. Thank you, and over to you, sir.

Gagan Dixit : Yes. Thank you. Very good evening, and warm welcome to everyone. It is our pleasure to be able to bring to you the management of Balaji Amines Limited led by Mr. D. Ram Reddy, who is Managing Director.

I will now hand over the conference to the Balaji Amines Management. Over to you, sir.

D. Ram Reddy: Thank you, Gagan. A very good evening and a warm welcome on behalf of Balaji Amines Limited to all of you who have joined us for this concall. Concall to discuss the financial performance of the Q2 and H1 financial 2024 and performance of the company. We appreciate your time and interest in our company's performance. I hope everyone had an opportunity to go through the financial results and investor presentation, which have been uploaded on stock exchange.

During the second quarter, we encountered a series of unprecedented challenges in the specialty chemical industry. This period was marked by unprecedented hurdles, impacting our revenue streams. Firstly, rapid and unexpected shifts in input costs significantly affected our earnings. We have worked diligently to manage these cost fluctuations to safeguard our financial performance. Additionally, a trend of destocking among global industry players, impacted our sales and the trend we have observed to some extent in the Q3 as well. The global pharmaceutical API and agrochemical industries also faced headwinds that affected our operations, creating a complex and challenging business environment.

Moreover, in our subsidiary company, we initiated a maintenance shutdown and debottlenecking process in our existing plants to enhance our product mix. The strategic move aims to improve realization, profitability and capacity utilization. While this initiative temporarily impacted our consolidated financial performance, we firmly believe it positions us for long-term success. However, we firmly believe that the present challenges represent a temporary hurdle that is poised to stabilize over the course of the next 2 quarters.

We have expressed confidence in our prospects for the medium to long term. Our ongoing projects are progressing as planned, and we continue to adhere to a debt-free approach. We are aiming to introduce distinctive products, enrich our product portfolio and establish state-of-the-art manufacturing facilities.

Maintaining our leadership in Amines and their derivatives within India has been fundamental to our success. Our extensive range of specialty chemicals continues to distinguish us from our competitors.

Balaji Amines Limited
November 10, 2023

Page 3 of 11

We are pleased to report that our Unit IV projects are on track and are expected to be commissioned as scheduled.

Now let me take you through the consolidated financial and operational performance. Revenue from operations for Q2 FY '24 stood at INR 387 crores as compared to INR 469 crores in Q1 FY '24. Total value stood at 27,613 MT for Q2 FY '24 as against 26,820 MT in Q1 FY '24. EBITDA for Q2 FY '24 was INR 61 crores as compared to INR 104 crores in Q1 FY '24. EBITDA margin for Q2 FY '24 stood at 16% as against 22% in Q1 FY '24. PAT for Q2 FY '24 was INR 36 crores as compared to INR 68 crores in Q1 FY '24. Diluted EPS for Q2 FY '24 stood

at INR 10.71 per equity share as against INR 16.28 in Q1 FY '24.

For Q2 FY '24, Amines volumes stood at 8,092 MT. Amines derivatives volumes stood at 10,236 MT and Specialty Chemical volumes stood at 9,285 MT.

On a stand-alone basis, we are a zero-debt company. Looking ahead, we have strategic capex and new proposed products, projects plants in place to fuel our future growth journey. We've initiated the capex for setting up the following plants, which will significantly contribute to expansion.

- 1) n-Butylamine : , the new expansion project work is progressing at brisk speed. The plant is expected to be commissioned during the fourth quarter of financial 2023 and '24.
- 2) Methylamine : The project implementation is progressing as planned. The project is likely to be commissioned around the second quarter of FY 2024 and '25.
- 3) Dimethyl ether : The project for manufacturing Dimethyl ether is initiated to be set up in Unit IV and the detailing and engineering is completed and the company has started civil

works. The plant is expected to be commissioned during the first half of the FY '24 and '25 (end of FY 2025) .

The company is proposing to take up the following projects at Unit IV.

- o N-Methyl Morpholine (NMM) - 3000 TPA

- o N-(n-butyl) Thiophosphoric triamide (NBPT) - 2500 TPA

- o Pharmapure Povidone (PVP K -30) - 4000 TPA All these products are first time in the country, and

- o The company is proposing to go for a solar power plant in Solapur, Maharashtra. And

- o The company has already initiated a solar power generation plant for captive consumption at Unit IV on all the sheds, buildings for about 1,600 KW, costing approximately INR 7.5 crores for the compliances of Netzero under ESG to reduce carbon footprint.

Looking forward, we hold a positive outlook for stronger, long term opportunities. We anticipate the fiscal year 2024 - '25 to be marked by growth and increased prospectus as market conditions improve. Our ongoing reliance on our inherent strengths and the competencies continues to guide us as we navigate market complexities and strive for greater excellence as a leader in Amines and Specialty Chemicals.

And I wish you happy Diwali to everyone. Now we can open the floor for question and answers.

Thank you.

Balaji Amines Limited

November 10, 2023

Page 4 of 11

Moderator: The first question is from the line of Jaiveer Shekhawat from A MBIT Capital.

Jaiveer Shekhawat : Sir, my first question is in relation to the challenges that you've addressed in the opening remarks. So I do pay attention to the fact that you're mentioning there have been some unprecedented challenges that you face in this quarter. But what I have seen over the last 6 to 7 quarters is there have been many challenges that have continued nonetheless, although there are different reasons every time for the decline in revenue or the margins.

And if I remember the guidance, 2 quarters back, I mean, there was margin improvement guidance of about 5% to 7% as well as improvement in the overall demand. Now while you are saying that you expect things to improve, say, 2 quarters out, but what sort of gives you that confidence? Because if I compare your guidance in the last 2 quarters, I think things have turned for worse versus what you were expecting. So your comments there.

D. Ram Reddy: See, looking into the market in that situation, we thought that things will improve. But what happened around the world, people have started destocking their high -value stocks looking into the market and the prices have come down and specifically in the API and agro chemical industry, they went back to worst situation that was the reason.

And second thing, some of the raw materials because of the volatility, it has impacted very badly.

And now the confidence why I'm telling you, we have seen that improvement, if you take the half yearly volumes, volumes have increased when you c

ompare to the last year and this year,

there is about more than 2,000 tons volumes have been improved. Looking into this, the destocking from the global market will complete .

And going forward, looking for the current months, what we have seen the -- some increase in the offtake from the customers. As I mentioned, this quarter -- majority of this quarter also will go like this. Further 2 quarters, we are expecting that there should be definitely improvement in the market.

Jaiveer Shekhawat : And sir, can you specify what kind of volume increase, as you were mentioning that you've seen on a Y -o-Y basis? And then given there has been an overall decline in revenues, was that largely due to realization pressures? And to what extent?

D. Ram Reddy: This is because of the realization pressure only because of the -- because if you see the Europe, many of the companies are doing below 50 %-40% level because we were doing almost 15 %-20% for the Europe. And our customers who are into the API market, they were also mostly depending on the outside country, which are not doing well. They are also all doing more than 30%-40% below the earlier quarters.

Jaiveer Shekhawat : And sir, lastly, on the Chinese competition, what I hear from your listed competitor is there has been a lot of Chinese competition that have entered into the Indian market, pushing prices further down for a lot of your key products. So what is your sense on the Chinese competition? And again, what does it take for the Chinese to get out of the market and for your realizations to bounce back?

Balaji Amines Limited

November 10, 2023

Page 5 of 11

D. Ram Reddy: For us, we have only 2 to 3 products with the Chinese competition. That is one is the EDA in Specialty Chemicals. And in Balaji Amines, we have 2, one is Morpholine and other is NMP. These are only 3 products we are facing the direct competition from the China. And that is also, as I said, destocking, they were having huge stocks, even I was discussing during the recent exhibition CPHI worldwide, which was held in Barcelona. We were discussing a couple of Chinese competitors and even European competitors. Everybody is having heavy stocks. They were not looking at the price. They wanted to encash their stocks. And they're making the huge losses. And they want to empty all the warehouses of the finished stocks. So that's what happened for the last 2 months. So I expect future that everybody can do their calculations and the things will improve. And there should be definitely positive -- how long they are going to make the losses. Because, one thing Mr. Shekhawat, raw material, there is no much change as we have gone to such a below level some 40% to 50% impact on the revenue and 30% of the margins is impacted. So I don't think that there is that much difference between China and India cost point of view. It is definitely the people are doing the losses. So nobody can do -- prolonging doing the continuous losses, right? That is the reason we expect that -- yes.

Jaiveer Shekhawat : Where you are facing more pressure across the segments? Is it more on the amines -- basic amines side, more on the derivatives or say the specialty side of the portfolio, that will be my last question.

D. Ram Reddy: Majority in the specialty. Actually, amines, we are not having that much. We are very strong on the Methylamines and Ethylamines. Those are the plants which have helped us -- showing some face today what we have -- whatever results we are showing because of the Methylamines and Ethylamines we are doing very well. And some of the Methylamines derivatives also helping us.

Only specialty like NMP, Morpholine, NEP, these are the products because there was some big volatility. Just we came out of the volatility that's the high cost inventories also finished just in this quarter only. If you see the inventory also, if you compare with the earlier

year quarter with

this quarter, I think it is very -- reasonably, very low inventories maintained in this quarter.

Moderator: The next question is from the line of Rajiv Rupani, an Individual Investor.

Rajiv Rupani : Sir, my first question is when the Concall was held on September 8 last time, so you have told us that Butylamine will be completed before December. And DME will be completed -- the plant will be completed by end of FY '25. And now in the press release, you have said that Butylamine will be completed in Q4, and DME will be completed in Q2. So DME, is it postponed and Butylamine is postponed, am I correct?

D. Ram Reddy: No, no, no. You are not seeing not read properly. See, December end, it will be commissioned, means fourth quarter, that is January to March, it will be working position, you will see for the Butylamine, that is number one. Number two, we never mentioned Di-methyl Ether that is you are talking about the methylamine, which is very well going to be second quarter of FY 24-25.

Rajiv Rupani : Okay. So now my next question is now in the press release, you have announced new product that is NMM, NBPT and PVP K-30. So my question is in Unit IV, we have 90 acres, out of Balaji Amines Limited
November 10, 2023

Page 6 of 11

which 30 acres is greenbelt. In 45 acres, we have methylamine, butylamine, DMC, PG, PC. In 15 acres, we had planned butylamine, DME, DMF and ACN. So with these new 3 products, is there space available for the DMF new 30,000 tons and ACN 15,000 tons? And what about DMAHCL?

D. Ram Reddy: DMAHCL is already there. And in the existing plant we have already done, we just not commissioned. -- 75% of the work is completed in this Unit III, which I told you earlier this thing also, 7,500 tons. And you are right, these are products identified for the next -- and then just one second, I want to clarify you. We are going to finish all these Butylamine, Methylamine, Dimethyl Ether, first. After finishing this, then you will hear definite dates of these other new identified products like N-Methylmorpholine, which is going to be used our own morpholine and our own MMA. We have just identified some new process, that is one thing.

And NBPT, which goes in the agro industry, nobody is making in the country. It is mostly outside countries, which is used in America to reduce the urea consumption for the certain crops. We've done a lot of R&D work on this -- If you see our environment clearance, we have taken environment clearance for this product about 1, 1.5 years back. More than 2 years back, we have taken. From that day onwards we are working on it. Now we have successfully completed. And after the Dimethyl ether, we are going to take.

As regard to space, we are just trying to squeeze out internally. And we are asking for the MIDC also if they can give some space. You are right that DMF, we have not taken as of now because the existing plant itself, we are not getting any support from the government. Other countries they are trying to dump. First we want to streamline the existing DMF plant for the 30,000 tons

in full swing. Then only we will talk. If required, we may ask the government for the additional land.

Rajiv Rupani : Okay. So as for currently if you want to put up a new DMF and ACN, so there is no space available?

D. Ram Reddy: ACN is in the existing plant -- listen, Unit IV, we are not doing any ACN, because ACN has been kept away because of the market condition, people are still using the Acrylonitrile based ACN. ACN market is not good. So that's the reason the new products are identified.

Rajiv Rupani : Okay, sir. And my question was on Balaji Specialty Chemicals. Now you have just said the debottlenecking is complete, okay? So...

D. Ram Reddy: Not complete, it is going on. Not completed, half of the work in this quarter we have done. In the third quarter also, some work is going on.

As of now, the plant is under maintenance -- not

only that -- there is a big column is under erection which will be completed by 15. Today is 11.

By 15 or 20, we are going to complete, then we will start the plant for the additional capacity.

And we are also, as I said, working on that conversion of EDA into Piperazine that work is also going on.

Rajiv Rupani : Okay. So now, so for that 100 acres, which we have got allotment and the last Concall you said, we've just received the papers and all. So any update on that? Have you received the environmental clearance for the same, for the new product?

Balaji Amines Limited

November 10, 2023

Page 7 of 11

D. Ram Reddy: I will tell. There, we have taken 27 acres of the private land and 68 acres of the government land. And on that, we have already submitted the papers for the 5 to 6 products to the environmental.

Maybe in the next 1 or 2 months, you will see. We have got the TOR already triggered and for the study, which may take 45 days to 60 days' time to get the environmental clearance. After that, you will see the land digging -- actual working on that. That project is there, that is called Balaji Specialty Chemicals, Unit II, we call it.

Rajiv Rupani : Okay. And in Balaji Specialty Unit I now after the debottlenecking, what will be the capacity utilization?

D. Ram Reddy: We will have to see, minimum 5% to 7% capacity increase in -- increase should be there. And more than that, we are going to get the value-added products. Like earlier, we used to get the AEP lesser quantity where the price is good and AEEA we are not getting the actual required purity. All those things will be attended by this debottlenecking and maintenance.

Rajiv Rupani : Okay. Sir, my next question was on Ethylamines. Now your competitor Alkyl has just commissioned a new 30,000 tons plant -- 30,000 to 35,000 tons, 100 tons per day. And our capacity is 22,500 tons. I think the domestic demand is about 40,000 tons. So what does this have the impact on the prices of Ethylamines and our capacity utilization?

D. Ram Reddy: Today, even today also, we have an advantage of the price advantage. There are 2 types of things. One is high claim that our cost of the production because of the new technology that I said earlier, we get the advantage. And second thing, the raw material availability for Ethylamines is around the Solapur, surrounding our plant only, that is ethanol.

These are the 2 plus points for us. I don't know you are telling that 30,000, but I've never seen this figure anywhere. They said that, they'll improve -- increase their capacity, but they never said that 100 tons per day, I don't know how far it is correct.

Rajiv Rupani: I have attended the Concall. That's why I told you. Anyways, my next question on DME. Sir, last time, you had talked about mixing of DME with LPG and we have submitted the papers to NITI Aayog. So any update on that?

D. Ram Reddy: We expect in the coming 1 or 2 months, there should be an official notification. The government has already returned to the BIS, Bureau Of Indian Standards to -- pick the capabilities up LPG tanks, existing tanks and mixing up the DME in the LPG, 30%, they said less than 20% to 30%, they are talking to -- they are going to follow. They're going to make the compulsory for all the oil companies also. It is too early to say, but we will hear in next 2 months. It is in the process.

Rajiv Rupani: My next question was on ACN. Have we applied for antidumping duty because the competitors said that they have not yet applied for the antidumping duty, they may apply.

D. Ram Reddy: We have not applied. If somebody is applying, then we may join them.

Rajiv Rupani: Okay. And my next question was on DMC. Sir, last time also I asked you about DMC plans for Exide and Amar Raja for setting up lithium and battery plants. So any update on that?

Balaji Amines Limited

November

10, 2023

Page 8 of 11

D. Ram Reddy: No, no, I cannot tell that because as we have signed the NDA with them. The moment we start that, you will hear that. We are already series of meeting -- doing on. Even today, we had a meeting with those lithium battery manufacturers. You will hear that.

Moderator: The next question is from the line of Varun Mishra, an Individual Investor.

Varun Mishra: My first question is, like, what are the domestic export mix right now for us? And like where will we be targeting down the line over the next 1 or 2 years, sir?

D. Ram Reddy: We are always trying to do more than 25% to 30%. Actually, 25 -- if I do the 25% that will give me the natural hedge for my imports if I do some imports also. That's the reason we are targeting in coming 1 or 2 years, we should do -- touch to 25% to 30%. Presently, we are doing 15% to 17% of the total products from the total turnover.

Varun Mishra: Sir, my next question is, like as you mentioned in the commentary that we have been facing headwinds in the pharma and agro industry. So can you throw some light like what are the issues? And then when can we expect this to settle down?

D. Ram Reddy: See, simply, they are not doing their capacities down many -- India and outside also, many people are going below 50% only. They are saying that they are not getting their prices worldwide countries where prices are not viable for them, that's the reason they have down the capacities. So whereby our products also consumption has come down.

Varun Mishra: Okay. So like when can they expect this to settle down, sir? Any approximate time?

D. Ram Reddy: Looking at the -- I can only assume. Like you, I'm also human only because if I say today, you will immediately ask me in the next concall you said like this. See, looking into the sense -- percent sense what we have seen, like last month, someone must have taken 150 tons. Now, he is talking about taking 200 tons. So, that gives me some indication that there is an improvement in the market. What we have seen in the current month and we expect at least a quarter though, half of the quarter has gone with the similar problems. Coming quarter, after this quarter, coming two quarters, we are expecting there should be improvement in the margin as well as total sales also.

Moderator: The next question is from the line of Darshan Shah, an Individual Investor.

Darshan Shah : So my first question was, are we facing any type of raw material supply issues?

D. Ram Reddy: Not really. There were some issue because for the Specialty Chemicals. You know that we consume one product, Monoethanolamine, which was basing on the Ethylene oxide and there was one big plant that is Dow plant in the USA because it has gone for the force majeure and about 2 to 3 months there was a, not real guided, but prices have shoot up. And that has been come down for the last week. We are seeing the -- easing of that raw material, prices should come down.

Other than that raw material, I don't see any problem in the availability of raw material. Unlike other countries, like ammonia still some of the countries are facing the problem who are

Balaji Amines Limited

November 10, 2023

Page 9 of 11

depending on the either Ukraine or Russia, since that is -- war is still continued. They are still facing the problems. Whereas in India, we never faced any problem of the shortage, but there was a -- prices have been increased because of the shortage outside country, which was temporary. And slowly, they are setting down to the normal level for the pricing point of view.

Darshan Shah : And do you expect this trend to continue in the upcoming quarters as well, for key raw materials as well as the other materials?

D. Ram Reddy: I don't think other than this quarter, this current quarter, which we are talking, today is November up to December, we feel that there may be some head

winds like these. But January onwards,

there should not any problem because why I'm telling you, I have not seen any problems in getting the raw materials and the prices are sitting down.

The only problem we are seeing from the end user side, they are not doing well. Their products are not moving properly. So those are only the problems, and they are not getting the prices where by -- they are not giving us the prices, that is that which is -- which may impact on the bottom line. But otherwise, we expect -- after this quarter, there should be some positive trend.

Darshan Shah : Yes, sir. So that is actually, you've answered part of my next question to -- because my question next leading into it was because even to the previous participant you mentioned that you expect better margins than at least sales going forward, not the immediate quarter, but some time down the line. So I just wanted to understand your sense of what do you feel the demand that the end market part, key end market agrochem, pharma. So what are the general overall views on demand side. How are they holding up?

D. Ram Reddy: I will tell you because people were having very heavy stocks. For example, China, they were having huge, huge stock I mean, minimum 3 months, 4 months, 5 months of -- their finished products are in the stock. They were simply dumping, destocking the thing, irrespective the

prices, which was happening last 1, 1.5 month. Entire world is witnessing that. So those things may not continue, which is giving me the confidence. That is how long they're going to do the losses. Once they finish this inventory, one will go back, work their calculations and do what is realistic and what is to be price -- realistic price. So that's the reason I'm saying going forward with price improvement and margin improvement should be there.

Darshan Shah: Yes I understand .Can you give an approximate sense in terms you know three quarters or two quarters, Can you just give us some timeline as to when you...

D. Ram Reddy: In my personal view, I can say after we finishing this quarter, within next 2 -- following 2 quarters, should we -- you should see the pre -COVID type of prices we should see.

Moderator: The next question is from the line of Rajiv Rupani, an Individual Investor.

Rajiv Rupani: Yes, sir, I had a question on DMF. So now we have the recertificate and we are exporting to Europe. Am I correct, sir?

D. Ram Reddy: Yes.

Balaji Amines Limited
November 10, 2023

Page 10 of 11

Rajiv Rupani: So the prices in Europe, are they better than in India?

D. Ram Reddy: It was there, I'll tell you, Rajiv. Without your 1 or 2 questions, the Concall will not complete. I'm happy that for your repeated questions and we get energy with your questions, right? See, DMF, what has happened, I just want to give in detail. Earlier, I thought that our country's consumption was 90,000 tonnes. So my 30,000 tonnes can be adjusted anywhere. That was our intention, that's the reason we are very comfortable, and we did not look seriously on the export market. Because in the total 90,000 tonnes, we can fit somewhere. But these people started dumping like anything. Like Saudi, I'll give you an example. In Saudi there's a consumption, one customer is there, they are selling at INR 170 – INR 160. And in India, they're selling at INR 70, INR 80. That has given us the reason for going for the reach registration and to scout outside the country. And last month, we have given in very Saudi Arabia, about 60, 70 tons, I have , exported to those Saudi Arabia, much better price.

Now it has become very alert for those people also. Those people who are selling outside country, high price and in India at lower price. Now they have to take a call. If they continue like this, we are also going to do the same thing, what they have done in our country. So that has given some sense to them.

Probably, either the price should be improved from their side or they should stop coming to here and they should go to where they have the good prices, right? We got the -- not only Europe and Saudi, we have exported a couple of ISO tanks to U.S.A. also this month. So slowly, slowly, it should be improved. We have taken like earlier, Morpholine also has been like this only.

Rajiv Rupani: So have we applied for antidumping duty in India for DMF ?

D. Ram Reddy: We've applied already . this Government is not supporting. I told you earlier also. We have done, everything has happened. Before -- coming out of the notification, this government has -- did not the backup, we blame -- the government only even today also. They showed that they went to the court against what we have done along with many other cases. So it is in the Delhi court almost 15, 20 companies are there in the Delhi court along with the DMF. There are 15 to 20 other products also are there. There's a good reason, good eligibility is there, but still they are not giving.

Rajiv Rupani: Okay. My last question was on like 2, 3 products. DMC, what are the current prices? And what is the capacity utilization?

D. Ram Reddy: See, DMC, we are doing some 30% to 40% capacity we are utilizing. And we were selling the DMC at INR 60 – INR 50 and this associate product DMC and Propylene Glycol will come together that we are selling at INR 120. This is INR 55 to INR 60. So the net realisation will come somewhere to INR 90.

Rajiv Rupani: And last question was on PC what is price and capacity utilization.

D. Ram Reddy: Can you repeat that?

Balaji Amines Limited
November 10, 2023

Page 11 of 11

Rajiv Rupani: The last question on PC, price and capacity utilization.

D. Ram Reddy: Which price you are telling?

Rajiv Rupani: PC, PC...

D. Ram Reddy: We are not doing anything. Actually, this goes exclusively only for the lithium battery. Nobody has started, I think we have not sold anything. We have made very small quantity & we have

just kept aside. The moment this battery activity starts, probably that will move.

Moderator: Ladies and gentlemen, that is the last question. I now hand the conference over to the management for the closing comments.

D. Ram Reddy: Thank you. I would like to thank you, everyone, for taking the time out and joining on the call today. I hope we have been able to respond to your queries adequately. We look forward to your continued support as we navigate the journey ahead. If you have any further queries, you may reach out to our Investor Relations partner, Orient Capital. And also, you can reach to our Company Secretary.

Thank you very much and wishing you and your loved ones, a joyful and prosperous Diwali, in advance. And thank you once again for the continuous being with us as the investor for showing the confidence on the company. Thank you very much. Thank you, once again.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Elara Securities Private Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2024

16th May , 2024

To,

The General Manager -Department of
Corporate Services,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.

The Manager -Listing Department,
National Stock Exchange of India Limited,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051.
Scrip Code: 530999 Scrip Code: BALAMINES

Dear Sir/Madam,

Sub.: Submission of Earnings Call Transcript under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of Q4FY2024 Earnings Conference Call held on Friday, 10th May , 2024.

The transcript of the said Earnings Call is also available on the website of the Company at <https://www.balajiamines.com/investor-relations.php>.

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Balaji Amines Limited

Lakhan Dargad
Company Secretary & Compliance Officer

Encl.: a/a

Page 1 of 14

"Balaji Amines Limited Q4FY24 Earnings
Conference Call"

May 10 , 2024

MANAGEMENT : MR. D RAM REDDY – MANAGING DIRECTOR , BALAJI AMINES LIMITED

MODERATOR : MR. GAGAN DIXIT – ELARA SECURITIES PRIVATE LIMITED

Balaji Amines Limited
May 10 , 2024

Page 2 of 14

Moderator : Ladies and gentlemen, good day, and welcome to Balaji Amines Limited Q4 FY '24 Earnings Conference Call hosted by Elara Securities Private Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gagan Dixit from Elara Securities Private Limited. Thank you, and over to you, sir.

Gagan Dixit : Yes. Thank you. A very warm welcome to everyone to discuss Balaji Amines Q4 FY '24 results. It is our pleasure to be able to bring to you the management of Balaji Amines Limited led by Mr. D Ram Reddy, who is the Managing Director. We would also like this opportunity to congratulate the management on its excellent set of numbers. With these words, I would now hand over the conference to the Balaji Amines Management . Over to you, sir.

D Ram Reddy: Thank you, Gagan. A very good evening and a warm welcome on behalf of Balaji Amines Limited to all of you who have joined us for this Con Call to discuss the Operating and Financial Performance for the Quarter and Financial Year ended FY '24. We appreciate your time and interest in our Company 's performance. I hope everyone had an opportunity to go through the Financial Results and Investor Presentation , which have been uploaded on stock exchanges. We are pleased to announce that our performance in the 4th Quarter points towards a positive trajectory. We have managed to report a resilient performance in Q4 FY '24. Our top line has strengthened compared to the previous quarter with higher volume uptake, leading to improved margins driven by stabilized input costs on both raw materials and utility fronts and setting industry scenario. The rebound in domestic demand coupled with encouraging international market trends is contributing to this momentum and enhancing our margins. Recent developments include the successful commencement of n -butylamine s production at Unit IV boosting an annual installed capacity of 15,000 metric tons. Furthermore, Unit I and Unit III have received BIS certification for morpholine, enhancing our product quality standards. Both methylamine and dimethyl ether projects are progressing well, showcasing our commitment to operational excellence. We remain committed to our debt -free strategy, which continues to serve as a significant advantage for us by providing financial stability, enhanced credit worthiness and into profitability. Our goal is to bring innovative products to market and enhance our product range and develop advanced manufacturing facilities to differentiate ourselves from competitors and capture market share.

Balaji Amines Limited
May 10 , 2024

Page 3 of 14

Sustaining our leadership position in amines and their derivatives within the Indian market has been integral to our achievements. The broad assortment of specialty chemicals we offer, remains a key differentiator setting us apart from competitors. We foresee the fiscal year 2024 - '25 as a period of growth and improved market conditions, guiding us to maintain our leadership in Amines and Specialty Chemicals.

Now let me take you through the Consolidated Financial Operational Performance :
Revenue from operations for Q4 FY '24 stood at INR 423 crores as compared to INR 392 crores in Q3 FY '24. Total value stood at 27,984 metric tons for Q4 FY '24 as against 26,903 metric tons in Q3 FY '24. EBITDA for Q4 FY '24 was INR 106 crores as compared to INR 83 crores in Q3 FY '24. EBITDA margin for Q4 FY '24 stood at 25% as against 21% in Q3 FY '24. PAT for Q4 FY '24 was INR 72 crores as compared to INR 56 crores in Q3 FY '24. Dilute

d EPS for

Q4 FY '24 stood at INR 21 per equity share as against INR 15.24 in Q3 FY '24. For Q4 FY '24, Amines volumes stood at 8,910 metric tons. Amines derivatives volumes stood at 9,676 metric tons and Specialty Chemical volumes stood at 9,398 metric tons.

On a standalone basis, we are a zero-debt Company. Revenue from operations Q4 FY '24 stood at INR 373 crores as compared to INR 314 crores in Q3 FY '24. EBITDA for Q4 FY '24 was INR 95 crores as compared to INR 64 crores in Q3 FY '24. EBITDA margin for Q4 FY '24 stood at 25% as against 20% in Q3 FY '24. PAT for Q4 FY '24 was INR 63 crores as compared to INR 42 crores in Q3 FY '24. Diluted EPS for Q4 FY '24 stood at INR 19.32 per equity share as against INR 12.82 in Q3 FY '24.

Coming to our Standalone Performance for the Financial Year 2024 :

Revenue from operations in FY 2024 stood at Rs. 1,359 crores as compared to Rs. 1,736 crores in FY 2023. The EBITDA stood at Rs. 267 crores in FY 2024 as compared to Rs. 339 crores in FY 2023. Our EBITDA margin was 20% in FY 2024. PAT for 2024 stood at Rs. 171 crores from Rs. 228 crores FY 2023. The diluted EPS for FY 2024 stood at Rs. 52.87 as against Rs. 70.18 per equity share in FY 2023.

Now coming to the Consolidated Performance for the Financial Year 2024:

The revenue from operations for Financial Year 2024 stood at Rs. 1,671 crores as against compared to Rs. 2,371 crores in FY 2023. EBITDA for the Financial Year 2024 stood at Rs. 353 crores as compared to Rs. 624 crores in FY 2023. EBITDA margin for FY 2024 was at 21% as against 26% in FY 2023. PAT for the Financial Year 2024 stood at Rs. 232 crores as compared to Rs. 406 crores in the FY 2023.

Update on new projects and new proposed products :

Balaji Amines Limited

May 10, 2024

Page 4 of 14

Looking ahead, we have strategic CAPEX and new proposed products, projects, plans in place to fuel our future growth journey. We have initiated the CAPEX for setting up the following plants, which will significantly contribute to expansion. Methylamines, the project implementation is progressing as planned. The project is likely to be commissioned around the end of December 2024. Electronic grade DMC. Electronic grade DMC plant set to commission in FY '24-'25 holds promising prospectus in India EV battery market due to its exclusive production status and a robust installed capacity of 15,000 MT per annum.

Dimethyl ether. At Unit IV, we are currently working on a DME manufacturing project set to be launched by March 2025 along with being a substitute of LPG, DME is used in Aerosols plus Bureau of Indian Standards is eyeing a 20% DME blend with LPG recognizing its benefits. The Company has proposed to set up the following projects. Number one, N-Methyl Morpholine Company, 3,000 tons per annum; and N-(n-butyl) Thiophosphoric Triamide, which is called NBPT, 2,500 tons per annum. Isopropylamine, the Company has proposed to manufacture Isopropylamine, Mono and Di, in the existing plant of Ethylamine at Unit I by modifying the existing Ethylamine plant, which is not in operations as we have set up a new and high output plant for manufacturing of Ethylamines at Unit IV.

Hotel business. With the demand soaring and current occupancy at 85% to 90%, we have decided to add 40 rooms towards the south side of our existing structure building, which should cost us around Rs. 30 crores to Rs. 35 crores providing to meet growing accommodation to maintain strong revenue streams.

We are moving quickly with our plans for a new 20-megawatt solar power plant with MIDC, Solapur, Maharashtra. Phase 1 involves setting up an 8-megawatt capacity expecting to be operational by December 2024. We are also sorting our paperwork for net metering and land conversion to non-agriculture use.

Our steadfast reliance on our core strengths and competencies remains the cornerstone of our strategy, as we explore the integral landscape

of the market. These inherent strengths not only

serve as our guiding light, but also propel us towards achieving greater excellence in our role as a front runner in the amines and specialty chemical sector. Looking ahead, we are optimistic about the fiscal year 2024-'25, anticipating a period marked by significant growth and favorable market conditions. We foresee promising opportunities on the horizon and we are well positioned to capitalize on them. With our strategic initiatives and robust foundation in place, we are confident in our ability to navigate any challenges that may arise and drive sustained growth in the upcoming year.

Now we can open the floor for questions and answers. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Nirav Jimudia from Anvil Research.

Balaji Amines Limited

May 10, 2024

Nirav Jimudia : Good Afternoon Sir. Thanks for the opportunity. I have 2, 3 questions. Sir, one is on a standalone basis, if we compare our volumes this year for the Specialty Chemicals, they are close to around 27,600. When we look at FY '22, these volumes were around 36,000 tons. So, in between these 2, 3 years, our volumes have fallen. So, which of the products would have contributed to this fall in the volumes between these 2, 3 years?

D Ram Reddy: I think you are getting confused. One is standalone, one is consolidated.

Nirav Jimudia : I have excluded the consolidated numbers ...

D Ram Reddy: That 36,000 tons you are talking probably it may be consolidated.

Nirav Jimudia : No, no, sir. What I have done is I have excluded the numbers of our subsidiary out of the Specialty Chemicals. So, the rest of the volumes, I presume, would be for the standalone business. That bifurcation happens in...

D Ram Reddy: There may be 1 or 2 quarters, 1 or 2 products, maybe like that. But the way you are talking that 26 versus

Nirav Jimudia : No, sir, 36,000 versus 28,000 tons.

D Ram Reddy: Anyway, see, one product that is acetonitrile, there was one boom, if you take that particular period. As of now, we are not doing anything in the acetonitrile plant. That is totally closed, number one. And the other thing is DMF. There was 1 year or 1.5 years, it went more than 70% to 80% capacity operated. But all other times, it 35% to 40% only. This time we are expecting once we start this plant, that is methylamine plant, we are expecting that we continue operating DMF plant with us with the availability of DMA.

Nirav Jimudia : Correct. So, probably, we are currently restricted by the availability of DMA for DMF because of which we are not able to

D Ram Reddy: Sometimes. Sometimes we will choose whichever is profitable like by a good price I will get for DMA then I'll not go for the DMF. Once the DMA is more available, then we will run both, DMF and as well as selling the DMA also will happen.

Nirav Jimudia : Correct. Sir, how is the markets of NMP, GBL, 2P/NEP during FY '24? Are we seeing some improvement in the demand towards those categories of products ? Because I think 2021 -'22, you mentioned that even those products were doing well, which are normally the high -margin products for us. So, if you can just walk us through in terms of the update on those products?

D Ram Reddy: Yes. See, these products what happened in between, a lot of reused material was coming. I don't know, the God only can save these people. Many people started using recycled material, which is coming from China, which is after using 2, 3 uses, in the electronics, the material is removed.

Balaji Amines Limited

May 10 , 2024

So, that material, if you, simple purification even show 99.9%, but large impurities, metal contents will be there, which nobody will test. So, that has given some impact. But going forward, what we are expecting, there are 2, 3 out of 5,

6 people for the lithium battery. There

are 2, 3 people are in the front run. If 1 or 2 comes, then our capacity will go 100% for specifically NMP capacity. And 2P will be going full -fledged from last quarter onwards, it is going. Forward also, it will go full -fledged because the PVP K is operating at 100% level.

Nirav Jimudia : Correct. So, let's say, if we take our specialty volume basket as a whole, probably this category of products would be giving us the highest margin. So, when the volume comes back, probably the possibility of improvement in the per kg margins would see an upside from here onwards?

D Ram Reddy: It's not like that. There are many products. So, in one time, one product will behave that depends upon the market. This is the first year we have seen that because a lot of people have started using the recycled material. Probably, the FDA will come to be alert, then these things will change. But even otherwise also, as I said, the coming 1 or 2 years, you will see a lot of consumption will take place in the NMP because of these lithium battery companies.

Nirav Jimudia : Got it. Sir, let's say, if we exclude the specialty volumes and see just the amines and the amines derivatives, predominantly those methyl and ethyl amine products and their derivatives, what's your observation in terms of per kg margins currently vis -a-vis before 2, 3 years? So, have you seen the contraction in the margins happening on the methyl ethyl side on a per kg margins currently? Or

D Ram Reddy: I will tell you. The answer is in your question only. See, last, say, 5, 6 years, if you take, past 1 year, that is the COVID period that is last year, '22 -'23 was a different period. You cannot compare that period with any other year because that was a bonus period for all the chemical industry and pharma industry. Other than that, 21% to 22% were the EBITDA levels, right? This year also, we have done this quarter, I can say, quarter we have done 25%, but if you take the year, 21% we have done, which is well within the limit as per your concern that specialty did not do well. Still, we have done 21% on a yearly basis. So, see if the specialty adds for this thing,

definitely, it will be 23% to 24% of the EBITDA margins.

Nirav Jimudia : Got it Sir. And this improvement is predominantly coming from the methyl chain or the ethyl chain?

D Ram Reddy: That is very difficult to say. It is a combination of the many products, not only methyl also, ethyl also, because there are many products basing on methyl, many products basing on the ethyl using our own consumption. There, the margins will change. So, it is from both.

Nirav Jimudia : Correct. Sir, second question is on the DMC and the propylene glycol plant. So, if you can walk us through how was the capacity utilization in Q4 as well as in FY '24 for both these products?

Balaji Amines Limited
May 10 , 2024

Page 7 of 14

D Ram Reddy: See, it is operating presently 30% to 40%. You are well aware these plants were meant for the lithium batteries. Actually, lithium batteries companies, last 4-5 years, they were talking. Last 4-5 years. Just in they were coming like this, they were talking. But unfortunately, nobody has done kickstart. Now, we are discussing, there are 1 or 2 companies who visited the plant and who we have seen are serious in their commencement of the production.

Then the DMC will start because this goes in the electrical batteries. Otherwise pharma and agro is very small quantities that is about 3,000 to 5,000 tons for this thing. Even consumption of Di Methyl Carbonate was very less in these pharma and agriculture together because 7,000 to 8,000 tons maximum, but we have set up a plant for the 30,000 tons, including the PG, propylene glycol. Because looking into this battery, lithium batteries coming up. So, that has been delayed. Definitely in the coming quarters, probably before end of the year,

at least 1 unit should come into the line where we should be benefited.

Nirav Jimudia : Got it. And we are using propylene oxide as a starting material for this DMC and propylene glycol, right?

D Ram Reddy: Yes.

Nirav Jimudia : Our volume growth on a standalone basis was close to 8%, 8.5%. Any guidance for FY '25 in terms of the standalone volume growth, what we are looking at?

D Ram Reddy: Minimum 10%, I'm telling you. I'm telling you very conservatively, but minimum 10% without considering any expansions.

Nirav Jimudia : And Q4 margin should be taken as a base margin on which we should start working on? And / or there could be some improvements going forward? How do you guide on the EBITDA margin?

D Ram Reddy: It should be between 21% to 24%. Minimum 21%, maximum 24% should be there.

Moderator : Sorry to interrupt, sir. I would request for last participant to come with the follow queue to any other questions please. We move to the next question. The next question is from the line of Rajeev Rupani, an individual investor. Please go ahead.

Rajeev Rupani : Good Evening sir, congratulations on the improved set of numbers. Sir, I had a question on BSC Unit 1. First question is, is the debottlenecking complete? What was the capacity utilization last year and going forward? And number 3, is the raw material issue behind us?

D Ram Reddy: No, there is no raw material issue. Even still, there are some 2, 3 months, again, we have to take 1 or 2 shutdowns for completing this. While doing this debottlenecking, as I told earlier also, we are doing some of the product mix development also. Means like today, we are using MEA, monoethanolamine. Now we have come across in the R&D, we can use the diethanolamine also.

Balaji Amines Limited
May 10 , 2024

Page 8 of 14

If you use this combination, you will get increased value-added products. Like DETA, PIP will get more. So, those activities going parallel. So, in the current year, you will see in the coming 1 or 2 quarters, you will see both the things, and you will see the capacity improvement as well as this combination improvement you will see.

Rajeev Rupani : Sir, my next question on BSC Unit 2. Now have we received the environment clearance? Number one. Number two, you have given the list of products in the press release. So, could you let us know the phase wise CAPEX and phase wise which products will come up first?

D Ram Reddy: See, We have taken, TOR is already received, right and may take environmental clearance by end of May 2024 or may be first or second week next month. Regarding products, the sodium cyanide will be the first product. And there are 6 products, which are going in the first phase.

One is triethyl orthoformate, so we are going to make triethyl orthoformate. In the initial, hydrogen cyanide, sodium cyanide will come. Along with that, by using EDA, EDTA will come and EDTA acetic acid will come. And Benzyl Cyanide (BnCN) will come. Phenylacetic Acid (PAA) will come. Triethyl orthoformate and trimethyl orthoformate. These are the products

coming in the first phase, which will take about Rs. 300 crores to Rs. 400 crores investment.

Rajeev Rupani : Sir, we are doing a CAPEX of Rs. 750 crores. So, once all this is complete, how much revenue will this BSC Unit II give us?

D Ram Reddy: It's too early to say, but definitely, it should cross INR 1,000 crores minimum with this unit 2 alone.

Rajeev Rupani : Including all the products?

D Ram Reddy: These first phase which I told you 6 products, just now, I told you. I'm talking about Rs . 350 crores to Rs. 400 crores. And second phase, the additional Rs. 350 crores, which will become total Rs. 750 crores.

Rajeev Rupani : And sir, this will all be through internal accruals and little debt and we had planned the IPO. So, any update on that?

D Ram Reddy: 99%, the first phase will be total internal accruals only. Probably, when

we start second phase,

again, that depends upon the operation of the first phase. Probably end of the second phase, we may need Rs. 50 crores to Rs. 100 crores borrowing .

Rajeev Rupani : Okay. Sir, my next question was on the methylamines new plant, which is getting commissioned in December. Sir, could you update, once this is commissioned, can we expect higher utilization of our current DMF plant, 30,000 tons? Number one. Guide us on DMF exports, anti -dumping duty on DMF and that there was dumping of DMF by Saudi Arabia. Please update.

D Ram Reddy: See, Rajeev, what is happened. As of now we were working , DMA is a separate plant, right?

Methylamine is a separate plant and DMF is separate plant. So, during this working, we will calculate the DMA selling price in the DMF. Once the new plant comes, then one plant of DMA

Balaji Amines Limited

May 10 , 2024

Page 9 of 14

and DMF together will become one plant . So, definitely, we will be running 100% capacity.

That is number one. Number two, the methylamine plant also will operate at 100% capacity. As regards to exports, we have started some small exports including to Saudi Arabia, some few containers to Europe also. And now we are discussing with U.S. also. So, this also will take once we go in full operation with this new methylamine plant.

Moderator : Sorry to interrupt, sir. I would request Mr. Rajeev sir to follow up in the question queue for further questions. The next question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge : Sir, my first question is on our investment in subsidiary. So, we are investing about Rs. 750 crores and coming out with these products. So, how much ethylene diamine will be consumed, let's say, in the first phase out of our capacity of 37,350. And if we do require any additional capacity of ethylene diamine at least for a first phase of this expansion?

D Ram Reddy: No. We don't need anything. We are trying to utilize 35% to 40% of our existing plant EDA. And we are trying to make some of the value -added products other than EDTA like DETA and Piperazine , which I discussed in the earlier years also that the new technology R&D was going down. That has come to a final conclusion, which we will hear in coming 1 or 2 quarters that you will see less of the EDAs coming out for the market from our plant. And you will see more of the value -added products like piperazine, DETA, TETA, TEPA, PEHA. These all products will come in line along with the EDTA derivatives.

Nilesh Ghuge : And sir, when we complete our Phase 2 expansion, as you mentioned earlier in this call, so do we require additional ethylene diamine plant or this plant, this 37,000 is sufficient to take care of that?

D Ram Reddy: We don't need.

Nilesh Ghuge : Okay. And sir, then currently, we are selling this ethylene diamine in the market, right? And there is a good opportunity, import substitution opportunity. So, when we add the value -added products, how much the contribution, based on your estimates, value -add you are doing in the products? Any ballpark number, sir?

D Ram Reddy: It's too early to say that. See, whatever we are talking on, the estimated figure is basing on the pilot and R&D, right? Once that goes in the full stream in commercial basis only, we will be in a position to give you right numbers. But they are all definitely better than the current situation.

Nilesh Ghuge : Yes. And sir, my second question is on the methyl amine side. As you said that you are coming out with the 40,000 that is going to complete by about December '24. So, how much out of this 40,000 will be captively consumed? And yes, that's my question on the proposed capacity out of this 40,000.

Balaji Amines Limited

May 10 , 2024

Page 10 of 14

D Ram Reddy: See, around 15,000 tons of the DMA will be consumed. Whatever DMA comes will be consumed in our captive only. The existing

plants only, we will be catering. The new plant, entire DMA will go to the captive. Little of MMA will go into the market.

Nilesh Ghuge : So, currently, we have 48,000. Out of that 15,000, we are currently consuming captive, rest in the market. And from the proposed capacity, entirely will be captive consumed, correct, sir?

D Ram Reddy: Yes.

Moderator : The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan : Sir, my first question is on to the demand side. Sir, last year, we had witnessed there was heavy destocking and with all the heightened geopolitical tensions, our numbers were also not coming.

So, they were in a bad shape. So, from the coming quarter, we had witnessed improvement in top line and margins. So, what is your assessment on to the demand side and whether these numbers are sustainable for the coming 2 years?

D Ram Reddy: Yes. See, demand, I can say was delayed because of the raw material prices were lower and finished products were lower. That's the reason you have seen the revenues were not up to the mark. But if you see the volume year-on-year basis, there is an improvement of 8.25% of improvement when you compare to last year and current year. So, this shows that definitely, there is an improvement. Secondly, that destocking, yes, there is an improvement in the Indian side. And from the China side, not like earlier, which is coming, but the prices are improved a little favorable to India. So, the reason we could see better results for the current quarter. And we expect this to improve forward in next quarters.

Aditya Khetan : Sir, my second question. Sir, if you can share the capacity utilization for DMF and for the acetonitrile business. And secondly, sir, what is the current status on to the acetonitrile, are we looking to refurbish that plant for some other products like which can fetch it a better utilization. So, what is the plan over there?

D Ram Reddy: Acetonitrile, as I said, we were not working, but if the market improves, it rises. We are still working on that technology, which we said earlier. That is still in the pipeline. Because we have got the other priority products, preferred products, we have not taken that on the front bench. So, that in the coming quarters, if the situation improves in the market, definitely, we will revive that. In the meantime, as you asked that we are also trying for some of the other products if we can do, after doing these all routine expansions, probably, we may work out one or the other product to drive on the acetonitrile plant. What is the other question or what is the other products you said?

Aditya Khetan : DMF capacity utilization. DMF.

D Ram Reddy: DMF, this year, from this quarter onwards, you will see we will be utilizing more than 70%.

Balaji Amines Limited

May 10, 2024

Page 11 of 14

Aditya Khetan : And sir, just one last question, sir, on to the n-butylamine side. So, you had mentioned in the presentation that the domestic demand is 8,000 tons. Sir, what is the global demand for this product?

D Ram Reddy: See, we have gone for the 15,000 tons, even though domestic demand is 7,000 to 8,000 tons only. The reason being, if you see, we have shown one product NBPT, so 2,500 tons, we are coming up where this butylamines is consumed in that. The reason we have planned for the higher capacity.

Aditya Khetan : Okay. And what is the global demand figure, sir, for this in n-butylamine?

D Ram Reddy: I do not have in handy, but I'll definitely try to give you. Send a mail, we will try to give, because as of now, I don't have any idea.

Moderator : Thank You. The next question is from the line of Aman from Augmenta. Please go ahead.

Aman Madrecha : Sir, I was listening to some other participants that as and when you commissioned the methylamine plant, and then you will be producing the DMA for DMF. So, like pre

viously, in

one of our earlier conversations, you used to mention that whenever the DMF prices is somewhere near Rs. 100 to Rs. 110 per kg, it is viable for us to produce. And currently, if we are seeing that the prices are around, what, Rs. 60, Rs. 70 per kg. So, you are trying to say that like maybe after a year or so when the methylamine plant is commissioned, even if the prices are around Rs. 60 to Rs. 70 per kg for DMF, it will be viable for us, right? We mean this right.

D Ram Reddy: Not Rs. 60, current price is Rs. 70. Yes, it is workable at a lower margin. If it is Rs. 100, if you buy the DMF from outside also, it was viable that time, if the DMF price is Rs. 100. Making over DMA, yes, it is viable for making DMF with the own DMA. So, all these days, you were not having sufficient DMA. You were not operating fully rather than you are selling the DMA in the market rather than making the DMF. Now once we get this new plant, we will operate the DMF plant fully, and we will sell the DMA also outside.

Aman Madrecha : So, sir, basically, we are trying to say that we will see all these improvements after a year or so, once the methylamine plant is commissioned?

D Ram Reddy: It is from December onwards.

Aman Madrecha : Okay. And also, sir, for this dimethyl ether plant, which we are commissioning and we have got

the license from the Indian Bureau standards, so what is the dynamic, like, for example, how much it is imported currently? So, can you share the market dynamics of the same?

D Ram Reddy: Is this dimethyl ether you are talking?

Aman Madrecha : Yes.

Balaji Amines Limited

May 10 , 2024

Page 12 of 14

D Ram Reddy: Dimethyl ether, we don't have the license, but the Government of India is having a plan that they are going to make it mandatory to all the LPG manufacturers that they should blend 20% of dimethyl ether, mandatorily. That time, we will have the advantage as being a first manufacturer. But now notification has already come, it is under publication. That is number one. Number two, we are doing all these aerosol manufacturers, you know that sprayer manufacturers, when they're using today LPG, we are going to replace all of them that is number one.

Number two, all the commercial users like industry and hotels and industry where the LPG uses the reading, there we are going to replace the DME. We cannot touch immediately to the domestic because lot of subsidiary and other complications are there, which we have discussed with the government. And our current capacity, we are coming up with a capacity of 100 Thousand Tons, 1 lakh tons.

Moderator : Thank You. The next question is from the line of Ranvir Singh from Nuvama Wealth. Please go ahead.

Ranvir Singh : Thanks for taking my question and congratulations for improvement in numbers. We have a few clarity on DETA, you said that new technologies are being evaluated. So, what is the current utilization in FY '24 for DETA?

D Ram Reddy: DETA is not separate, it's total. As a total, as I told earlier also, I think you have not listened.

Presently, the EDA plant, when you run the EDA plant by default, you will get only 5% to 6% of the DETA and 5% to 6% of the PIP. About 3%, 4% of the other products and rest is EDA. Now with the new technology, we are going to get more percent of these products and additional value-added products also. And EDA will be reduced. We are doing all these activities, we have operated the plant at 42% only as against 72% last year. Because every month, you see, you cannot close fully and just to open the plant and do these developments. Every month, we are running about 3 weeks and 1 to 1.5 weeks, we are doing this development.

Ranvir Singh : Okay Fine. And have you captured any revenue from butylamines in FY '24?

D Ram Reddy: Yes. Definitely, I think almost 300 to 400 tons, we might have sold, all the products together.

Ranvir Singh : So, in FY '25, what would

be the capacity utilization here in butylamine?

D Ram Reddy : Butylamine, as I said in the earlier question, we have done double to the Indian consumption because we have plans for our captive consumption in coming years. So, we may do, but if you take this total capacity, 15,000 tons versus it will be 30%, 40%. If you take 8,000 tons and then it will become 70%, 80%.

Ranvir Singh : Okay , Understood. And third, on methylamine, that 48,000 capacity currently, so additional 40,000 is phase-wise or that will come 40,000 at once, once that is operational?

D Ram Reddy: At one Stroke .

Balaji Amines Limited

May 10 , 2024

Page 13 of 14

Ranvir Singh : And on CAPEX , Rs. 750 crores is on BSC. So, what would be the total CAPEX taken on a consolidated level for FY '25?

D Ram Reddy: FY '25 for the Specialty Chemicals, we have given a first phase about Rs. 300 crores to Rs. 400 crores in the specialty for that Unit II where we are talking about the sodium cyanide and that other derivatives. And in Balaji Amines, we have about Rs. 100 crores, Rs. 150 crores balance of the methylamine, balance of the dimethyl ether and solar power plant. One important thing is nobody is asking that captive power plant is going to take care of entire power of all the units in the coming years. We are going to commission this by December end. Before March, this solar park will be commissioned, which will help us taking care of entire power bill, number one.

Number two, which will give us the good marks for the green energy, carbon footprint.

Ranvir Singh : Yes. Actually, that was my next question. So, in solar plant, how much CAPEX we are doing there? And how much power saving we can expect from the solar plant?

D Ram Reddy: Actually, total plan is for 20 megawatts for which the investment will go around Rs. 120 crores.

But in first phase, we are doing 8 megawatts, which will be finished in this year. This is going to take care of about 60% to 70% of the power bill. That 20 megawatts, assuming all the expansions we have planned, even upcoming plants also will be taken care by this 20-megawatt. So, the day will come, the 100% of the power will be utilized from the solar only after

expansions.

Moderator : Sorry to interrupt, sir. I would request Mr. Ranvir to please follow up in the question queue for further questions. The next question is from the line of Riddhesh Gandhi from Discovery Investment. Please go ahead.

Riddhesh Gandhi : Can you give us a little bit of an outlook on the piperazine as well?

D Ram Reddy: Can you repeat your question, please? I couldn't understand.

Riddhesh Gandhi : Yes, if you can give us a little bit of the outlook on actually piperazine?

D Ram Reddy: Piperazine. See, piperazine presently, we are having about on 100% capacity, about 150 tons per month, we have the capacity presently. But since we are adding these mix of various technologies, we are expecting that we should do around 400 to 500 tons per month of Piperazine, if everything goes well. What the R&D has done is, it goes same in the commercial also. Then we will be doing 400 to 500 tons per month. That converts into almost 5,000 tons, which is equivalent to the country's consumption.

Moderator : Yes, sir. The current line of participant has been disconnected. That was the last question for today's call. I will now hand the conference over to the management for closing comments.

Balaji Amines Limited

May 10, 2024

Page 14 of 14

D Ram Reddy: Thank you. Thank you, everyone, for joining us, and thank you for the confidence showing on our Company, for staying invested with us. I hope we have been able to answer all your queries.

In case you require any further details, you may please contact us or Orient Capital, our Investor Relations partners by e-mail. We will love to answer all your queries. Thank you once again, each and everyone. Thank you all.

Moderator : Thank

you. On behalf of Elara Securities Private Limited, that concludes the conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

16th May , 2024

To,

The General Manager -Department of
Corporate Services,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.

The Manager -Listing Department,
National Stock Exchange of India Limited,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051.
Scrip Code: 530999 Scrip Code: BALAMINES

Dear Sir/Madam,

Sub.: Submission of Earnings Call Transcript under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of Q4FY2024 Earnings Conference Call held on Friday, 10th May , 2024.

The transcript of the said Earnings Call is also available on the website of the Company at <https://www.balajiamines.com/investor-relations.php>.

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Balaji Amines Limited

Lakhan Dargad
Company Secretary & Compliance Officer

Encl.: a/a

Page 1 of 14

"Balaji Amines Limited Q4FY24 Earnings
Conference Call"

May 10 , 2024

MANAGEMENT : MR. D RAM REDDY – MANAGING DIRECTOR , BALAJI AMINES LIMITED

MODERATOR : MR. GAGAN DIXIT – ELARA SECURITIES PRIVATE LIMITED

Balaji Amines Limited
May 10 , 2024

Page 2 of 14

Moderator : Ladies and gentlemen, good day, and welcome to Balaji Amines Limited Q4 FY '24 Earnings Conference Call hosted by Elara Securities Private Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gagan Dixit from Elara Securities Private Limited. Thank you, and over to you, sir.

Gagan Dixit : Yes. Thank you. A very warm welcome to everyone to discuss Balaji Amines Q4 FY '24 results. It is our pleasure to be able to bring to you the management of Balaji Amines Limited led by Mr. D Ram Reddy, who is the Managing Director. We would also like this opportunity to congratulate the management on its excellent set of numbers. With these words, I would now hand over the conference to the Balaji Amines Management . Over to you, sir.

D Ram Reddy: Thank you, Gagan. A very good evening and a warm welcome on behalf of Balaji Amines Limited to all of you who have joined us for this Con Call to discuss the Operating and Financial Performance for the Quarter and Financial Year ended FY '24. We appreciate your time and interest in our Company 's performance. I hope everyone had an opportunity to go through the Financial Results and Investor Presentation , which have been uploaded on stock exchanges. We are pleased to announce that our performance in the 4th Quarter points towards a positive trajectory. We have managed to report a resilient performance in Q4 FY '24. Our top line has strengthened compared to the previous quarter with higher volume uptake, leading to improved margins driven by stabilized input costs on both raw materials and utility fronts and setting industry scenario. The rebound in domestic demand coupled with encouraging international market trends is contributing to this momentum and enhancing our margins. Recent developments include the successful commencement of n -butylamine s production at Unit IV boosting an annual installed capacity of 15,000 metric tons. Furthermore, Unit I and Unit III have received BIS certification for morpholine, enhancing our product quality standards. Both methylamine and dimethyl ether projects are progressing well, showcasing our commitment to operational excellence. We remain committed to our debt -free strategy, which continues to serve as a significant advantage for us by providing financial stability, enhanced credit worthiness and into profitability. Our goal is to bring innovative products to market and enhance our product range and develop advanced manufacturing facilities to differentiate ourselves from competitors and capture market share.

Balaji Amines Limited
May 10 , 2024

Page 3 of 14

Sustaining our leadership position in amines and their derivatives within the Indian market has been integral to our achievements. The broad assortment of specialty chemicals we offer, remains a key differentiator setting us apart from competitors. We foresee the fiscal year 2024 - '25 as a period of growth and improved market conditions, guiding us to maintain our leadership in Amines and Specialty Chemicals.

Now let me take you through the Consolidated Financial Operational Performance :
Revenue from operations for Q4 FY '24 stood at INR 423 crores as compared to INR 392 crores in Q3 FY '24. Total value stood at 27,984 metric tons for Q4 FY '24 as against 26,903 metric tons in Q3 FY '24. EBITDA for Q4 FY '24 was INR 106 crores as compared to INR 83 crores in Q3 FY '24. EBITDA margin for Q4 FY '24 stood at 25% as against 21% in Q3 FY '24. PAT for Q4 FY '24 was INR 72 crores as compared to INR 56 crores in Q3 FY '24. Dilute

d EPS for

Q4 FY '24 stood at INR 21 per equity share as against INR 15.24 in Q3 FY '24. For Q4 FY '24, Amines volumes stood at 8,910 metric tons. Amines derivatives volumes stood at 9,676 metric tons and Specialty Chemical volumes stood at 9,398 metric tons.

On a standalone basis, we are a zero-debt Company. Revenue from operations Q4 FY '24 stood at INR 373 crores as compared to INR 314 crores in Q3 FY '24. EBITDA for Q4 FY '24 was INR 95 crores as compared to INR 64 crores in Q3 FY '24. EBITDA margin for Q4 FY '24 stood at 25% as against 20% in Q3 FY '24. PAT for Q4 FY '24 was INR 63 crores as compared to INR 42 crores in Q3 FY '24. Diluted EPS for Q4 FY '24 stood at INR 19.32 per equity share as against INR 12.82 in Q3 FY '24.

Coming to our Standalone Performance for the Financial Year 2024 :

Revenue from operations in FY 2024 stood at Rs. 1,359 crores as compared to Rs. 1,736 crores in FY 2023. The EBITDA stood at Rs. 267 crores in FY 2024 as compared to Rs. 339 crores in FY 2023. Our EBITDA margin was 20% in FY 2024. PAT for 2024 stood at Rs. 171 crores from Rs. 228 crores FY 2023. The diluted EPS for FY 2024 stood at Rs. 52.87 as against Rs. 70.18 per equity share in FY 2023.

Now coming to the Consolidated Performance for the Financial Year 2024:

The revenue from operations for Financial Year 2024 stood at Rs. 1,671 crores as against compared to Rs. 2,371 crores in FY 2023. EBITDA for the Financial Year 2024 stood at Rs. 353 crores as compared to Rs. 624 crores in FY 2023. EBITDA margin for FY 2024 was at 21% as against 26% in FY 2023. PAT for the Financial Year 2024 stood at Rs. 232 crores as compared to Rs. 406 crores in the FY 2023.

Update on new projects and new proposed products :

Balaji Amines Limited

May 10, 2024

Page 4 of 14

Looking ahead, we have strategic CAPEX and new proposed products, projects, plans in place to fuel our future growth journey. We have initiated the CAPEX for setting up the following plants, which will significantly contribute to expansion. Methylamines, the project implementation is progressing as planned. The project is likely to be commissioned around the end of December 2024. Electronic grade DMC. Electronic grade DMC plant set to commission in FY '24-'25 holds promising prospectus in India EV battery market due to its exclusive production status and a robust installed capacity of 15,000 MT per annum.

Dimethyl ether. At Unit IV, we are currently working on a DME manufacturing project set to be launched by March 2025 along with being a substitute of LPG, DME is used in Aerosols plus Bureau of Indian Standards is eyeing a 20% DME blend with LPG recognizing its benefits. The Company has proposed to set up the following projects. Number one, N-Methyl Morpholine Company, 3,000 tons per annum; and N-(n-butyl) Thiophosphoric Triamide, which is called NBPT, 2,500 tons per annum. Isopropylamine, the Company has proposed to manufacture Isopropylamine, Mono and Di, in the existing plant of Ethylamine at Unit I by modifying the existing Ethylamine plant, which is not in operations as we have set up a new and high output plant for manufacturing of Ethylamines at Unit IV.

Hotel business. With the demand soaring and current occupancy at 85% to 90%, we have decided to add 40 rooms towards the south side of our existing structure building, which should cost us around Rs. 30 crores to Rs. 35 crores providing to meet growing accommodation to maintain strong revenue streams.

We are moving quickly with our plans for a new 20-megawatt solar power plant with MIDC, Solapur, Maharashtra. Phase 1 involves setting up an 8-megawatt capacity expecting to be operational by December 2024. We are also sorting our paperwork for net metering and land conversion to non-agriculture use.

Our steadfast reliance on our core strengths and competencies remains the cornerstone of our strategy, as we explore the integral landscape

of the market. These inherent strengths not only

serve as our guiding light, but also propel us towards achieving greater excellence in our role as a front runner in the amines and specialty chemical sector. Looking ahead, we are optimistic about the fiscal year 2024-'25, anticipating a period marked by significant growth and favorable market conditions. We foresee promising opportunities on the horizon and we are well positioned to capitalize on them. With our strategic initiatives and robust foundation in place, we are confident in our ability to navigate any challenges that may arise and drive sustained growth in the upcoming year.

Now we can open the floor for questions and answers. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Nirav Jimudia from Anvil Research.

Balaji Amines Limited

May 10, 2024

Nirav Jimudia : Good Afternoon Sir. Thanks for the opportunity. I have 2, 3 questions. Sir, one is on a standalone basis, if we compare our volumes this year for the Specialty Chemicals, they are close to around 27,600. When we look at FY '22, these volumes were around 36,000 tons. So, in between these 2, 3 years, our volumes have fallen. So, which of the products would have contributed to this fall in the volumes between these 2, 3 years?

D Ram Reddy: I think you are getting confused. One is standalone, one is consolidated.

Nirav Jimudia : I have excluded the consolidated numbers ...

D Ram Reddy: That 36,000 tons you are talking probably it may be consolidated.

Nirav Jimudia : No, no, sir. What I have done is I have excluded the numbers of our subsidiary out of the Specialty Chemicals. So, the rest of the volumes, I presume, would be for the standalone business. That bifurcation happens in...

D Ram Reddy: There may be 1 or 2 quarters, 1 or 2 products, maybe like that. But the way you are talking that 26 versus

Nirav Jimudia : No, sir, 36,000 versus 28,000 tons.

D Ram Reddy: Anyway, see, one product that is acetonitrile, there was one boom, if you take that particular period. As of now, we are not doing anything in the acetonitrile plant. That is totally closed, number one. And the other thing is DMF. There was 1 year or 1.5 years, it went more than 70% to 80% capacity operated. But all other times, it 35% to 40% only. This time we are expecting once we start this plant, that is methylamine plant, we are expecting that we continue operating DMF plant with us with the availability of DMA.

Nirav Jimudia : Correct. So, probably, we are currently restricted by the availability of DMA for DMF because of which we are not able to

D Ram Reddy: Sometimes. Sometimes we will choose whichever is profitable like by a good price I will get for DMA then I'll not go for the DMF. Once the DMA is more available, then we will run both, DMF and as well as selling the DMA also will happen.

Nirav Jimudia : Correct. Sir, how is the markets of NMP, GBL, 2P/NEP during FY '24? Are we seeing some improvement in the demand towards those categories of products ? Because I think 2021 -'22, you mentioned that even those products were doing well, which are normally the high -margin products for us. So, if you can just walk us through in terms of the update on those products?

D Ram Reddy: Yes. See, these products what happened in between, a lot of reused material was coming. I don't know, the God only can save these people. Many people started using recycled material, which is coming from China, which is after using 2, 3 uses, in the electronics, the material is removed.

Balaji Amines Limited

May 10 , 2024

So, that material, if you, simple purification even show 99.9%, but large impurities, metal contents will be there, which nobody will test. So, that has given some impact. But going forward, what we are expecting, there are 2, 3 out of 5,

6 people for the lithium battery. There

are 2, 3 people are in the front run. If 1 or 2 comes, then our capacity will go 100% for specifically NMP capacity. And 2P will be going full -fledged from last quarter onwards, it is going. Forward also, it will go full -fledged because the PVP K is operating at 100% level.

Nirav Jimudia : Correct. So, let's say, if we take our specialty volume basket as a whole, probably this category of products would be giving us the highest margin. So, when the volume comes back, probably the possibility of improvement in the per kg margins would see an upside from here onwards?

D Ram Reddy: It's not like that. There are many products. So, in one time, one product will behave that depends upon the market. This is the first year we have seen that because a lot of people have started using the recycled material. Probably, the FDA will come to be alert, then these things will change. But even otherwise also, as I said, the coming 1 or 2 years, you will see a lot of consumption will take place in the NMP because of these lithium battery companies.

Nirav Jimudia : Got it. Sir, let's say, if we exclude the specialty volumes and see just the amines and the amines derivatives, predominantly those methyl and ethyl amine products and their derivatives, what's your observation in terms of per kg margins currently vis -a-vis before 2, 3 years? So, have you seen the contraction in the margins happening on the methyl ethyl side on a per kg margins currently? Or

D Ram Reddy: I will tell you. The answer is in your question only. See, last, say, 5, 6 years, if you take, past 1 year, that is the COVID period that is last year, '22 -'23 was a different period. You cannot compare that period with any other year because that was a bonus period for all the chemical industry and pharma industry. Other than that, 21% to 22% were the EBITDA levels, right? This year also, we have done this quarter, I can say, quarter we have done 25%, but if you take the year, 21% we have done, which is well within the limit as per your concern that specialty did not do well. Still, we have done 21% on a yearly basis. So, see if the specialty adds for this thing,

definitely, it will be 23% to 24% of the EBITDA margins.

Nirav Jimudia : Got it Sir. And this improvement is predominantly coming from the methyl chain or the ethyl chain?

D Ram Reddy: That is very difficult to say. It is a combination of the many products, not only methyl also, ethyl also, because there are many products basing on methyl, many products basing on the ethyl using our own consumption. There, the margins will change. So, it is from both.

Nirav Jimudia : Correct. Sir, second question is on the DMC and the propylene glycol plant. So, if you can walk us through how was the capacity utilization in Q4 as well as in FY '24 for both these products?

Balaji Amines Limited
May 10 , 2024

Page 7 of 14

D Ram Reddy: See, it is operating presently 30% to 40%. You are well aware these plants were meant for the lithium batteries. Actually, lithium batteries companies, last 4-5 years, they were talking. Last 4-5 years. Just in they were coming like this, they were talking. But unfortunately, nobody has done kickstart. Now, we are discussing, there are 1 or 2 companies who visited the plant and who we have seen are serious in their commencement of the production.

Then the DMC will start because this goes in the electrical batteries. Otherwise pharma and agro is very small quantities that is about 3,000 to 5,000 tons for this thing. Even consumption of Di Methyl Carbonate was very less in these pharma and agriculture together because 7,000 to 8,000 tons maximum, but we have set up a plant for the 30,000 tons, including the PG, propylene glycol. Because looking into this battery, lithium batteries coming up. So, that has been delayed. Definitely in the coming quarters, probably before end of the year,

at least 1 unit should come into the line where we should be benefited.

Nirav Jimudia : Got it. And we are using propylene oxide as a starting material for this DMC and propylene glycol, right?

D Ram Reddy: Yes.

Nirav Jimudia : Our volume growth on a standalone basis was close to 8%, 8.5%. Any guidance for FY '25 in terms of the standalone volume growth, what we are looking at?

D Ram Reddy: Minimum 10%, I'm telling you. I'm telling you very conservatively, but minimum 10% without considering any expansions.

Nirav Jimudia : And Q4 margin should be taken as a base margin on which we should start working on? And / or there could be some improvements going forward? How do you guide on the EBITDA margin?

D Ram Reddy: It should be between 21% to 24%. Minimum 21%, maximum 24% should be there.

Moderator : Sorry to interrupt, sir. I would request for last participant to come with the follow queue to any other questions please. We move to the next question. The next question is from the line of Rajeev Rupani, an individual investor. Please go ahead.

Rajeev Rupani : Good Evening sir, congratulations on the improved set of numbers. Sir, I had a question on BSC Unit 1. First question is, is the debottlenecking complete? What was the capacity utilization last year and going forward? And number 3, is the raw material issue behind us?

D Ram Reddy: No, there is no raw material issue. Even still, there are some 2, 3 months, again, we have to take 1 or 2 shutdowns for completing this. While doing this debottlenecking, as I told earlier also, we are doing some of the product mix development also. Means like today, we are using MEA, monoethanolamine. Now we have come across in the R&D, we can use the diethanolamine also.

Balaji Amines Limited
May 10 , 2024

Page 8 of 14

If you use this combination, you will get increased value-added products. Like DETA, PIP will get more. So, those activities going parallel. So, in the current year, you will see in the coming 1 or 2 quarters, you will see both the things, and you will see the capacity improvement as well as this combination improvement you will see.

Rajeev Rupani : Sir, my next question on BSC Unit 2. Now have we received the environment clearance? Number one. Number two, you have given the list of products in the press release. So, could you let us know the phase wise CAPEX and phase wise which products will come up first?

D Ram Reddy: See, We have taken, TOR is already received, right and may take environmental clearance by end of May 2024 or may be first or second week next month. Regarding products, the sodium cyanide will be the first product. And there are 6 products, which are going in the first phase.

One is triethyl orthoformate, so we are going to make triethyl orthoformate. In the initial, hydrogen cyanide, sodium cyanide will come. Along with that, by using EDA, EDTA will come and EDTA acetic acid will come. And Benzyl Cyanide (BnCN) will come. Phenylacetic Acid (PAA) will come. Triethyl orthoformate and trimethyl orthoformate. These are the products

coming in the first phase, which will take about Rs. 300 crores to Rs. 400 crores investment.

Rajeev Rupani : Sir, we are doing a CAPEX of Rs. 750 crores. So, once all this is complete, how much revenue will this BSC Unit II give us?

D Ram Reddy: It's too early to say, but definitely, it should cross INR 1,000 crores minimum with this unit 2 alone.

Rajeev Rupani : Including all the products?

D Ram Reddy: These first phase which I told you 6 products, just now, I told you. I'm talking about Rs . 350 crores to Rs. 400 crores. And second phase, the additional Rs. 350 crores, which will become total Rs. 750 crores.

Rajeev Rupani : And sir, this will all be through internal accruals and little debt and we had planned the IPO. So, any update on that?

D Ram Reddy: 99%, the first phase will be total internal accruals only. Probably, when

we start second phase,

again, that depends upon the operation of the first phase. Probably end of the second phase, we may need Rs. 50 crores to Rs. 100 crores borrowing .

Rajeev Rupani : Okay. Sir, my next question was on the methylamines new plant, which is getting commissioned in December. Sir, could you update, once this is commissioned, can we expect higher utilization of our current DMF plant, 30,000 tons? Number one. Guide us on DMF exports, anti -dumping duty on DMF and that there was dumping of DMF by Saudi Arabia. Please update.

D Ram Reddy: See, Rajeev, what is happened. As of now we were working , DMA is a separate plant, right?

Methylamine is a separate plant and DMF is separate plant. So, during this working, we will calculate the DMA selling price in the DMF. Once the new plant comes, then one plant of DMA

Balaji Amines Limited

May 10 , 2024

Page 9 of 14

and DMF together will become one plant . So, definitely, we will be running 100% capacity.

That is number one. Number two, the methylamine plant also will operate at 100% capacity. As regards to exports, we have started some small exports including to Saudi Arabia, some few containers to Europe also. And now we are discussing with U.S. also. So, this also will take once we go in full operation with this new methylamine plant.

Moderator : Sorry to interrupt, sir. I would request Mr. Rajeev sir to follow up in the question queue for further questions. The next question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge : Sir, my first question is on our investment in subsidiary. So, we are investing about Rs. 750 crores and coming out with these products. So, how much ethylene diamine will be consumed, let's say, in the first phase out of our capacity of 37,350. And if we do require any additional capacity of ethylene diamine at least for a first phase of this expansion?

D Ram Reddy: No. We don't need anything. We are trying to utilize 35% to 40% of our existing plant EDA. And we are trying to make some of the value -added products other than EDTA like DETA and Piperazine , which I discussed in the earlier years also that the new technology R&D was going down. That has come to a final conclusion, which we will hear in coming 1 or 2 quarters that you will see less of the EDAs coming out for the market from our plant. And you will see more of the value -added products like piperazine, DETA, TETA, TEPA, PEHA. These all products will come in line along with the EDTA derivatives.

Nilesh Ghuge : And sir, when we complete our Phase 2 expansion, as you mentioned earlier in this call, so do we require additional ethylene diamine plant or this plant, this 37,000 is sufficient to take care of that?

D Ram Reddy: We don't need.

Nilesh Ghuge : Okay. And sir, then currently, we are selling this ethylene diamine in the market, right? And there is a good opportunity, import substitution opportunity. So, when we add the value -added products, how much the contribution, based on your estimates, value -add you are doing in the products? Any ballpark number, sir?

D Ram Reddy: It's too early to say that. See, whatever we are talking on, the estimated figure is basing on the pilot and R&D, right? Once that goes in the full stream in commercial basis only, we will be in a position to give you right numbers. But they are all definitely better than the current situation.

Nilesh Ghuge : Yes. And sir, my second question is on the methyl amine side. As you said that you are coming out with the 40,000 that is going to complete by about December '24. So, how much out of this 40,000 will be captively consumed? And yes, that's my question on the proposed capacity out of this 40,000.

Balaji Amines Limited

May 10 , 2024

Page 10 of 14

D Ram Reddy: See, around 15,000 tons of the DMA will be consumed. Whatever DMA comes will be consumed in our captive only. The existing

plants only, we will be catering. The new plant, entire DMA will go to the captive. Little of MMA will go into the market.

Nilesh Ghuge : So, currently, we have 48,000. Out of that 15,000, we are currently consuming captive, rest in the market. And from the proposed capacity, entirely will be captive consumed, correct, sir?

D Ram Reddy: Yes.

Moderator : The next question is from the line of Aditya Khetan from SMIFS Institutional Equities. Please go ahead.

Aditya Khetan : Sir, my first question is on to the demand side. Sir, last year, we had witnessed there was heavy destocking and with all the heightened geopolitical tensions, our numbers were also not coming.

So, they were in a bad shape. So, from the coming quarter, we had witnessed improvement in top line and margins. So, what is your assessment on to the demand side and whether these numbers are sustainable for the coming 2 years?

D Ram Reddy: Yes. See, demand, I can say was delayed because of the raw material prices were lower and finished products were lower. That's the reason you have seen the revenues were not up to the mark. But if you see the volume year-on-year basis, there is an improvement of 8.25% of improvement when you compare to last year and current year. So, this shows that definitely, there is an improvement. Secondly, that destocking, yes, there is an improvement in the Indian side. And from the China side, not like earlier, which is coming, but the prices are improved a little favorable to India. So, the reason we could see better results for the current quarter. And we expect this to improve forward in next quarters.

Aditya Khetan : Sir, my second question. Sir, if you can share the capacity utilization for DMF and for the acetonitrile business. And secondly, sir, what is the current status on to the acetonitrile, are we looking to refurbish that plant for some other products like which can fetch it a better utilization. So, what is the plan over there?

D Ram Reddy: Acetonitrile, as I said, we were not working, but if the market improves, it rises. We are still working on that technology, which we said earlier. That is still in the pipeline. Because we have got the other priority products, preferred products, we have not taken that on the front bench. So, that in the coming quarters, if the situation improves in the market, definitely, we will revive that. In the meantime, as you asked that we are also trying for some of the other products if we can do, after doing these all routine expansions, probably, we may work out one or the other product to drive on the acetonitrile plant. What is the other question or what is the other products you said?

Aditya Khetan : DMF capacity utilization. DMF.

D Ram Reddy: DMF, this year, from this quarter onwards, you will see we will be utilizing more than 70%.

Balaji Amines Limited

May 10, 2024

Page 11 of 14

Aditya Khetan : And sir, just one last question, sir, on to the n-butylamine side. So, you had mentioned in the presentation that the domestic demand is 8,000 tons. Sir, what is the global demand for this product?

D Ram Reddy: See, we have gone for the 15,000 tons, even though domestic demand is 7,000 to 8,000 tons only. The reason being, if you see, we have shown one product NBPT, so 2,500 tons, we are coming up where this butylamines is consumed in that. The reason we have planned for the higher capacity.

Aditya Khetan : Okay. And what is the global demand figure, sir, for this in n-butylamine?

D Ram Reddy: I do not have in handy, but I'll definitely try to give you. Send a mail, we will try to give, because as of now, I don't have any idea.

Moderator : Thank You. The next question is from the line of Aman from Augmenta. Please go ahead.

Aman Madrecha : Sir, I was listening to some other participants that as and when you commissioned the methylamine plant, and then you will be producing the DMA for DMF. So, like pre

viously, in

one of our earlier conversations, you used to mention that whenever the DMF prices is somewhere near Rs. 100 to Rs. 110 per kg, it is viable for us to produce. And currently, if we are seeing that the prices are around, what, Rs. 60, Rs. 70 per kg. So, you are trying to say that like maybe after a year or so when the methylamine plant is commissioned, even if the prices are around Rs. 60 to Rs. 70 per kg for DMF, it will be viable for us, right? We mean this right.

D Ram Reddy: Not Rs. 60, current price is Rs. 70. Yes, it is workable at a lower margin. If it is Rs. 100, if you buy the DMF from outside also, it was viable that time, if the DMF price is Rs. 100. Making over DMA, yes, it is viable for making DMF with the own DMA. So, all these days, you were not having sufficient DMA. You were not operating fully rather than you are selling the DMA in the market rather than making the DMF. Now once we get this new plant, we will operate the DMF plant fully, and we will sell the DMA also outside.

Aman Madrecha : So, sir, basically, we are trying to say that we will see all these improvements after a year or so, once the methylamine plant is commissioned?

D Ram Reddy: It is from December onwards.

Aman Madrecha : Okay. And also, sir, for this dimethyl ether plant, which we are commissioning and we have got

the license from the Indian Bureau standards, so what is the dynamic, like, for example, how much it is imported currently? So, can you share the market dynamics of the same?

D Ram Reddy: Is this dimethyl ether you are talking?

Aman Madrecha : Yes.

Balaji Amines Limited

May 10 , 2024

Page 12 of 14

D Ram Reddy: Dimethyl ether, we don't have the license, but the Government of India is having a plan that they are going to make it mandatory to all the LPG manufacturers that they should blend 20% of dimethyl ether, mandatorily. That time, we will have the advantage as being a first manufacturer. But now notification has already come, it is under publication. That is number one. Number two, we are doing all these aerosol manufacturers, you know that sprayer manufacturers, when they're using today LPG, we are going to replace all of them that is number one.

Number two, all the commercial users like industry and hotels and industry where the LPG uses the reading, there we are going to replace the DME. We cannot touch immediately to the domestic because lot of subsidiary and other complications are there, which we have discussed with the government. And our current capacity, we are coming up with a capacity of 100 Thousand Tons, 1 lakh tons.

Moderator : Thank You. The next question is from the line of Ranvir Singh from Nuvama Wealth. Please go ahead.

Ranvir Singh : Thanks for taking my question and congratulations for improvement in numbers. We have a few clarity on DETA, you said that new technologies are being evaluated. So, what is the current utilization in FY '24 for DETA?

D Ram Reddy: DETA is not separate, it's total. As a total, as I told earlier also, I think you have not listened.

Presently, the EDA plant, when you run the EDA plant by default, you will get only 5% to 6% of the DETA and 5% to 6% of the PIP. About 3%, 4% of the other products and rest is EDA. Now with the new technology, we are going to get more percent of these products and additional value-added products also. And EDA will be reduced. We are doing all these activities, we have operated the plant at 42% only as against 72% last year. Because every month, you see, you cannot close fully and just to open the plant and do these developments. Every month, we are running about 3 weeks and 1 to 1.5 weeks, we are doing this development.

Ranvir Singh : Okay Fine. And have you captured any revenue from butylamines in FY '24?

D Ram Reddy: Yes. Definitely, I think almost 300 to 400 tons, we might have sold, all the products together.

Ranvir Singh : So, in FY '25, what would

be the capacity utilization here in butylamine?

D Ram Reddy : Butylamine, as I said in the earlier question, we have done double to the Indian consumption because we have plans for our captive consumption in coming years. So, we may do, but if you take this total capacity, 15,000 tons versus it will be 30%, 40%. If you take 8,000 tons and then it will become 70%, 80%.

Ranvir Singh : Okay , Understood. And third, on methylamine, that 48,000 capacity currently, so additional 40,000 is phase-wise or that will come 40,000 at once, once that is operational?

D Ram Reddy: At one Stroke .

Balaji Amines Limited

May 10 , 2024

Page 13 of 14

Ranvir Singh : And on CAPEX , Rs. 750 crores is on BSC. So, what would be the total CAPEX taken on a consolidated level for FY '25?

D Ram Reddy: FY '25 for the Specialty Chemicals, we have given a first phase about Rs. 300 crores to Rs. 400 crores in the specialty for that Unit II where we are talking about the sodium cyanide and that other derivatives. And in Balaji Amines, we have about Rs. 100 crores, Rs. 150 crores balance of the methylamine, balance of the dimethyl ether and solar power plant. One important thing is nobody is asking that captive power plant is going to take care of entire power of all the units in the coming years. We are going to commission this by December end. Before March, this solar park will be commissioned, which will help us taking care of entire power bill, number one.

Number two, which will give us the good marks for the green energy, carbon footprint.

Ranvir Singh : Yes. Actually, that was my next question. So, in solar plant, how much CAPEX we are doing there? And how much power saving we can expect from the solar plant?

D Ram Reddy: Actually, total plan is for 20 megawatts for which the investment will go around Rs. 120 crores.

But in first phase, we are doing 8 megawatts, which will be finished in this year. This is going to take care of about 60% to 70% of the power bill. That 20 megawatts, assuming all the expansions we have planned, even upcoming plants also will be taken care by this 20-megawatt. So, the day will come, the 100% of the power will be utilized from the solar only after

expansions.

Moderator : Sorry to interrupt, sir. I would request Mr. Ranvir to please follow up in the question queue for further questions. The next question is from the line of Riddhesh Gandhi from Discovery Investment. Please go ahead.

Riddhesh Gandhi : Can you give us a little bit of an outlook on the piperazine as well?

D Ram Reddy: Can you repeat your question, please? I couldn't understand.

Riddhesh Gandhi : Yes, if you can give us a little bit of the outlook on actually piperazine?

D Ram Reddy: Piperazine. See, piperazine presently, we are having about on 100% capacity, about 150 tons per month, we have the capacity presently. But since we are adding these mix of various technologies, we are expecting that we should do around 400 to 500 tons per month of Piperazine, if everything goes well. What the R&D has done is, it goes same in the commercial also. Then we will be doing 400 to 500 tons per month. That converts into almost 5,000 tons, which is equivalent to the country's consumption.

Moderator : Yes, sir. The current line of participant has been disconnected. That was the last question for today's call. I will now hand the conference over to the management for closing comments.

Balaji Amines Limited

May 10, 2024

Page 14 of 14

D Ram Reddy: Thank you. Thank you, everyone, for joining us, and thank you for the confidence showing on our Company, for staying invested with us. I hope we have been able to answer all your queries.

In case you require any further details, you may please contact us or Orient Capital, our Investor Relations partners by e-mail. We will love to answer all your queries. Thank you once again, each and everyone. Thank you all.

Moderator : Thank

you. On behalf of Elara Securities Private Limited, that concludes the conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

23rd November , 2024

To,
The General Manager -Department of
Corporate Services,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.

The Manager -Listing Department,
National Stock Exchange of India Limited,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051.
Scrip Code : 530999 Symbol : BALAMINES

Dear Sir/Madam,

Sub.: Submission of Earnings Call Transcript under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of Q 2FY2025 Earnings Conference Call held on Tuesday, 19th November , 2024.

The transcript of the said Earnings Call is also available on the website of the Company at <https://www.balajiamines.com/investor-relations.php>.

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Balaji Amines Limited

Lakhan Dargad
Company Secretary & Compliance Officer

Encl.: a/a

Page 1 of 15

"Balaji Amines Limited Q2 FY25 Earnings Conference Call"

November 19, 2024

MANAGEMENT : MR. D RAM REDDY – MANAGING DIRECTOR , BALAJI AMINES LIMITED
MODERATOR : MR. AMOGH DESHPANDE – ELARA SECURITIES PRIVATE LIMITED

Balaji Amines Limited
November 19, 2024

Page 2 of 15

Moderator : Ladies and gentlemen , good day, and welcome to Balaji Amines Limited Q 2 FY '25 Earnings Conference Call hosted by Elara Securities Private Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amogh Deshpande from Elara Securities Private Limited.

Thank you, and over to you, Mr. Deshpande .

Amogh Deshpande: Yes. Thank you. A very warm welcome to everyone to discuss Balaji Amines Q 2 FY '25 results.

It is our pleasure to be able to bring to you the management of Balaji Amines Limited led by

Mr. D . Ram Reddy, who is the Managing Director.

So, with these words, I would now hand over the conference to the Balaji Amines Management for their opening remarks, which shall be followed by a question -and-answer session. Over to you, sir.

D. Ram Reddy: Thank you , Amogh. A very good evening and a warm welcome on behalf of Balaji Amines Limited to all of you who have joined us for this con call to discuss the operating and financial performance for the quarter and financial year ended Q2 FY '25 . We appreciate your time and interest in our company's performance.

I hope everyone had an opportunity to go through the financial results and investor presentation , which have been uploaded on stock exchanges.

We are pleased to announce a steady performance in Q2 FY '25 . The industry environment has remained challenging , impacting our revenue streams with volumes staying flat during the first half of the year.

Despite these pressures, particularly from pricing, our EBITDA margins have improved by 110 basis points over the previous quarter. This positive growth is a direct result of our strategic focus on higher margin products which has strengthened our overall profitability.

Additionally, both the API and agrochemical sectors have demonstrated strong potential for long-term growth presenting promising opportunities as we move forward.

We are pleased to announce the successful launch of our state -of-the-art Methyl Amine plant at Unit IV on 10th November 2024. This advanced facility will provide us with a significant cost advantage over the competitors. We have successfully increased our annual capacity from 48,000 metric tons to 88,000 metric tons representing a close to 100% increase.

Balaji Amines Limited
November 19, 2024

Page 3 of 15

However, it is important to note that while the plant is already commissioned, it will take some time to reach optimal levels of capacity utilization. We anticipate achieving full utilization by financial year 2026 and 2027.

Additionally, Unit I and Unit III have successfully achieved BIS Certification for Morpholine , reinforcing our commitment to the highest quality standards. This accomplishment positions us as the only BIS certified Morpholine manufacturer in India, further elevating our reputation for quality and reliability in the industry.

With this, we move on to the updates and the progress of our critical projects reflecting our unwavering commitment to innovation, operational excellence and value creation. The enhancement of our DMC , Propylene Glycol plant with additional equipment is progressing as planned. A majority of the required equipment has already been delivered , and we anticipate commissioning within the current financial year.

Efforts are underway to enable the production and pharmaceutical grade Propylene Glycol by augmenting the existing DMC , Propylene Glycol plant. The commissioning of this capability is also expected within the current financial year.

ea r.

The installation of the Di-Methyl Ether is advancing steadily. We project the commissioning by the end of this financial year or the first quarter of the next financial year.

The company is undertaking modifications to the existing Ethyl Amine's plant at Unit I to enable the production of Isopropyl amines with a planned capacity of 20 to 21 tons per day . This project will utilize most of the existing infrastructure . The plant is scheduled to commissioning in the next financial year .

Speaking of the N-Methyl Morpholine plant , it is currently being developed at Unit IV with a capacity of 15 metric tons per day . We are in the final stages of detailed engineering and half of the required equipment has already been ordered . civil works are expected to commence by the end of November 2024 with the plant anticipated to be operational in the next financial year .

In alignment with the ESG commitments and Carbon emission reduction goals , we have obtained the necessary approvals to establish a 20-Megawatt solar power plant near MIDC Chincholi , Maharashtra . In the first phase , we are setting up an 8-Megawatt DC of 6-Megawatt AC solar power plant expected to be commissioned within this financial year . This initiative will substantially reduce power cost across all our plants further strengthening our sustainability efforts.

We are also proposing to set up a new plant for the manufacture of NBPT with a capacity of 2,500 tons per annum. This project is scheduled to be undertaken in the next financial year. We are planning to establish a new Acetonitrile plant at Unit III, MIDC Chincholi with a capacity of 60 metric tons per day . Discussions regarding the transfer of the latest technology aimed at reducing production costs are in the final stages. We expect to sign the agreement by the end of

Balaji Amines Limited

November 19, 2024

Page 4 of 15

November 2024 and new equipment based on this technology will be integrated with the existing Acetonitrile plant at Unit III.

Balaji Specialty Chemicals Limited is making significant investments across a diverse range of products , which will enhance the portfolio and strengthen our market position. The products include Hydrogen Cyanide , Sodium Cyanide 30% and 100%, Ethylene Diamine Tetra Acetic Acid (EDTA) , Disodium salt, Benzyl Cyanide , Phenylacetic Acid, Tri Ethyl Ortho Formate and Tri Methyl Ortho Formate .

In recognition of the scale of potential of this expansion, the industry's Energy and Labor Department , Government of Maharashtra has granted mega project status to our Balaji Specialty Chemicals ' expansion under the Package d Scheme of Incentives 2019. This project involves a proposed phased investment of 750 crores.

I would like to reaffirm our commitment to maintaining a debt -free strategy , which continues to be a cornerstone to our financial approach. We ensure that we remain resilient and well - positioned to capitalize on growth opportunities while minimizing financial risks. We want to strategize on expanding our product range and investing in advanced manufacturing capabilities to set ourselves apart from competitors and seize a larger share of the market. We also believe that this approach will continue to serve us well as we move forward.

Now let me take through the consolidated financial operational performance. Revenue from operations for Q2 FY '25 stood at INR 356 crores as compared to INR 393 crores in Q1 FY '25. Total value stood at 26,345 metric tons for Q2 FY '25 as against 28,071 metric tons in Q1 FY '25.

EBITDA for Q2 FY '25 was INR 70 crores as compared to INR 74 crores in Q1 FY '25. EBITDA margin for Q2 FY '25 stood at 20% as against 19% in Q1 FY '25.

PAT for Q2 FY '25 was Rs. 41 crores as compared to Rs. 46 crores in Q1 FY '25. Diluted EPS for Q2 FY '25 stood at Rs. 12.65 per equity share as against Rs. 13.36 p

aisa in Q1 FY '25.

For Q2 FY '25 Amines volume stood at 7,660 metric tons and Amines derivatives volume stood at 8,685 metric tons and specialty chemical volume stood at 10,046 metric tons.

On a standalone basis , we are a zero -debt company . Revenue from operations Q2 FY '25 stood at INR 326 crores as compared to INR 338 crores in Q1 FY '25.

EBITDA for Q2 FY '25 was INR 64 crores as against INR 64 crores in Q1 FY '25. EBITDA margin for Q2 FY '25 stood at 20% as against 19% in Q1 FY '25.

PAT for Q2 FY '25 was INR 40 crores as compared to INR 41 crores in Q1 FY '25. Diluted EPS for Q2 FY '25 stood at INR Rs. 12.47 equity share as against INR 12.51 in Q1 FY '25.

Balaji Amines Limited

November 19, 2024

Page 5 of 15

Now coming to the consolidated performance for the Q1 FY '25, the revenue from operations for the H1 FY '25 stood at Rs. 749 crores as against compared to Rs. 857 crores in H1 FY '24.

EBITDA for H1 FY '25 stood at 144 crores as compared to Rs. 164 crores in H1 FY '24. EBITDA

margin for H1 FY '25 was at 19%.

PAT for the H1 FY '25 stood at Rs. 87 crores as compared to Rs. 104 crores in the H1 FY '24.

Coming to our standalone performance for the H1 FY '25, revenue from operations in H1 FY '25 stood at Rs. 664 crores as compared to Rs. 672 crores in H1 FY '24.

The EBITDA stood at Rs. 128 crores in H1 FY '25 as compared to Rs. 109 crores in H1 FY '24.

Our EBITDA margin was 19% in H1 FY '25 as compared to 16% in H1 FY '24.

PAT for H1 FY '25 stood at Rs. 81 crores from Rs. 67 crore in H1 FY '24. The diluted EPS for H1 FY '25 stood at Rs. 24.98 as against Rs. 20.73 per equity share in H1 FY '24.

We remain steadfast in our pursuit of excellence and are confident in achieving these milestones, thereby delivering enhanced value to our stakeholders.

Now I leave the floor for the question answers.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Rajeev Rupani, an individual investor. Please go ahead.

Rajeev Rupani: My first question is regarding DME. Sir, in the May con call also, you had mentioned about the gazette notification for blending of DME with LPG and it has been, I think, five months. So, when do you think, do we get this gazette notification for blending of DME with LPG?

D. Ram Reddy: It shows, as of now, it has gone for the publication. So, we are just waiting for the publication. Maybe by end of this month, the notification may out.

Rajeev Rupani: And sir, once this DME plan gets commissioned, what kind of capacity utilization can we expect in the first year?

D. Ram Reddy: Too early, Rajeev. See, it's a product first time in the country and introduction as an alternate to the LPG also first time in the country. It will take some time, and it is too early to assume any numbers or any capacities. But definitely, we feel that it should be a game changer.

Rajeev Rupani: Sir, my next question was on DMF. Sir, now that our new Methyl Amines plant is commissioned, can we expect 100% capacity utilization for DMF? And also, let us know anti-dumping duty and exports.

D. Ram Reddy: Definitely. We are aiming for, if not 100%, at least 80%, 85% capacity should be utilized for the rest of the year. And we are trying our level best for the anti-dumping. Maybe for the next

Balaji Amines Limited

November 19, 2024

Page 6 of 15

quarter, we will have to initiate again for the anti-dumping if the price tend to continuously grows like this.

Rajeev Rupani: My next question is on the BSC Unit 2. Sir, last, you had updated us that the CAPEX will be in two phases, Phase -1 and Phase -2. So, I would like to know when does the Phase -1 CAPEX gets complete and when do the plants get commissioned and Phase -2 timeline?

D. Ram Reddy: You can take Phase -1 exactly 11 to 12 months from today

. The Phase -1 will be completed. There

will be 2 to 3 plants that will be commissioned by exactly 365 days from today you can calculate.

And Phase -2 will be another 12 months from the date of commencement of the Phase -1.

Rajeev Rupani: And my next question is in BSC Unit 1. Sir, last time you talked about the de-bottlenecking, and by that we would get produce more quantities of Piperazine and DETA instead of EDA. So, can you update us on that and the capacity utilization in Unit 1?

D. Ram Reddy: Yes, that work is actually going on. Probably, it may take another 4 to 6 months' time whereby you will see not only Piperazine and DETA, we are likely to get the additional new value addition products like TETA also we are likely to get and most of the EDA will be consumed for producing these things.

So, lot of new things are happening Mr. Rajeev. You will be hearing in the next 4 to 6 months on the realistic figures. We will be adding one or two fresh equipments for the existing plant of the Unit 1 where we will get all these new products like increased capacity of the Piperazine, increased capacity of the DETA, then new addition of TETA and AEP also, much better quality AEP will be getting.

Rajeev Rupani: Sir, is this taking longer than usual the de-bottlenecking? Because we had talked about this in the May con call also.

D. Ram Reddy: See, there is a lot of new development happening, Rajeev. We don't want to take the decision, we want to take the right whatever decision we take, whatever modification we do, it should be the latest as on the date of commencing. So, that is the reason it is taking little time. So, you will hear better only maybe in 4 to 6 months, the new things will happen.

Moderator: Thank you. Next question comes from the line of Devang Mehra with SKP Capital. Please go ahead.

Devang Mehra: Can you give us a guidance of what will FY '25 will look in terms of volumes? And are you seeing any sort of like price increase which is visible across certain segments?

D. Ram Reddy: Yes, definitely. We, as of now for the half yearly, if you take standalone basis, we have done 6% to 7% volume growth when you compare to the last year volumes, and by end of the year we expect minimum 10% to 12% of the volume growth.

Page 7 of 15

And as regards prices , you are well aware that last two quarters , prices were going down and going down. Now we expect one or two , leaving one or two products , majority of the products are getting settling down with the reasonable prices and may be if not in this quarter , definitely you will see the end of the financial year , you will see the actual realistic increase prices.

Devang Mehra: And sir, who are the primary target customers for MIPA and DIPA ? And in which industry do you foresee the highest demand ? And how we are going to fund our like CAPEX plan for both our like Balaji Amines and our subsidiary company ?

D. Ram Reddy: See, MIPA and DIPA is within the same basket . The customers are into pharma and agro dyes . All these actually existing customer base only who are required these materials and CAPEX for this product , there will not be major , because this, we will be using our Unit 1 Ethyl Amine plant , which was old Ethyl Amine plant idle. Same equipment , same catalyst we are going to use, and there will not be much . Only there will be some storages and some modifications required in the clearance like environmental clearance and MPC B. Those things we are already ahead of doing.

And as regards specialty chemicals , we are having almost 750 crores CAPEX totally lined up in the Phase -1 and Phase -2 together , and Phase -1 may be about 300 to 400 crores , which will be met from the mostly internal accruals . At the end of Phase -2, we may need 100 to 200 crores from the borrowing. And Balaji Amines, a

ll the expansions will be done from the internal accruals only.

Devang Mehra: And sir, last question . Like Methyl Amine plant has just been commissioned, right? So , how do you see it is going to impact our top line?

D. Ram Reddy: Top line, see , because this is, you might have heard what I said just now in my opening remarks. Our existing capacity is 48,000 tons , which we have increased to 88,000 tons. So, definitely it will take some time to get into the optimized level of capacity utilization. Maybe in the next year, you will see some 50 % to 60% , but we expect in '26 and '27 we should be in a position to utilize more than 70 %-80% capacity.

Moderator: Thank you. Next question comes from the line of Mukul Deshpande from Insightful Investment Managers. Please go ahead.

Mukul Deshpande: A few questions from my end. Sir, we were at active discussions with the battery players for some chemicals like 2P, NP, NMP and the others. So, have we received any orders from them , and if not, then when is the same expected , and if you could just tell me what is the situation over there?

D. Ram Reddy: Mukulji, we are also worried on this because battery manufacturers, nobody has started as of now. We are hearing this for last two to three years, we are hearing that today or tomorrow they will start. I thought that somebody said that in November they will start, one will start the actual

Balaji Amines Limited
November 19, 2024

Page 8 of 15

manufacturing , but to my observation, nobody is going to start at least the first quarter of the financial year.

We are fully ready. NMP is approved with two, three manufacturers who are going to use this , and even DMC is also approved , and we are going to do much better DMC with this battery grade implementation in the facility. So, we are ready. The only thing is actual they should start the manufacturing . Then we will be with them.

Mukul Deshpande: And on DME, could you quantify the revenues and the margins at 100% capacity from this chemical?

D. Ram Reddy: Which product you said here ?

Mukul Deshpande: DME sir.

D. Ram Reddy: Di-Methyl Ether.

Mukul Deshpande: Yes, sir.

D. Ram Reddy: It is also too early because we were expecting some 15 %-20% originally , but that depends upon the situation as on the date we commence the production and during that time how the market acceptance will come . And you are well aware whenever any product comes first time in the market, the buyer industry definitely will try to squeeze, will try to take advantage of the new entrants. If you want to hear realistic margins, at least you will have to allow minimum six months to one-year time to ascertain actual margins.

Mukul Deshpande: And can you give an idea of what our second half might look like in terms of the specialty chemicals business , and has the Chinese dumping eased or reduced in the third quarter so far , and when will we be back to our historical revenues and margins over here?

D. Ram Reddy: As I said, we are really facing in one or two products the major dumping from the China. That

is, one was the DMF and NMP in the parent and EDA in the specialty, Balaji Specialty. We look to the going forward NMP, once the battery grade thing starts, definitely there will be good opportunity, and DMF since we are thinking of utilizing, going to utilize the 80%, 90%, there we may get some volume advantages even if it is a lower margins also. On standalone basis, I feel that we should definitely reach to with the same prices also 1,300 to 1,400 crores annual turnover. If the prices improve, our top line also may improve to towards 1,700, 1,800 crores also.

Mukul Deshpande: And some CAPEX that we have allotted for each of those divisions as you have shown in the PPT, which is MIPA, DIPA, NMM, NBPT and Acetonitrile. So, each of these categories if you could quantify the CAPEX numbers and the asset turns over here?

D. Ram Reddy: See, as I said, some of the plants we are utilizing, like if you talk about the MIPA, DIPA, we are not going to spend much. Only de-bottlenecking is happening, and Acetonitrile, there may be
Balaji Amines Limited
November 19, 2024

Page 9 of 15

40-50 crores we will be spending because most of the existing plant will be integrated with the new equipment. So, that is the reason you will not see much of the expenses there, and NBPT and N-Methyl Morpholine these two together may be about 70 crores. I am telling approximately 70 to 80 crores will be the CAPEX in that.

Moderator: Thank you. Next question comes from the line of Rajeev Rupani, an individual investor. Please go ahead.

Rajeev Rupani: I had a question on ACN. Sir, earlier I believe we had the latest technology, and you were supposed to set the plant in Unit 4, but due to some issues, dumping by China, we didn't go ahead with the plan. Now again, you are talking about the latest technology in your press release.

D. Ram Reddy: Yes, we are modifying the existing plant. That is the reason I am telling you. If you heard my answer to the other question, we are going to a few of the equipment's integrating with the existing ACN plant for the new technology and which can be faster than establishing a new plant.

Rajeev Rupani: And sir, our competitor also has a 30,000-ton capacity and the Indian demand is 30,000 tons. So, how does it look for us? I mean, we will export some and supply Indian?

D. Ram Reddy: No, because when I am talking about the competitive price, so definitely I will have my own share in the domestic market as well as international market share also. We will be having definitely, see, the technology, I am talking the technology on the consumption coefficient. So, it will be definitely totally different from the competitors. I am talking about not in the Indian. I am talking about the international competitors I am talking. So, you will see once we commence that.

Rajeev Rupani: Sir, my next question is, let's say after two years, when the CAPEX in the standalone and the subsidiary is complete, what kind of revenues do you expect to do after 2 years, 2.5 years?

D. Ram Reddy: They should be between 3,000 to 4,000 crores if the prices go to the realistic level. Suppose you know the Acetonitrile used to sell at 170-180 reasonable prices rather than high price up to 400 also, and lower price is 110-120 also. If the product goes to the reasonable level, so we can definitely touch the kind of capacities we are established. We should be in a position to reach 3,000 to 4,000 crores in the two years from now.

Moderator: Thank you. Next question comes from the line of Rohit Sinha with Sundhi Securities. Please go ahead.

Rohit Sinha: Just in continuation of the participant on this ACN side, I mean, although we started this product quite a long time back and there was some, you can say, issues in the stabilization also of this product, but later we have been also looking at the prices which have corrected. So, kind of lower production was there from this product. Now, what has changed that we are adding up the capacity also and obviously, what kind of demand has changed in the last few months?

Balaji Amines Limited
November 19, 2024

Page 10 of 15

D. Ram Reddy: See, you are well aware, Mr. Rohit, Balaji is a company that does not go for the manufacturing for the sake of numbers. The reason we were not very active in the ACN because the margins were very low, the competition for the international market was very high, and we were looking for an opportunity for the technology of the better where we can get the better margins.

Now we could achieve in our R&D and the reason we are talking today, the new technology will give the advantage, and we have already

ready having the plant. Just adding few equipments, integrating, and we are going to launch this new technology with the latest pricing and even you will see the quality of the product also will be like HPLC and all.

Rohit Sinha: And second question on our Morpholine side as we have received that BIS mark on that, but already we are also adding capacity for one-step forward product for Morpholine. So, is it like going to impact in demand also for our new product or we will continue to see a good demand for Morpholine?

D. Ram Reddy: The third plant which we are talking today is for the N-Methyl Morpholine or part of the capacity can be also used for the Morpholine. Today our capacity is almost 10 to 11,000 tons, we have the capacity in both the plants together, and the country's consumption is almost 9,000 to 10,000 tons. So, looking into the next two years' growth, including the domestic and as well as international market, we are adding these capacities whereby partly we will cater for the N-Methyl Morpholine customers and partly we will take care of the upcoming growth of the Morpholine in the country as well as the international market.

Rohit Sinha: And just looking at the overall capacity which we have right now, I mean, lot of capacities are about to commission maybe in FY '26 or some would be coming by FY '27 also. So, after all these capacities coming into commercial stage, I just wanted to know what kind of volume growth we are looking at for Balaji on standalone basis and on consol level for next two, three years?

D. Ram Reddy: See, current year, because the new capacities are only part, like if the DME comes in the end of the financial year, it may give very little. The reason I am talking about the 10% to 12% on annual basis the growth in the current financial year, but definitely after commissioning this, you will see the minimum 40,000 to 50,000 tons of the volume will be added into the total manufacturing in the next financial year after commissioning this Di-Methyl Ether and the other two plants.

Rohit Sinha: And sorry to may be asking again on this DME product. Just I missed out that what is the status right now on the DME side for blending?

D. Ram Reddy: Plant is getting ready. So, the commissioning will be ready maybe end of the year or may be first quarter of the next year we will see the product will out. In the meantime, with the blending notification from the Bureau of Indian Standard, which is initiated by the Government of India, is at final stage. It shows on the, if you go to the website, if anybody is listening, you can just go to the website of the BIS and click on the Di-Methyl Ether situation. It shows that gone for the Balaji Amines Limited

November 19, 2024

Page 11 of 15

publication. So, it can be because of the elections in the state and the other activities and even international country level also, we expect minimum by end of this month the notification should out after publication.

Rohit Sinha: And one last question on this DME only. I mean, since we are already adding capacity MA, on this full capacity once this DME would be operational, will it required further addition of Methyl Amine or that would be sufficient whatever we have added?

D. Ram Reddy: There is no Methyl Amine consumption in the DME. It is totally different. So, it is no way related to Methyl Amine, sir. Di-Methyl Ether is totally different.

Moderator: Thank you. Our next question comes from the line of Anil Shah with Insightful Investment. Please go ahead.

Anil Shah: I just wanted to ask a question on, are we not really doing a lot of CAPEX in anticipation of things going the way they should? So, we did a large CAPEX for DME in the hope that the alternative to LPG will happen. We are still waiting for the notification. We did similar CAPEX for a lot of product

s primarily for battery, but we are seeing that, that is getting delayed quarter after quarter, quarter after quarter. And now we have now planned another 750 crores of CAPEX in our subsidiary, which today is running at 3 crores EBITDA in the last quarter.

I am not able to understand where exactly are we headed in terms of, obviously, I understand China dumping in multiple products. We have seen many other chemical companies also going through the same thing, but nobody has planned large CAPEX is on the hope of a few either in EV battery charging or the government doing something. We seem to be doing completely on that side only, and if these things don't happen, we have seen what happens to our P&L and our profitability over the last two years. So, can you just explain, sir, how...?

D. Ram Reddy: Mr. Anil, first of all, you must understand what is going on around the country, you must understand the government policies. Then you will not talk all these things. There are almost 15,000 crores investment at the verge of end in the EV battery. Do you think that these people not thought of anything and the Government has spent on the PLI scheme, few thousand crores they have allocated for this battery. So, that is number one.

Number two, you are talking about the DME. You know, how much is import today the LPG. There is about 30%, more than 30% of the country's consumption is totally imported today, which goes in millions of tons. And I am not talking about I am going total country. If we think of catering surrounding these districts, it is more than enough my 100,000 tons.

If I go to the commercial level, if we invest some more money on small cylinders, which we are

not presently concentrating, we are talking about only bulk, we are talking about only blending. If you go to the commercial, we have all survey, check, there is more than 10,000 to 15,000 tons in the three districts, consumption of the commercial LPG is there.

Balaji Amines Limited
November 19, 2024

Page 12 of 15

If we cater to them because the government will not come in the way if we cater this to the private, and there is an aerosol requirement in the country who are presently struggling for the various type of this thing and depending for the imports. So, that is on the DME.

In fact, if many people are thinking if this goes as a 20% blending, we need to go minimum another 10 plants like this, the various part of the country. And if you Google what the government is thinking on the alternate for the LPG, alternate for the fuels, if you see the speeches of the Honorable Cabinet Minister Mr. Nitin Gadkari, so, you will understand all these things what is happening around the country.

And number two, you are talking about the specialty chemicals. Did you heard what I said what are the products? These are the products country is largely depending on those products. We are not producing. Nobody is producing in the country like Tri Ethyl Ortho Formate, Tri Methyl Ortho Formate. And we are struggling for imports. During the COVID, there was an acute shortage of these products, and there is a reason we have selected all these products. And we are not doing any big borrowings, and simply sitting on the cash will not give you any results, right? We are doing the majority of the expansions from the internal accruals and looking to the future thinking of the government, future policies of the government, we have designed. And not, any product is not taken a decision in single year. These are all taken a year or two years' time for concluding the decisions for taking these products.

Anil Shah: So, coming back to DME, sir, since we have already, obviously, the CAPEX is done, you are talking about COD by latest in the first quarter of next year. At optimum capacity utilization, what do you think will be the p

ossibilities of an absolute EBITDA that we can make in that 100,000 tons capacity in DME that we have, sir?

D. Ram Reddy: Mr. Anil, it is very difficult to assume. That is what you people are looking. Everybody, you will be very hurry. Before starting the plant, you want to know what is the EBITDA and what is the profit.

Anil Shah: But if you have set up the plant, there would be some assumptions that we would have made no, sir? We are just asking on what is the, that is all that we are asking, where do you think on a rational basis that we can make?

D. Ram Reddy: Let me finish my dear. If I say today 30%, immediately you will ask in the next quarter what happened to 30%? That is the reason I am not in a position to tell you.

Anil Shah: So, we are not asking for the quarter. We are asking in a broad year, in a normalized year, and I am presuming even next year.

D. Ram Reddy: Broad year already given. It will be at the par with the existing investment. The EBITDA will be between 18% to 22%, for all the investment what we are doing.

Anil Shah: On the DME side?

Balaji Amines Limited
November 19, 2024

Page 13 of 15

D. Ram Reddy: Yes.

Anil Shah: And so, battery chemicals now, we also believe that some of these companies are going to start their production very soon, probably in the next couple of months. All of them would...

D. Ram Reddy: Did you visit them?

Anil Shah: Yes, sir, we visited them.

D. Ram Reddy: Then how did you ask me, why I am planning for the expansion of the plant?

Anil Shah: No, sir, the question to ask here is, sir, what is, they also would have given you.

D. Ram Reddy: Don't waste your time and my time, my dear. Let us go realistic. If it is realistic, you should tell, yes, what you have done, then I have to do.

Anil Shah: Sir, that is what we are asking you from next year perspective, if these plants actually come in operations, then what is the kind of revenue that we as a company can provide to these people and in the products, particularly going towards battery chemicals.

D. Ram Reddy: I will tell you. See, there are one main solvent which is NMP. So, nobody producing. We are only people producing in the country which is required for all the batteries and out of all these 3-4 people, there are 2 people who already approved the sample. And in fact, they said that at we will discuss and we will place the order in the November, but when we verified, it is too early. Probably, it may take a minimum of another 4 to 6 months' time, may be in first quarter of the next year only, the realistic commercial things will happen. That is one thing.

Second thing, they call it as electrolytes. All the carbonates are required in the electrolytes, which

are only a couple of companies, not all the companies, couple of companies are going to start this, where we will be catering this.

And third thing I will tell you, the government has allocated and there are one or two big companies have already jumped into these semiconductors. Again, the same products. So, there are two-three products from our total basket are required in the semiconductor also, with the same little modification in the quality, more of the purity and more of the metals free required. Assuming all these things, looking into all these things, we are ready with the capacities. And we never expected that people will take two years', three years' time for the commencing. For your information, there is a company's largest company going for the EV batteries. They asked for the sample and price today. They have not even started the land digging. When we went and verified the site, they did not start even the land digging and they are asking for the price and sample. So, this is the situation with the battery manufacturers. So, the reason we are ready with the capacities, but we are waiting

for the opportunity.

Balaji Amines Limited

November 19, 2024

Page 14 of 15

Anil Shah: And sir, other than these two, one being DME and the other obviously being more related to the battery chemicals, in general, are we now seeing a little bit more stability in end product pricing?

And are we seeing the intensity of China's pricing pressure across the world easing a bit?

D. Ram Reddy: Definitely, because there are few products. Like, see, China, other thing also, you must aware that U.S. and Europe, they started putting the huge anti-dumping on the Chinese products. That is another additional opportunity to going around world like U.S. and Europe where you will get the opportunities for these new chemicals, which you are talking today that like cyanide-based intermediates. In addition to the India, we have an opportunities going around the world.

And yes, you are right that earlier four to six months' time, because prices went rock bottom and now started coming to the realistic. This month we have seen something, but it may not be full of this quarter, but definitely next quarter onwards, we feel that the prices should come to the realistic levels and that will give an advantage to the companies who are having the readymade capacities.

Moderator: Thank you. Next question, the last question comes from the line of Bhagwan Chaudhary with Shubh Capital.

Bhagwan Chaudhary: Most of the questions have been answered. Just one question I have. This is regarding that you had mentioned that the DMA, the new capacity is coming with the new technology as well as the ACN also you are coming with the new technology where you will be more competitive in terms of the pricing and all. So, how should we think that initial capacities, which we are having, will those be obsolete?

D. Ram Reddy: This is the right question you asked me. Number one, the DMA, that Methyl Amine, new technology means as of now, all the plants, even we and whatever competitors are having, those are by nature, you will get the three products, Di-Methyl Amine, Mono Methyl Amine, Tri-Methyl Amine. By default, you will get it. And for selling, like if I am not in a position to sell my Monomethylamine, sometimes even though I do not have the DMA, I will have to shut my plant. That was the situation even for the many people are having the situation.

In this new plant, we can produce single DMA, 100 tons, 110 tons per day without producing other two products. That is the beauty of new technology. What we achieved in the Ethylamine's also, I said, this I was telling for the almost one year that Tri-Ethyl Amine alone we can produce 50 tons, we are producing today without producing other Ethyl Amine's. So, same thing will happen with Methyl Amines. If the DMA demand is there, we can operate only our plant only for the DMA. So, that is the beauty of technology. That is the reason I am talking new technology.

Bhagwan Chaudhary: And same is true with the other monomethyl, mono amine, this?

D. Ram Reddy: Acetonitrile.

Bhagwan Chaudhary: Mono Methyl Amine.

Balaji Amines Limited

November 19, 2024

Page 15 of 15

D. Ram Reddy: We will not talk about that.

Bhagwan Chaudhary: The same is true with Mono Methyl Amine, means if you want to produce the 100% Mono Methyl Amine, that is also possible?

D. Ram Reddy: No, we can take, plant can be, we can take into the mode of natural, like existing plants. Like that you can get all the three products. You cannot get the single MMA and TMA. Only DMA which is having the demand for the years. So, we have developed the technology, and we have implemented the technology, but the DMA's demand is more or on the wide. There is a reason we thought that single DMA can be produced, and we started that last 10 days. We started on

10th. For your information, yesterday's pro

duction was 110 tons, only DMA.

Bhagwan Chaudhary: And you think the initial, the earlier plant will also there be in existence and the requirement for other amines will be there, so that will also be functionally equal.

D. Ram Reddy: Yes, you are right.

Moderator: Thank you. Due to the interest of time, we have reached the end of the question -and-answer session. I would now like to hand the conference over to Amogh Deshpande for closing comments.

Amogh Deshpande: Thanks to all participants and special thanks to the Balaji Amines ' management for sharing their views on the company Q2 FY '25 performance . We take this opportunity to thank Mr. Ram Reddy and his team once again. Would you like to make any closing comments, sir?

D. Ram Reddy: Thank you , Mr. Amogh . Thank you. I would like to thank you all the participants, all the investors, stakeholders who have shown the confidence on the company. I am once again thankful to you all. I assure you all the members, company will not let you down for the investment you made and the company will be with you. All the expansions, investments are made by giving the due thought , and I once again thank you all the investors and participants. Thank you very much.

Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2025

26th June , 2025

To,
The General Manager -Department of
Corporate Services,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.

The Manager -Listing Department,
National Stock Exchange of India Limited,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051.
Scrip Code : 530999 Symbol : BALAMINES

Dear Sir/Madam,

Sub.: Submission of Earnings Call Transcript under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of Q4 FY2025 Earnings Conference Call held on Thursday, 19th June , 2025.

The transcript of the said Earnings Call is also available on the website of the Company at <https://www.balajiamines.com/investor-relations.php>.

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Balaji Amines Limited

Abhijeet Kothadiya
Company Secretary & Compliance Officer

Encl.: a/a

Page 1 of 15

"Balaji Amines Limited
Q4 FY '25 Earnings Conference Call"
June 19, 2025

MANAGEMENT : MR. D. RAM REDDY – MANAGING DIRECTOR – BALAJI
AMINES LIMITED

MODERATOR : MR. AMOGH DESHPANDE – ELARA SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Balaji Amines Limited Q4 and FY '25 Earnings Conference Call hosted by Elara Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance in the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amogh Deshpande. Thank you, and over to you, Mr. Deshpande.

Amogh Deshpande: A very warm welcome to everyone to discuss Balaji Amines Q4 FY '25 results. It is our pleasure to be able to bring to you the management of Balaji Amines Limited, led by Mr. D Ram Reddy, who is the Managing Director. I would now hand over the conference to the Balaji Amines management for their opening remarks, which shall be followed by a question-and-answer session. Over to you, sir. Thank you.

D Ram Reddy: Thank you. Thank you, Mr. Deshpande. Good evening, everyone, and thank you for joining us today for Balaji Amines earnings call for the fourth quarter and the financial year ended 2025. We appreciate your continued support and interest in our company. I hope everyone had an opportunity to go through the financial results and investor presentation.

Today, I will walk you through our financial performance, key business highlights and our strategic initiatives we are undertaking as we continue to focus on long-term value creation. Let me begin with an overview of the industry landscape. We continue to navigate a mixed demand environment. The pharmaceutical sector has shown stable demand, which has supported our base volumes.

However, the agrochemical segment remained volatile during the quarter -- with only a marginal year-on-year increase in demand. On the pricing front, we are witnessing continued pressure across key product lines.

Turning to our business performance. I'm pleased to share that this year, we made significant strides in expanding our capacity and enhancing our product portfolio. We successfully commenced operations at 3 important facilities, the methylamine plant, the N-Butylamine plant at Unit IV and the rooftop solar panels installed across our units.

In line with our ESG commitments, the first phase of our solar power plant with a capacity of 8 - megawatt DC was commissioned in April 2025. This initiative is already helping us to reduce power cost across all plants substantially, which is a positive step toward lowering our carbon footprint. On the product side, we enhanced our existing Dimethyl carbonate plants with new equipment for producing Electronic DMC, which was commissioned successfully in May 2025. We also expect to commission the Propylene Glycol pharma grade plant in the coming quarter of this financial year 2026. The construction of our Dimethyl ether plant is progressing well with commissioning planned during this financial year. Similarly, N-Methyl Morpholine plant at Unit IV is under active execution.

Balaji Amines
Limited June 19, 2025
Page 3 of 15

Most equipment has been ordered and field works are underway with commissioning expected in the financial '25-'26. We also reconfigure our existing Ethyl Amines plant at Unit I to manufacture isopropyl amines, which will have a capacity of around 20 to 21 tons per day. We anticipate commissioning this facility once we receive the necessary pollution control permissions.

Additionally, we are undertaking the capacity expansion for our acetonitrile plant at the Unit III in Chincholi, selling up to 60 metric tons per day, this is expected to be commissioned in the financial year 2026 and '27. Looking ahead, we plan to set up a new plant for the manufacture of NBPT with a capacity of 2,500 tons per annum. This

project is expected to commence in the next financial year.

Importantly, all these projects are being funded through internal accruals, highlighting our strong financial position and cash flow generation capabilities.

I would also like to update you on the expansion activities of our subsidiary, Balaji Specialty Chemicals Limited. We are executing a greenfield project worth approximately INR750 crores focused on manufacturing a range of specialty chemicals, including Hydrogen Cyanide, Sodium Cyanide in various forms and EDTA product, Benzyl Cyanide, Phenyl Acetic Acid and Tri Ethyl Orthoformate and Tri Methyl Orthoformate. This project is progressing well, and is expected to be commissioned by the end of financial year '25-'26.

Additionally, a brownfield expansion for EDA-based products at Unit I is on track for commissioning in the financial year '26-'27. With these strategic initiatives underway, let me

now take you through the financial highlights for the fourth quarter and the full year ended March 31, 2025.

During Q4 financial year '25, we witnessed an improvement in our business performance compared to the earlier quarter of the financial year. This was largely supported by relatively favorable global microeconomic conditions and a gradual uptick in volumes. As this trend continues, we anticipate a corresponding improvement in both EBITDA and PAT margin in line with the broader recovery seen across the chemical and specialty intermediates industry.

Let me now walk you through the consolidated and stand-alone financials for the quarter.

Revenue from operations for Q4 FY '25 stood at INR361 crores compared to INR321 crores in Q3 FY '25. Total values were 25,871 metric tons in Q4, up from 24,107 metric tons in Q3 FY '25. EBITDA for Q4 FY '25 came in at INR68 crores compared to INR54 crores in Q3 FY '25 with an improved EBITDA margin of 19% versus 17%. Profit after tax stood at INR40 crores for the quarter compared to INR31 crores in Q3 FY '25. The segment-wise volumes for Q4 FY '25, Amines volumes stood at 8,316 metric tons. Amines Derivatives volumes stood at 8,389 metric tons and specialty chemical volumes stood at 9,167 metric tons.

On a stand-alone basis, we continue to remain a zero-debt company. Revenue from operations stood at INR327 crores for Q4 FY '25 compared to INR305 crores in Q3 FY '25. EBITDA was INR64 crores compared to INR57 crores the previous quarter with EBITDA margin improving to 20% from 19%. PAT for Q4 FY '25 was INR40 crores, up from INR36 crores in Q3 FY '25.

Balaji Amines

Limited June 19, 2025

Page 4 of 15

Now coming to the full year performance for financial year 2025. On a consolidated basis, revenue from operations for FY 2025 was INR 1,430 crores compared to INR1,671 crores in FY 2024. EBITDA stood at INR265 crores compared to INR353 crores with an EBITDA margin of 19% versus 21% last year. PAT stood at INR159 crores compared to INR232 crores in FY 2024. On a stand-alone basis, revenue from operations stood at INR1,296 crores compared to INR1,359 crores in FY 2024. EBITDA came in at INR249 crores from INR265 crores ** with an EBITDA margin at 19% and PAT for the year was INR156 crores compared to INR171 crores in the previous year.

While the year was marked by challenges across input costs, pricing pressure and the global uncertainty, we believe the steps we have taken on capacity expansion, cost efficiency and portfolio diversification have laid a strong foundation for recovery and growth.

With that, I conclude my remarks. I now open the floor for questions and answers.

Moderator: Thank you. The first question comes from the line of Ahmed Madha with Unifi Capital. Please go ahead.

Ahmed Madha: Firstly, trying to understand the time lines of all projects and the product expansion. Please correct me if I'm wrong. Is it fair to assume the DME and all the other derivatives such as MIPA/DIPA, NMM NBPT,

all will be commercialized by FY '27 end. Is it fair to assume that way?

D Ram Reddy: See, I will give you all this -- Dimethyl ether, it will be commissioned in this financial year '25 - '26 only. N-Methylmorpholine also by the end of '25 - '26, Isopropyl amine, actually, plant is ready, will be commissioned. We are waiting to MPCB clearances consent to operate, maybe we get in a week's time. We will be expecting to commercially commissioned by this week.

Ahmed Madha: Okay. And acetonitrile, you said FY '27. Is it?

D Ram Reddy: Yes.

Ahmed Madha: And in terms of acetonitrile, you are supposed to change the technology for the existing capacity as well. Is that done? And how is that progressing?

D Ram Reddy: See, we are -- the upgradation and the expansion is together in the existing plant modifications, which will be commissioned by 2027 with the new technology only.

Ahmed Madha: Okay. And so far existing -- I mean, in last FY '25 financial year, our volumes for acetonitrile were close to negligible or there was some?

D Ram Reddy: Very negligible. You are right, very negligible.

** During the call, EBITDA figure was inadvertently said as Rs. 265 crore, please note the EBITDA should be read as Rs. 267 crore as a factual figure, as reported in the financial results.

Balaji Amines

Limited June 19, 2025

Page 5 of 15

Ahmed Madha: Okay. Got it. Now just trying to understand the demand side for DME and other derivatives, have we started doing the validation batches and conversation with customers. If you could give us some sense of how that is progressing?

D Ram Reddy: Yes. Actually, plant is getting ready. This being the first time manufacturing and being a gas

farm, so we are waiting for the certain approval from the PESO point of view. The moment we get that approval, probably we'll start the plant and we'll start distributing the samples and all these things will take place.

Ahmed Madha: Okay. Okay. This is for the stand-alone. On the subsidiary side, you said the INR750 crores Greenfield capex will be completed in FY '26 itself. Can you give some sense what...

D Ram Reddy: It is in the 2 phases my dear. First phase will be about INR350 crores to INR400 crores. And the rest will be in the second phase. In first phase, we will be doing Hydrogen Cyanide, Sodium Cyanide, that is solution and 100%. And so EDTA derivative. These are the products we are going to make in first phase. And the rest other products will come in the second phase.

Ahmed Madha: And second phase will be done by FY '27 or later?

D Ram Reddy: Yes, after FY '27. Yes. Once we commission all these plants, then we'll take up those plants.

Ahmed Madha: Makes sense. Now for this product, what are the key application segment we are targeting? And also because this is cyanide chemistry, not many people are doing it. If you could give us some sense how we have been able to build this technology through partnership or our own R&D, if you can give some sense so that we understand and appreciate your technology a little bit?

D Ram Reddy: You are right. You are right. This Sodium Cyanide is a technology that we very closely target, which is having very few people. And we have taken some basic in-house know-how from the outside country, which has been Indianized and detailing, engineering and designing of the equipment is done by the in-house. And the consumption of these products is majorly into pharmaceutical industry as well as agrochemicals also.

Ahmed Madha: Okay. Will it be possible for you to share who the technology partner is?

D Ram Reddy: I think it's difficult to share right now probably once we commission all the things, I will definitely like to share.

Ahmed Madha: Last question from my side. If you look at last 1 financial year FY '25 and we look at a stand-alone business and just keeping the subsidiary aside for time being, we had top line contraction

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as well as margin contraction, while if I look for a close competitor, there was -- in the stand-alone business, there was growth as well as margin improvement. I understand the product mix are different and there will be slightly different trends. But would it be -- if you could explain what explains the divergence and also how you are seeing the pricing and volume trends in the base business for FY '26?

D Ram Reddy: Yes. See, normally, as you rightly said, the product mix is different from company to company. And then in 1 financial year, one company's products mix may do the better and other companies

Balaji Amines

Limited June 19, 2025

Page 6 of 15

products may not have done better. That is the reason why it has happened. And coming to the current financial year, we have seen April, May, we have seen very positive even in the price point of view also we have seen.

But just recently, last 1, 1.5 weeks, we are seeing little pressure on the pricing because of the raw material prices. All these things became a little uncertain worldwide because of the war condition because majority of the petrochemical products, indirectly, it comes impact from the Iran impact.

So probably we will have to wait for the stability, then we will understand how it will go for the next 1 or 2 quarters. But demand is there, only unit prices are going up because of this.

Ahmed Madha: Got it. And if we keep pricing aside for time being, for this year, you have visibility of what percentage volume growth, if you can give some range?

D Ram Reddy: We are expecting minimum 10% to 12% of the volume growth.

Moderator: Next question comes from the line of Rajiv Rupani, an individual investor.

Rajiv Rupani: Yes, sir. Sir, my first question is regarding DME. Sir, when we last spoke in November '24 call, so you had said it will be commissioned by end of this year or maximum Q1 FY '26. And right now, you're not committing a date. So could you please guide us by when it will be commissioned?

D Ram Reddy: Thank you, Rajiv. See, plant is ready. Everything is ready. We are waiting for the PESO. PESO means I'll tell you, since it is the first time the product, it will start right from the creating code of the product for applying for the PESO license. That is number one, which is completed. Then we will have to apply for the storage tank, bulk storage tank at our end. Second, bulk storage tank for the customer and also you need to have the guidelines in place. And thirdly, road tankers permission. Fourth, cylinders permission is partly done. I think some of the cylinder permission we have received. Now we are waiting for the road tank permission. And since we are talking about the blending in the LPG, so we were requesting the government that you should give the permission on the existing LPG tankers only.

We should be in a position to utilize because since BIS have already notified that. 20% of the DME share can be mixed firstly, blended into LPG. So we are waiting for all these things. The moment we get it, it's a matter of days to commence.

Rajiv Rupani: Okay. And what kind of capacity utilization you expect this year?

D Ram Reddy: See it's very difficult, Rajiv to say. The moment we would get the permission, if the acceptance comes from the customer end, we may go minimum 50% to 60% capacity.

Rajiv Rupani: Okay. Sir, my next question is on BSC Unit I. Now sir, when we last spoke in November '24, you had guided that the debottlenecking will be completed in 4 months to 6 months. And now in your presentation, you have talked about Brownfield project, which will be commissioned in FY '26, '27. So there is a little confusion on my side. Is it the same or it's different?

Balaji Amines

Limited June 19, 2025

Page 7 of 15

D Ram Reddy: Yes. All I'll tell you is what we have done, the existing plant, the debottlenecking partly is done because all these modifications and

the Brownfield what we have to do is on the running plant

only. So we have to do 15 days, we are running and 15 days we are doing some of the works and we are expecting in the next 6 months to 7 months, we should finish everything.

By year-end, paper side, we have given the financial year first quarter of the next financial, we should be in a position to commence in full-fledged for the total Brownfield, whatever we are saying today.

Rajiv Rupani: So, sir, what I know is the products for which we had clearance was EDA, Piperazine DETA and AEP. Any other products besides these?

D Ram Reddy: Yes. That is TETA, Tri Ethyl Tri Amine, which is also again DETA TEPA, in existing PIP DETA also, we will get the increased quantities from the existing quantity.

Rajiv Rupani: Okay. And sir, my next question is currently, your stake in BSC is 55%. Is it possible for the company to increase the stake to, let's say, 75%, 80%?

D Ram Reddy: It's very difficult to say at this moment because it is related to the decision of the Board of Directors meeting. So see once you commission the first phase of the Unit II of the subsidiary, then probably there will be some path to discuss on these.

Rajiv Rupani: Okay. And also on BSC Unit II, when we spoke in November '24, you said in 11 months, it will be commissioned. And now you have told about end of FY '25 -26. So is there a delay of 4 months, 5 months?

D Ram Reddy: No. It only 2 months, 3 months delay because of the rains and all. Already erection is underway, some of the things erected and some of the big equipments on the way to come. Probably we will see if you come by next month end that is July and August, you will see a lot of equipment in place.

And we are taking all the equipment direction on the commissioning then trial because being the first time product being a cyanide based product. We are taking precautions and longer term, we are telling you probably end of this financial year, we may be in a position to commission and commercialize at least one or two plants.

Rajiv Rupani: Okay. My next question was on this DMC, electronic grade DMC. Have we tied up with the battery makers? Any update on that?

D Ram Reddy: We have given one ISO tank to one customer and some part quantity to one customer of electronic grade. We have also given some trial order some 50 tons, 60 tons trial orders we have given. So we just started in the last two weeks only I think one week back only we have given one ISO tank detail to one of the battery chemical manufacturer.

Rajiv Rupani: So by when can we expect this plant to be commissioned fully?

D Ram Reddy: This all depends on their commissioning, Mr. Rajiv. We are waiting. In fact, even for the battery people also, they started taking. See, along with the DMC, there are other chemicals which will

Balaji Amines

Limited June 19, 2025

Page 8 of 15

go. That also we got one more trial one ISO tank which we have already given that is NMP we have given the battery grade material to one of the battery manufacturers. So we – see we have done trials, they also go for their trials in their production. Once they come in, they are commercial, then we will be gearing up our full swing supplies.

Moderator: Thank you. Next question comes from the line of Anil Shah with Insightful Investments. Please go ahead.

Anil Shah: Yes. Hi, sir. Good afternoon. Okay. So I just wanted to know what exactly will be the spending on capital expenditure over the next -- each of the next 2 years in standalone and separately in a subsidiary, sir?

D Ram Reddy: See, standalone as of now, we have only not more than INR200 crores to INR250 crores whatever the products we have identified. And as far as our subsidiary is concerned, it is from - - total figure of INR750 crores. First phase around INR300 crores to INR350 crores and second phase INR350 crores to INR400 crores.

Anil Shah: So first phase is INR350

crores. The second phase will be INR400 crores in the subsidiary ?

D Ram Reddy: Yes.

Anil Shah: And in standalone, we will be doing INR250 crores?

D Ram Reddy: INR150 crores to INR200 crores. It's partly already done, the N -Methyl Morpholine (NMM) and the solar is all partly completed. Only one product full project is pending. There may be about INR70 crores, INR80 crores. And this part of these expenses are pending, all put together, not more than INR200 crores.

Anil Shah: Not more than INR200 crores in standalone.

D Ram Reddy: Yes.

Anil Shah: Correct. So this is overall -- this is actual capital expenditure spend. This is not the capitalization of CWIP, which is already there. Am I correct?

D Ram Reddy: Yes.

Anil Shah: So my question to you is, how will -- on a consolidated basis, given that the subsidiary is looking for a pretty large capital expenditure over the next 2 years, on a consolidated basis, if we assume the business to be continuing the way it has over the last 2 or 3 years, how will the balance sheet look at the end of March '27 in terms of net cash, debt...

D Ram Reddy: In the last 2, 3 years, I think the last 1 year, the subsidiary was not doing well on account of some import competition because of the product mix since we are doing the Brownfield some modifications we are doing. This financial year end, you will see some 1 month we will get this actual result of this investment.

Balaji Amines

Limited June 19, 2025

Page 9 of 15

Yes. Next year, both Unit I, the existing unit definitely will do about INR200 crores to INR300 crores minimum in the Unit I. And in Unit II, the expansion unit also may do another INR300 crores to INR400 crores top line.

Anil Shah: You're talking about subsidiary in FY '27?

D Ram Reddy: Yes.

Anil Shah: So is there a chance that by March '27 annual report, we will be a net debt company on a consolidated basis?

D Ram Reddy: Net debt.

Anil Shah: Yes.

D Ram Reddy: Yes, probably we see if in the 1st phase, we may not see much of the debt, maybe INR100 crores, INR150 crores we may require in subsidiary level. But as far as the standalone is concerned...

Anil Shah: Right now, we are net cash. We are almost INR300 crores plus net cash?

D Ram Reddy: Yes. See, what happens today, we have the surplus in both standalone as well as the subsidiary. This year, we'll be consuming both cash as well as surplus. In addition, we may consume the working capital basing on the DP available, stocks and DP available, whatever working capital. After that, if anything required at the end of the finishing these two expansions, we may go INR50 crores, INR100 crores only for the debt by '27. I'm just -- approximately I'm telling you.

Anil Shah: Sir, just continuing with this question, if I look at last 2 years, we've spent almost about INR440 crores on fixed assets, on basically capital expenditure. Part of it could be maintenance and part is expansion. Out of this INR440 crores, the increase in CWIP is just about INR100 crores, INR120 crores, okay, out of the INR400 crores. INR280 crores have already been capitalized, which tells me that the plant is up and running, but we don't see that kind of growth in revenue and EBITDA and profitability?

D Ram Reddy: See, Mr. Shah, what happens any time you go for any expansion, first financial year you will not see any turnover immediately to 80%, 100%. And here we are talking about all the products first time in the country. As far as the solar is concerned, it has already started generating the revenue from April onwards.

And the MIPA, which is going to start this month and DME which we invested about INR150 crores to INR200 crores on that single plant, which will be commissioned because yesterday, I was answering to the other question, we are waiting for the PESO approval. The moment we get the approval, then immediately we may get 50% of the plant utilization in coming

period. So

next year, definitely, you will see these results.

Anil Shah: I understand, sir, but despite INR440 crores of capex spend, our top line is down 40% over 2 years?

Balaji Amines

Limited June 19, 2025

Page 10 of 15

D Ram Reddy: That's what I am telling you my dear, the plant is yet to start. The money spent, but we are waiting for the permission. The moment we get the permission, we'll start these revenues.

Anil Shah: Sir, that number that you're talking about in terms of plant yet to start should show in CWIP, which is just about INR200 crores. 2 years back, that number is INR ---10 crores. The increase

in CWIP is only INR120 crores. We have spent INR440 crores, which means that the rest of the INR320 crores has been capitalized, which means production is on?

D Ram Reddy: See, one plant is already started, that is n-butylamine. Now we are talking about NBPT, which is in continuation of that product, which we have yet to build that plant. The moment we build that plant, this butylamine plant will run at 100% capacity, which is not running today. And the second one, dimethyl ether, which I'm telling will start running this year.

And third, we are spending -- partly we have spent some money on account of advance of equipment for acetonitrile that will also commence by year end. So all these things, we cannot expect immediately. It will take time. We have done only the DMC capacities, which we are waiting for the battery manufacturer to start.

And dimethyl ether which I said we are waiting for the PESO permission. Butylamine, the partly we are running. The part, we have to commission the other plant. So these are all I have to commission. You can say they are part of the same. The moment you produce 100 kgs of material, you are supposed to capitalize the amount. That's the reason you will say that you already capitalized so it will take time.

Moderator: Thank you. Next question comes from the line of Aditi Loharuka CD Equisearch Private Limited. Please go ahead.

Aditi Loharuka: Sir, could you please share the initiatives which you are taking to scale up the volumes of DME in current year and next year?

D Ram Reddy: DME, the total plant capacity is about 100,000 tons. And this year, we are talking about 50,000 tons. So if you go for 50% capacity utilization, it will be around 50,000 tons. And next year, probably we will do 70% which is 70,000 tons.

Aditi Loharuka: Okay. And could you please tell that how much revenue will the additional capacity generate?

D Ram Reddy: It's very difficult to say right now, Aditi. The moment we start depends upon the prices, probably it will be INR70 to INR75 per kg, approximately, I'm telling you, depends upon the raw material prices at the time of commissioning.

Aditi Loharuka: Sir, could you repeat the number, I didn't get you?

D Ram Reddy: This is about INR70 per kg.

Aditi Loharuka: Okay. And just one query that why has the commissioning of ACN plant been shifted to next year?

Balaji Amines

Limited June 19, 2025

Page 11 of 15

D Ram Reddy: Because we have other plants in place. ACN is already -- there are two, three manufacturers are there. And we wanted to make sure that the new technology should work. We have done some R&D on that. Now we are sure that the new technology and new equipment we have designed, which is ordered because of that we have taken time.

Aditi Loharuka: Okay. So will it be commissioned in H1 of FY '27, should we believe this?

D Ram Reddy: Yes, by the end of the current financial year to start of the next financial year.

Aditi Loharuka: Okay. And what kind of margins can we expect from ACN?

D Ram Reddy: It is very difficult in this volatility market paying for a year is very difficult. But as I said earlier, even now I'm also optimum on the EBITDA of around 19% to 20%.

Aditi Loharuka: Okay, sir. Thank you.

Moderator: Thank you. Next question

comes from the line of Aman Madrecha with Augmenta Asset Managers LLP. Please go ahead.

Aman Madrecha: Hi, sir. Thanks for the opportunity. Sir, could you please highlight like how is the marketplace basically across all the products, let's say, like DMAHCL, DME, n-butylamine and all the new products that are coming up. Similarly, like what is the demand and how much is the import like?

And can there be a situation wherein we could face a situation like a DMF scenario wherein we are not able to utilize the plant because of dumping from other countries. Could you highlight on all the products across like how is the marketplace?

D Ram Reddy: Yes. So as regards to DMF, we just started improving our capacity utilization. This year you will see there will be improvement because we are running the -- trying to run the full capacity.

And as regards all other products, there was a very positive April and May, we have seen across all the products, there was a good demand. And even pricing also, there was an improvement.

Only thing is now last 1, 1.5 weeks, we are facing some problem in the raw material prices increases because of this war situation between Israel and Iran. So until otherwise, the stability comes around the world, it's very difficult to say where we stand. But I can guarantee that there are a few products which goes in the essential like life-saving drugs and all, like as you said, dimethylamine hydrochloride, those are running full capacity.

There is no problem because it is consumables like medicine, human consumption, those are running well. Only thing is we are getting some pressure on the pricing.

Aman Madrecha: To this point, for example, because of this tension escalating between Iran and Israel, we are

expecting that the methanol prices could shoot up drastically, right, and would impact the profitability?

D Ram Reddy: It has already increased. Last 1 week, they have increased about INR7 to INR8, but it has to stay stable. Somebody will take over this instead of Iran, either Saudi or Qatar or Yemen, those

Balaji Amines

Limit ed June 19, 2025

Page 12 of 15

people will jump in and prices will be stable somewhere. Today, they are talking about INR30 , INR31. According to us, it should stable somewhere INR27 to INR28 as against we are expecting from INR23 to INR24.

Aman Madrecha: And also, sir, like for example, our -- one of the bigger expansion is coming in Dimethyl Ether, 1 lakh ton of capacity. So like how is the marketplace domestically obviously, it's a 20% blending with LPG, etc. But currently, are we -- is the country importing DME from someone or is the first time that DME is used in LPG?

D Ram Reddy: Actually, this is what we see as an alternative for the LPG. The country is presently importing more than 30% -- 25% to 30% of the LPG from the outside country. So that's the reason the BIS has given its notification -- saying that you can blend 20% DME into LPG.

So we are working with the Government of India to get a notification to all oil companies to blend this. That is number one. Number two, we have an opportunity to all aerosol consumers wherever the pressure required for the aerosol manufacturing.

We expect that we will replace the entire aerosol market the moment we get the PESO permission. And thirdly, there's a commercial, if we don't succeed immediately for the blending in the LPG, but there is a commercial requirement like commercial hotel industry and industrial use where the LPG is used for the heating.

So there, our product will be definitely viable and we don't need any permissions or anything, we can directly go ahead. Only thing is we are waiting for the permission of PESO, Chief Controller of Explosives Service Center. The moment we get that, nothing will stop us going into the market. We do not need to wait for the blending into the LPG.

Aman Madrecha: And also, sir, if you could highlight on how i

s the EDA doing, Ethylenediamine, because we

have been seeing that the subsidiary numbers are deteriorating, the margins are taking a hit. So what is happening on the EDA side of the things, if you could throw some light?

D Ram Reddy: You have a right question. See, there was a lot of dumping from China. Then we had approached the government for the antidumping, which is in the process the investigation is going on. And in the meantime, the prices have been improved little. That was the reason we started the plant. Plant is running presently at up to 50%, which we have closed for some time because of the dumping and the competition from China. And we are doing certain modifications also to minimize the EDA in Ethylenediamine and increase the other product portfolio capacity.

Aman Madrecha: Understood, sir. So we are currently operating the EDA plant at 40% to 50% utilization, right?

D Ram Reddy: Yes, you are right.

Aman Madrecha: And lastly, sir, could you throw some light like currently, if I -- like we are not generating any revenue from acetonitrile. We are generating maybe marginal money, let's say, from a DMF. So what are the key products wherein we are generating the money, be it the derivative side, be it the specialty chemical side, like where are we actually generating a good amount of money and the product is also viable?

Balaji Amines

Limit ed June 19, 2025

Page 13 of 15

D Ram Reddy: Yes. I think we have given in the annual results press release as well as in my speech, I have mentioned clearly what are the quantities like amines are there, methylamine ethylamine both together and derivative are there like NMP, dimethylamine hydro chloride, DMAC, DMF partly. Many products are there. So like that in specialty chemicals front like NMP is there, Morpholine is there.

So they are all contributing only other than ACN, all the plants are running. Only ACN we stopped because of the modifications and because of the price situation because of the new technology, new up-gradation, new technology. We are not producing presently anything in the acetonitrile plant, but all other plants are running.

Moderator: Next question comes from the line of Deep Chitalia from 9 Rays EquiResearch.

Deep Chitalia: Sir, my first question is the performance of the subsidiary seems to be more impacted in FY '25. So could you provide some reasons for this poor performance of our subsidiary?

D Ram Reddy: The same thing I was telling Mr. Chitalia what has happened because of the -- there are 2 reasons. Number one reason is because of the dumping from China, the competition from China, we were not in a position to run full capacity.

Number two, we have taken up some modifications in the plant, which is a brownfield, which

will complete by the end of this financial year, where we will be reducing these low -cost products, we'll be consuming these low -cost products and producing the high - value products like PIP, DETA, TET A, TEPA all these products.

So by the end of this financial year or first quarter of the next year, you will see the results of these modifications and you will see the actual maximum level of running capacity of this subsidiary. And also in the coming financial year, you will see the expansion of first phase some of the plants will be operating for the next financial year. So both put together, you will see the number of -- good numbers at the top level in the next financial year.

Deep Chitalia: Understood, sir. Sir, in the incentives which we are supposed to receive for this INR750 crores mega project from the State Government. So how it will get reflected in our numbers?

D Ram Reddy: That, we will see whatever the incentive sanctioned will be paid in over a period of 7 years' time. That depends upon whether the GST paid 50%, if GST paid on the sale, you are supposed to claim and the government is going to reimburse that, which we are getting

g. Some amount is

already for the Balaji Amines as well as in subsidiary also. We are already getting some cash in the current financial year.

Moderator: Next question comes from the line of Rajiv Rupani, an Individual Investor.

Rajiv Rupani: Yes, sir. My question was on DMF. So last we spoke, you had told us, you will apply for some antidumping duty on DMF. And now that our methylamines plant is commissioned, so what kind of capacity utilization we will see in this year? And what is the current prices of DMF?

Balaji Amines

Limited June 19, 2025

Page 14 of 15

D Ram Reddy: We started running at full capacity when it made loss also because right or wrong, with our government, we have to prove ourselves by making the losses at least 1, 2 financial years, we have to make the losses. Then you are eligible for the -- filing of the antidumping. So there is one file is already pending that EDA's investigation is going on.

After that, if we make these losses, as of now, we are not making eligible losses. We are running reasonably good only. So now we are running at 40% capacity, slowly we are increasing it to 60% to 80% capacity. And while doing this, if we make the losses, we become eligible for the antidumping and we'll be definitely filing the antidumping.

Rajiv Rupani: Okay. And I have a follow-up question on BSC Unit I. Sir, you just informed us that we'll be producing less of EDA and more of other products. So our other products, what I know the Piperazine DETA and AEP, we have environment clearance of 4,000 tons for PIP, DETA is 3,150 and AEP is 1,000. Any update on that as we have...

D Ram Reddy: No, no, we have a mix of other products like TETA, TEPA also we have applied. Those are also on plate. So we will be getting TETA TEPA. And in addition to that, the existing, as you rightly said, PIP, DETA and AEP will be increased.

Rajiv Rupani: Okay. So then can we expect 80%, 100% capacity utilization for the other products...

D Ram Reddy: Definitely next year.

Rajiv Rupani: Okay. And I have one more question N -Butylamine. What is the current capacity utilization and going forward next year?

D Ram Reddy: We are running currently 30 % to 35% capacity. I will tell you whatever is the country's consumption, we have covered almost 90% to 95% of the country's imports we have stopped for that product. Because we being a single manufacturer, initially we struggled, but today the stage has come, hardly anything coming from the outside country for this product.

Second thing, we are just sent the samples outside the country and we are evaluating for the REACH registration also for the exports. Third thing, which I just disclosed product called NBPT, N -(n-butyl) Thiophosphoric Triamide. This product is required N - Butylamines. So, that we are going to take up in the next financial year. So, that time this Butylamines is going to be operational more than 80%.

Rajiv Rupani: Okay. That was helpful . And my last question was on PG. What is the current capacity utilization and going forward?

D Ram Reddy: See, what is happening is PG and DMC both together will come in a plant. And DMC you are aware that the battery chemicals, nobody has it in full swing. This past one time we have given and we have to run both the plant. And in addition to that, we have applied for the pharmaceutical grade, pharma grade Propylene glycol.

So far, we are making only technical grade and food grade. The moment we get that permission, we will get the higher price for the PG and thereby the lower price ability will come for the DMC

Balaji Amines

Limited June 19, 2025

Page 15 of 15

for outside country, where we have paid the REACH registration also outside country since China is dumping at below RM cost because they must be using the same formula PG at higher

price and DMC at lower price.

So we are waiting for the -- actually, we focus only on DMC . Otherwise, we

would have got the

PG pharmaceutical license earlier if we have focused on PG assuming that the battery chemicals will go fast. And the reason we were concentrating on doing the battery grade DMC and all.

Now we understood that PG also that is important we should do the pharmaceutical grade PG.

So we have done some investment and some modification has been upgraded for the pharmaceutical grade and applied for the license. The moment we get the license, then this plant without battery also will survive more than 60%, 70% capacity.

Moderator: Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

D Ram Reddy: Thank you very much. I thank you all the participants, all the investors, shareholders who have shown the interest and confidence on the management and the company. We will not let you down. And thank you once again. We'll put all our efforts to make this company to highest level of the expectations.

And thank you once again, thank you very much. And one more, we welcome anybody who wants to visit the plants where the progress of the expansion can be seen with your eyes. So you can contact our CS who will be guiding you for the plant visits. Thank you once again. Thank you all.

Moderator: Thank you. On behalf of Balaji Amines Limited , that concludes this conference. Thank you for joining us, you may now disconnect your lines.

Call: Nov 2025

18th November , 2025

To,

The General Manager -Department of
Corporate Services,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.

The Manager -Listing Department,
National Stock Exchange of India Limited,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051.
Scrip Code : 530999 Symbol : BALAMINES

Dear Sir/Madam,

Sub.: Submission of Earnings Call Transcript under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of Q2 FY2026 Earnings Conference Call held on Wednesday, 12 November 2025 .

The transcript of the said Earnings Call is also available on the website of the Company at <https://www.balajiamines.com/investor-relations.php> .

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Balaji Amines Limited

Abhijeet Kothadiya
Company Secretary & Compliance Officer

Encl.: a/a

Page 1 of 10

"Balaji Amines Limited
Q2 FY '26 Earnings Conference Call "
November 12, 2025

MANAGEMENT : MR. D. RAM REDDY – MANAGING DIRECTOR – BALAJI
AMINES LIMITED

MODERATOR : MR. GAGAN DIXIT – ELARA SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Balaji Amines Limited Q2 FY '26 Earnings Call hosted by Elara Securities India Private Limited. As a reminder, all participants' line will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gagan Dixit. Thank you, and over to you, sir.

Gagan Dixit: A very warm welcome to everyone to discuss Balaji Amines Q2 FY '26 results. It is our pleasure to be able to bring to you the management of Balaji Amines Limited led by Mr. D. Ram Reddy, who is the Managing Director. So with these words, I would now hand over the conference to the Balaji Amines management. Over to you, sir.

D. Ram Reddy: Good afternoon, everyone. I extend a warm welcome to all our investors and stakeholders joining us to discuss the performance of Balaji Amines Limited for the quarter and half year ended September 30, 2025. During Q2 and H1 FY '26, our performance reflected stability amidst evolving demand dynamics across end user sectors. The quarter witnessed a mixed operating environment characterized by steady commodity prices and moderated demand in select pharma and agrichem segments.

Despite these external challenges, we sustained healthy margins and maintained volumes at levels comparable at last year, underscoring the strength of our diversified product portfolio and efficient operations. On a consolidated basis, revenue from operations from Q2 FY '26 stood at INR341 crores as compared to INR358 crores in Q1 FY '26. And EBITDA came in at INR67 crores with margins improving to 19% against 17% in Q1 FY '26. Profit after tax was INR37 crores as compared to INR37 crores in the previous quarter.

For H1 FY '26, consolidated revenue stood at INR715 crores, while EBITDA was INR131 crores, translating into an EBITDA margin of 18%. PAT for the half year stood at INR74 crores with PAT margin at 10%. Operationally, total volumes for Q2 FY '26 were 26,165 metric tons, broadly steady year-on-year. Within this, amines volumes were 7,685 metric tons, amines derivatives at 8,374 metric tons and specialty chemicals at 10,107 metric tons.

On a stand-alone basis - We continue to remain a zero debt company with a healthy cash position and prudent working capital management.

Looking ahead, we anticipate a gradual improvement in operating performance over the coming quarters as new capacities move closer to commissioning our DME plant at Unit 4 and N-Methyl Morpholine projects are advancing well and are expected to be commissioned during FY2025-26. While the acetonitrile expansion based on an improved process is on track for commissioning in FY2026-27. All ongoing projects are being funded through internal accruals, reinforcing our strong balance sheet and prudent financial management.

Balaji Amines Limited
November 12, 2025
Page 3 of 10

Our subsidiary, Balaji Specialty Chemicals Limited is making steady progress on its INR750 crores expansion plan, which has been granted mega project status under the Maharashtra government's Package Scheme of Incentives 2019. The expansion encompasses a wide range of specialty products, including hydrogen cyanide, sodium cyanide, and EDTA and EDTA-2Na among others. The Unit 1 brownfield expansion for EDA-based products is expected to be commissioned by September 2026, while the Unit 2 greenfield project at Chincholi is progressing with equipment installation underway and expected commissioning by December 2026.

On the capacity front, the ramp-up of our electronic grade DMC and pharma-grade propylene glycol lines remains a key strategic lever, while

the financial contribution from these new segments is expected to be more visible in the coming quarters. They are aligned with the broader import substitution theme in India and will strengthen our long-term growth visibility. Given the prevailing global uncertainties, near-term utilization levels for some of our newly commissioned assets may remain below optimum.

However, the medium- to long-term outlook remains positive, supported by expanding applications in downstream sectors, import substitution opportunities and India's growing demand for specialty intermediates. Our near-term focus remains on operational execution and achieving stable realizations, while our long-term growth strategy is anchored around product diversification, process innovation and sustainable manufacturing practices.

We continue to prioritize high-value products, disciplined capital allocation and capacity utilization as key drivers of growth and margin resilience. In summary, while FY '26 began with

a measured pace and second half is expected to reflect gradual traction as new capacities are commissioned and demand from core end markets strengthens, our investments in R&D, cost optimization and green chemistry initiatives continue to fortify our positioning as one of India's leading manufacturers of specialty chemicals.

Now I will leave the forum for the question and answers.

Moderator: Thank you very much. The first question is from the line of Sheetalkumar Shah, from Sameeksha Capital. Please go ahead.

Sheetalkumar Shah: My first question is on DME. So what is the status of our LPG blending?

D. Ram Reddy: The LPG blending, we've already given to the government. It is in the moving table to table in the Government of India. And in the meantime, we are also taking the PESO approvals for the cylinder as well as road tankers.

Sheetalkumar Shah: And how much DME is required in aerosol industry?

D. Ram Reddy: It's approximately about 30,000, 35,000 tons we are estimating presently. And we hope -- this being a greener gas, we hope there will be good opportunities in the aerosol.

Sheetalkumar Shah: And have we received any acceptance or approval from our customers?

Balaji Amines Limited

November 12, 2025

Page 4 of 10

D. Ram Reddy: That is once we receive the cylinder approval, that is just recently, we received that valve approval for the cylinders about 15 days back. So we expect that in coming 2 or 3 weeks, that cylinder permission will receive. The moment we receive the cylinder permission, the plant will be commissioned, then the sample in the cylinders will be submitted to the aerosol customers.

Sheetalkumar Shah: Understood. And my other questions are on DMC and PG side. So what is the capacity utilization on our EV-based products?

D. Ram Reddy: See, DMC, again, these battery manufacturers are yet to take the -- into full swing. So we are operating at 20% capacity, which is to other fields, other than the battery front. And PG, we are presently giving technical and food-grade PG to various customers. We have applied for the pharma grade PG. So the moment we get the license, we'll start the manufacturing of the pharma grade.

Sheetalkumar Shah: And what about NMP.

D. Ram Reddy: NMP, we are already there, that we are ready with the battery grade NMP. And we have given some trial batches also to the 1 or 2 battery manufacturers.

Sheetalkumar Shah: So what are the challenges faced by our domestic EV battery manufacturers? Why we are not able to ramp up?

D. Ram Reddy: It's very difficult to tell to me. We will have to understand from them only. In fact, we are also waiting for their gearing up into full swing. The moment they start, we are ready with all our manufacturing battery-grade NMP and even battery grade DMC also.

Sheetalkumar Shah: And any expectations in terms of time line.

D. Ram Reddy: They are saying that -- somebody says

that by December and somebody says that from April

onwards, they will be requiring bulk quantities. We were just waiting for their kick start.

Sheetalkumar Shah: Understood. And my last question is on acetonitrile prices. So how they have moved in the last 6 months?

D. Ram Reddy: See, we have existing plant, we are running on and off because we are doing the modifications in the existing plant, and when we are doing it, we are not operating -- hardly, we are doing about 5% or 10% because we are changing the equipment for the latest technology. And as per the latest technology, we are going to produce the very high-purity material at a low-cost -- manufacturing cost, which will take at least first quarter of the next financial year.

Sheetalkumar Shah: But has the prices have improved or has remained stable or what's the status there in terms of pricing?

D. Ram Reddy: It's stable around INR140 to INR150.

Moderator: The next question is from the line of Ashish Menon from Value Research.

Balaji Amines Limited

November 12, 2025

Page 5 of 10

Ashish Menon: Yes. In the previous earnings call, you had stated that we would be expecting at least 10% to 12% volume growth for FY '26. Given that in the first half, the volumes have declined by 1%, how confident are you of achieving the 10% volume growth for the full year? And also, could you shed some light on what makes you confident of clear signs of inflection emerging in the second half of the year?

D. Ram Reddy: See, we were waiting for these approvals for the 2 things. One is the dimethyl ether PESO approvals and other blending applications. When the moment that comes, we will commission the plant by the -- before end of this quarter. And secondly, the DMC, which goes for the battery, that also we were expecting that the battery manufacturers will go in full swing, but not yet

started.

Thirdly, PG for pharma, we are waiting for the approval from the authority. The moment we get -- these were the 3 things which we expected that to get the at least minimum 8% to 10% growth. But however, we expect these things will come in this quarter. And I hope that definitely 8% to 10% volume growth should be there in this next half year.

Ashish Menon: Understood. So in Balaji Specialty, so once the Unit 1 brownfield project is completed, would the entire 37,000 tons per annum capacity of EDA be utilized for value-added products, assuming there are no demand challenges? Or would there still be some volumes which is left that we would need to sell in the market?

D. Ram Reddy: We are going to sell present 22,000 tons of the EDA. We will be utilizing almost 15,000 to 16,000 tons. There will be hardly 6,000 tons available for the selling into the market.

Ashish Menon: So is there any update on the antidumping investigation that is going on regarding EDA? So has the oral hearings...

D. Ram Reddy: We had an oral hearing. And there was this thing, one officer is retired -- the officer who was investigating this has retired. Now the case has been allotted to a new officer. Probably this month end, we should get another hearing. And maybe by end of the next month, we should be in a position to get some results on the antidumping for the EDA.

Ashish Menon: So one of your pharma customers, they have backward integrated into methylamines for captive consumption with the excess that they have, they will be selling into the market. So how much does that impact your revenues as well as the overall pricing and demand in the market?

D. Ram Reddy: I have not seen a major impact as of now. I don't know whether they have commissioned the plant. They are yet to commission the plant. But we have not seen any major impact to us. And secondly, that plant locationally, it is in the, I think, Gujarat. And our major customers towards this Maharashtra and South. So we have not seen any major impact as of now, even price point of

view and the capacity point of view also.

Ashish Menon: Understood. Another thing regarding ethylene diamine. So have we considered using ethylene oxide route instead of the ethylene dichloride route for making EDA? So I'm thinking more from the cost perspective in order to remain competitive.

Balaji Amines Limited

November 12, 2025

Page 6 of 10

D. Ram Reddy: In fact, we are using ethylene oxide route only. We use the ethanolamine, which is manufactured with ethylene oxide, not what you're talking EDC, use ethylene oxide only.

Ashish Menon: Understood. And in your opening remarks, you mentioned something about green chemistry initiatives. So could you shed some light on -- yes.

D. Ram Reddy: See green chemistry, as of now, we have installed a solar on the rooftop as well as we have a separate solar park for the company. As of now, almost 80% of the manufacturing will take care of by the solar power.

Moderator: Next question is from the line of Viral Jain from SM&G Finance.

Viral Jain: So my first question was regarding the international market. So could you give us more clear picture on the export momentum and whether there was any logistical or pricing challenge that was affecting the competitiveness in the overseas market?

D. Ram Reddy: Yes. There was some back period where we were facing the freight hit -- higher freight hit for the logistics for the exports. But as of now, it's now stable. And because of the -- some of the pharma and agro industries a little lower, we could not achieve what we expected. But we expect in the coming quarters, definitely, it should move further to the export market also.

Viral Jain: Got it. And are we seeing any long-term contracts or supply agreements being renewed or expanded in the international market?

D. Ram Reddy: Yes. Some of the contracts which we are doing like U.S. and Europe, we have continued, or we got the signals for the continues coming financial year also for the exports to the U.S. and Europe.

Viral Jain: And my last question was regarding the financial aspect. So what is the current working capital cycle? And are we facing any issues with the receivable or inventory building up given the demand normalization?

D. Ram Reddy: No, we are -- it's almost normal only. We are not facing any problem as of now. The normal 60 to 90 days cycle is taking place, which is very normal in the pharma and agro market. We don't see any difficulties.

Moderator: The next question is from the line of Varun Mishra from SK Investments.

Varun Mishra: So I wanted to ask a couple of questions. So what is the current utilization level at our Unit 4 plant and any like -- and the new plants of our Specialty Chemicals segment?

D. Ram Reddy: See one that major is methylamines, which is almost 80%, 85% utilization is there.

Methylamines yet to take full swing. butylamine presently, it is used about 30%, 35%. As I said earlier for the dimethyl carbonate and PG, that is about 20% to 30% because the battery manufacturing units yet to start their manufacturing in full swing.

Varun Mishra: All right, sir. And like could you provide an update on the progress like in commissioning time line upon like the upcoming projects, particularly any greenfield expansions are we planning or any backward integration initiatives that we're taking?

D. Ram Reddy: I will tell you. #1, that N-methylmorpholine, which will be commissioned by the end of this current quarter. #2, dimethyl carbonate is again ready for the commissioning. This is also commissioned by the first quarter of the -- first week of the next quarter. These are the 2 in the pipeline ready for the commissioning. Of course, DMC electronic grade, we just recently -- battery grade recently commissioned, but we are waiting for the customers to start their end.

Varun Mishra: Right, sir. And like, sir

, upon all the expansions are operational, we see like in the next 2 quarters, we can expect that. So like what could be the company's overall capacity in terms of production and like what could be the incremental potential revenue as per you, if you could just guide on that?

D. Ram Reddy: There should be -- if all plants commission and all plants run at the optimum capacity levels. So there should be -- minimum 15% growth should be there, values and as well as the volumes also.

Varun Mishra: So like growth in terms of -- as of FY '26 or like within a year's time, how is it?

D. Ram Reddy: Next coming year, I'm talking because most of the plants, the commissioning will take place by the end of this financial year. So next financial year, there will be a minimum 15% growth we can see.

Moderator: The next question is from the line of Dhiraj Shah from RJ Investment.

Dhiraj Shah: Congratulations on decent set of numbers. So I have a couple of questions. Firstly, how are your realizations trending across your major product lines given the volatility in raw material prices, especially in methanol and ammonia?

D. Ram Reddy: Thank you for understanding, Mr. Dhiraj. Very sensible question you asked. See, there is a volatility in the methanol in the recent days and even ammonia also. In spite of all these things, we could do the average of the -- because there were some raw materials in the pipeline at a lower cost.

And now the methanol prices have started settling around -- below INR30. And ammonia is also somewhere INR47, INR48. So I think it should continue with this trend. Even methanol goes down further, we will have the doors open for the more international markets. And there, we get more of the volumes exported and even the margins also can be improved in the coming quarters.

Dhiraj Shah: Understood. Also, sir, are you witnessing any pricing pressures from particularly Chinese imports? And how are you defending margins in such a competitive environment?

D. Ram Reddy: See, we -- majority of the products, we don't compete, only 1 or 2 products we compete with them. We are still competing that is one dimethylformamide. We are competing for the last several years, and we will continue to compete with them on and off. As you rightly say, sometimes going down and sometimes prices opportunity is getting it.

Balaji Amines Limited
November 12, 2025
Page 8 of 10

And as you are there in the -- continuous in the market, you will not get those opportunities to encash. So we are -- all other products, there is no problem. Only dimethylformamide, we are facing little problems in the competition.

Dhiraj Shah: Understood. And lastly, sir, if you see gross margins have fluctuated in recent quarters. So what is the sustainable EBITDA margin range you expect in the near term given current input costs and capacity utilization level? Could you guide us on that, that would be helpful.

D. Ram Reddy: See, with a reasonable EBITDA, we should be in a position to maintain 20% to 22%. And with the lowest, it should be 17.5% to 18% and maximum is 24%, what we can see in the current competitive environment.

Moderator: Next question is from the line of Vivek Gupta from Star Investment.

Vivek Gupta: So could you please elaborate on the current demand environment across your key products categories like amines, derivatives and specialty chemicals, both in the domestic as well as the export market?

D. Ram Reddy: The domestic market on the main products like amines and intermediates, it's stable, what we can see. In the exports, there is a little volatility because of -- in some of the products, direct tariff and some of the product indirect tariff for the end users in the domestic market. But overall, we can see the 80% to 90% is a stable market we are seeing.

Vivek Gupta: Also, sir, have you started witnessing signs of recovery in customer offtake, particularly from pharma

rma and agrochemical segments, which are muted over the past few quarters?

D. Ram Reddy: Yes. Slowly, it is picking up. We hope that it should pick up to the normal level unlike last 1, 2 quarters, as you rightly said, it is very slow in the pharma front. And we expect the -- since it has started improving slowly, we expect in coming quarters, there should be improvement and come back to the normal levels.

Moderator: The next question is from the line of Nilesh Ghuge from HDFC Securities.

Nilesh Ghuge: Sir, my question is on this -- our specialty -- Balaji Specialty. So what is the current utilization -- plant utilization? And how do you see it is planning out, let's say, in second half of FY '26 and FY '27?

D. Ram Reddy: See, current utilization is very low because the brownfield work is going on, on the plant. The brownfield activities are on the same plant. That is the reason - we are running 15 days and 20 days, we are working on the expansions and the modification in the plant, so this will continue for the another -- this quarter and end of the next quarter also.

We expect that starting of the next financial year, this brownfield will finish. Then we will see the actual capacity utilization of the Unit 1. And also in the second quarter of the next financial year, we expect the Unit 2 expansions will start -- at least 1 or 2 plants will start commencing the production.

Balaji Amines Limited

November 12, 2025

Page 9 of 10

Nilesh Ghuge: So see, if I look at the first half revenue from your subsidiary is about, let's say, INR70 crores, plus or minus INR1 crores here and there. So how do you see in FY '26, because of this brownfield expansion and everything, where do you see that subsidiary revenue numbers or number.

D. Ram Reddy: It will be same whatever we have done half yearly. If something goes good and we -- that antidumping comes, there may be improvement in the bottom line and all. Otherwise, the real benefits you will see only after completing these modifications, whereby we get all the value - added products manufactured and the margins and even the sales also will improve in the coming financial year.

Nilesh Ghuge: You mean the cyanide and the downstream products, that is what you mean, right?

D. Ram Reddy: No, even in the brownfield also, brownfield also that TETA, TEPA, DETA and PIP

Nilesh Ghuge: And sir, on this acetonitrile, there is an antidumping imposition by Ministry. Have you seen any change in the prices? And how do you see the demand? I know that your expansion is coming next year, but still...

D. Ram Reddy: I'll tell you there also story is the same because we are running 10 days, and we are doing the modifications work in the same plant, every 10 days, we just stop the plant; 20 days, you work; another 10 days, you start the manufacturing. And the prices are the same around INR140, INR150 level the prices are there. And we have kept maintaining the inventory, producing the 10 days and maintaining the inventory.

But we expect -- once it is done, because of the new technology, we expect a very cost-effective product will be produced in that plant and even the quality point of view and the cost point of view also, we expect there should be good margins to come from the ACN in the next financial year.

Nilesh Ghuge: The margin compared to the domestic or any other player because of this process innovation, process -- different process, right? Is my understanding correct?

D. Ram Reddy: You're right.

Nilesh Ghuge: Yes. And sir, anything on this demand, particularly there is a news article on the acetonitrile demand because of this new GLP drugs. So have you seen that demand or maybe the inquiries from pharmaceutical companies on this acetonitrile? And do you see that volume uptake, not maybe in 6 months or 9 months, but maybe going ahead, let's say, FY '28, '29 with the new products, drug coming.

D. Ram R

eddy: Definitely, what we can see, even not only that, because of this cost-effective product and it's a user-friendly solvent for the pharma industry. So definitely, we expect that there will be a minimum growth of 7% to 8% consumption point of view for the acetonitrile in the domestic market.

Nilesh Ghuge: But you are not looking at the export market. Are we open for that or...

Balaji Amines Limited

November 12, 2025

Page 10 of 10

D. Ram Reddy: Yes, yes. We are doing. Yes, we are doing very small. We are just doing the seed marketing. We are doing exports also. If you see the data, we are doing monthly 1 or 2 ISO tanks because we are doing very small quantity because of these brownfield modifications. Once we commence that 60 tons per day capacity, then definitely, you will see the exports as well as domestic also.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of the

question -and-answer session. I would now like to hand the conference over to management for closing remarks.

D. Ram Reddy: Thank you. Thank you very much to all our shareholders, stakeholders who have shown the interest, who are long with the company, who have given the confidence on us. We'll definitely do well in the coming quarters. Thank you once again being with us. Thank you very much.

Moderator: On the behalf of Elara Securities India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Gagan Dixit: Yes. Thanks. Thanks, everyone.

Call: May 2026

23rd May , 2026

To,
The General Manager -Department of
Corporate Services,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.

The Manager -Listing Department,
National Stock Exchange of India Limited,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai – 400 051.
Scrip Code : 530999 Symbol : BALAMINES

Dear Sir/Madam,

Sub.: Submission of Earnings Call Transcript under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of Q4FY26 Earnings Conference Call held on Monday, 18th May 2026

The transcript of the said Earnings Call is also available on the website of the Company at <https://balajiamines.com/results.php?ref=1&Disclosure-under-Regulation-46-of-SEBI--LODR--Regulations--2015> .

This is for your kind information and records.

Thanking you.

Yours faithfully,

For Balaji Amines Limited

Abhijeet Kothadiya
Company Secretary & Compliance Officer

Encl.: a/a

Page 1 of 14

"Balaji Amines Limited
Q4 FY26 Earnings Conference Call "
May 18, 2026

MANAGEMENT : MR. D RAM REDDY – MANAGING DIRECTOR – BALAJI
AMINES LIMITED

MODERATOR : MR. GAGAN DIXIT – ELARA SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Balaji Amines Limited, Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode. And there will be an opportunity for you to ask questions, after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note, that this conference has been recorded.

I now hand the conference over to Mr. Gagan Dixit from Elara Securities, thank you, and over to you, sir.

Gagan Dixit: Yes. Thank you. A very warm welcome to everyone to discuss, Balaji Amines, Q4 FY26 results. It is our pleasure to be able to bring to you the management of Balaji Amines Limited, led by Mr. D. Ram Reddy, who is Managing Director. We would also like this opportunity to congratulate the management on its excellent set of numbers.

So, with these words, I would now hand over the conference to the Balaji Amines management. Over to you, sir.

D Ram Reddy: Thank you, Gagan. Good evening, everyone, and a warm welcome to Balaji Amines Limited's Earnings Conference Call, for the fourth quarter and the financial year ended March 31, 2026. I hope all of you have had an opportunity to go through our financial results, press release and investor presentation, which have been uploaded on the stock exchange and on our company website.

Financial year 2026 was a year of steady performance for Balaji Amines. Despite certain external challenges during the year, the company was able to maintain operational stability, improve profitability and continue progress on its strategic growth projects.

The performance during the quarter was supported by stable demand across the key segments better operating performance, improved cost absorption and continued contribution from our integrated manufacturing model.

Coming to the consolidated financial performance for the quarter, our total revenue for Q4 FY26 stood at INR403 crores as compared to INR361 crores in Q4 FY25, registering a year -on-year growth of around 12%.

Our consolidated EBITDA for Q4 FY26 stood at INR102 crores as compared to INR68 crores in Q4 FY25. EBITDA margin for the quarter stood at 25% compared to 19% in Q4 FY25 and 18% in Q3 FY26.

The improvement in margins was mainly supported by better operating leverage, stable raw material conditions, prudent inventory planning, improved cost efficiencies and a favorable product mix. Profit after -tax, for Q4 FY26 stood at INR65 crores, compared to INR40 crores in Q4 FY25 and INR31 crores in Q3 FY26.

Diluted EPS for the quarter stood at INR19.99 per equity share compared to INR9.49 per equity share in Q3 FY26. On a stand -alone basis, Balaji Amines continues to remain a zero -debt

Balaji Amines Limited

May 18, 2026

Page 3 of 14

company, which reflects our strong financial discipline and prudent approach towards capital management.

Moving to the full year performance, consolidated total revenue for FY26 stood at INR1,454 crores as compared to INR1,430 crores in FY25. Consolidated EBITDA for the year stood at INR294 crores as compared to INR265 crores in FY25, registering a growth of around 11%. EBITDA margin improved to 20% in FY26 from 19% in FY25. Consolidated PAT for FY26 stood at INR169 crores, as compared to INR159 crores in FY25, reflecting a growth of around 7% PAT margin for the year stood at 12% as against 11% in FY25.

Our consolidated balance sheet continues to remain strong. As of March 2026, consolidated networth stood at INR2,152 crores as compared to INR2,018 crores in March 2025.

Consolidated debt stood at INR133 crores, mainly on account of ongoing expansion related activities.

During FY26, the company generated INR184 crores of net cash from operating activities. Cash flow from investing activities stood at negative

INR344 crores, reflecting investments towards ongoing growth projects.

On the operational front, total consolidated sales volume for Q4 FY26 stood at 27,341 MT as compared to 25,871 MT in Q4 FY25. Within this amines volume stood at 7,746 metric tons. Amines derivatives volume stood at 8,935 metric ton and specialty chemicals volume stood at 10,660 metric tons. Overall volume remained stable, supported by consistent demand across key end user industries such as pharmaceuticals, agrochemicals, solvents and other specialty chemical applications.

During the quarter, production was briefly impacted in March 2026 due to an external geopolitical situation. However, the company was able to manage the disruption effectively through prudent inventory planning and uninterrupted availability of raw materials. This enabled us to maintain supplies to customers and ensure that plant operations remained stable. This performance once again highlights the strength of our integrated manufacturing model, supply chain capabilities and execution discipline.

Demand conditions across certain end user industries remained stable during the quarter. Our established amines derivatives and specialty chemical businesses continue to provide a stable operating base.

Alongside this, the company continued to make progress on its strategic priorities, including the ramp-up of electronic-grade DMC, DMF and other products. These products are expected to strengthen our presence in high-value segments and remain an important part of our long-term growth strategy.

Let me now provide an update on our 3 projects. The dimethyl ether, our DME plant at Unit 4 is expected to be commissioned during the first quarter of FY27, DME has applications in the

Balaji Amines Limited
 May 18, 2026
 Page 4 of 14

Aerosol Industry, and it can also be used as a replacement for LPG in industrial and commercial applications.

Our N-Methyl Morpholine, our NMM Project with a capacity of 5,000 TPA is currently under execution and is expected to be commissioned during FY27. The improved process based Acetonitrile or ACN Plant is also under execution and is expected to be commissioned during the second quarter of FY27. All these projects are progressing as planned and are being funded through inter-accruals.

Coming to Balaji Specialty Chemicals Limited, the company is under a major expansion of around INR750 crores in a phased manner. This investment is being made for a wide range of products, including Hydrogen Cyanide, Sodium cyanide, EDTA, EDTA-2Na and other advanced chemical products.

The Industrial Energy and Labor Department, The Government of Maharashtra has granted Mega Project status to this expansion under the Package Scheme of Incentives 2019. At Unit -I, the brownfield project of EDA-based value-added products including DETA, TETA, PIP, AEEA and AEP is expected to be commissioned during the first half of FY27.

At Unit -II, which is the greenfield projects at MIDC, Chincholi erection and installation work is currently in progress. This project is proposed for the manufacturer of HCN, NaCN, EDTA and EDTA-2NA and is expected to be commissioned during Q4 FY27.

These projects are strategically important for the company as they will expand our specialty chemicals portfolio, increase our presence in import substitution products and create a stronger platform for future growth.

More importantly, they are aligned with our broader strategy of moving towards value-added products, improving integration and enhancing long-term profitability. Strategically, our focus remains on 3 broad areas: first, we will continue to strengthen our core amines and derivative business by improving capacity utilization, operating efficiency and product mix.

Second, we are increasing our presence in high-value specialty chemicals and electronic grade products, which cater to industries such as Pharmaceuticals, Ag

rochemicals, Water Treatment, Refineries, EV Battery Chemicals, Paints, Dyes and other industrial applications.

Third, we remain focused on import substitution and indigenous manufacturing technology, which have been important strength for Balaji Amines over the years. Looking ahead, we enter FY27 with a positive, but measured outlook, our focus will be on improving utilization across clients completing ongoing projects on schedule, strengthening, operating leverage and scaling up new products in a disciplined manner.

The commissioning of DME, NMM, ACN and the expansion projects of Balaji Specialty Chemicals will be important milestones over the coming quarters. While we remain watchful, of raw material prices, global demand conditions and geopolitical developments we believe Balaji Amines is well placed for gradual growth.

Balaji Amines Limited
 May 18, 2026
 Page 5 of 14

This confidence is backed by our integrated manufacturing model, diversified product portfolio, strong customer relationships, expanding specialty chemicals platform and disciplined balance sheet approach.

With this, I would like to thank everyone, for joining the call. We can now open the floor for questions. Thank you.

Moderator: Thank you, sir. The first question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Yes, Hi, sir. Thank you for the opportunity. Sir, just a broader question, looking at your expansion plan, sir, we are at a capacity at the stand-alone company at a INR2.93 lakh tons -- metric tons -- 2,93,000 metric tons. And then, when we were to see the quarterly volumes, we roughly at a company level operate at 35%, 40% utilization.

So just wanted to understand why would we continue further expansions, despite remaining at such a low utilization? And which would be those products where the utilization will be furthermore low, and if you can highlight 2 products where the utilizations are higher than the company average.

D Ram Reddy: Thank you, Priyank. See, the new projects, they are not the same products, increasing the capacity. They are all new products like we are talking of the Dimethyl Ether, which is an alternate to the LPG. So this we planned about 4, 5 years back by contacting the NITI Aayog. That product will be commissioning probably maybe in this month only.

And other thing is Acetonitrile which was -- that was the old technology. We have just improved the technology. And you are talking about the utilization, yes, only 1 or 2 plants are utilized very lower capacity like DMF and like butylamines, like battery chemicals, DMC and all because the battery manufacturers are yet to take off so there's a reason those clients. So we are gearing up. And we are getting ready for the tomorrow's requirements.

Priyank Chheda: Got it. And second question on, given the supply chain disruptions that are happening globally and then we are seeing those realization getting benefited for you in this quarter. And so would be also the profit margins that reflect the spreads improving on the EBITDA level.

If you can just highlight what is the average price hikes that you would have taken in the current quarter? And what is the realization growth that we should think of it in the ongoing months and the quarter till the time the disruption remains globally? What would be the quantum of price hikes that you're looking at it?

D Ram Reddy: See, these prices, you are aware that because of the current geopolitical situation, most of the raw materials, now sometimes it is double even 3 times also 2.5 times of its regular prices. So because of the -- some maybe -- some of the plants might have shut down because of this situation.

Balaji Amines Limited

May 18, 2026

Page 6 of 14

We got the proper uptake from the customers for this current quarter. And because of the proper inventory management, we could be in a position to maintain

these profit margins. And we give

the guidance in coming quarters also, because of the new plants or new products are coming up.

I hope that, the volume growth should be in the coming financial year. I mean this year, maybe partly we are coming up, and I'm talking about the 2027 end there should be minimum 25% to 30% volume growth should be there from the current value and the EBITDA should be sustainable between 22% to 23%, on the total sales.

Priyank Chheda: Got it. And one last question on methylamines. Sir, one of the large metformin customer manufacturer has backward integrated would it be possible to quantify what kind of risks do we run on this one large customer in terms of our capacity as a percentage?

D Ram Reddy: See, it is for you, you are feeling it is a large manufacturer. But for us, what we have seen is their requirement of the Di-Methyl Amine Hydrochloride maybe about 15% to 20% of the total -- our outflow.

And secondly, even today also, they are buying even this month also, they are buying from us.

I don't know where from you got and maybe they have some problems or maybe our cost is better than their cost of production, even today also, they are buying from us.

Priyank Chheda: Got it, wonderful. Thank you, sir.

Moderator: Thank you. The next question is from the line of Parikshit Gujrati from Niveshaay. Please go ahead.

Parikshit Gujrati: Hello. Am I audible?

Moderator: Yes, sir, you are. Please go-ahead sir. Thank you.

Parikshit Gujrati: So, I have just 2 questions. Earlier the management guided that they are targeting INR2,000 crores type of revenue by FY28 in which majorly Balaji Specialty Chemical will contribute and DME will contribute.

So, on that side, I had a question see in DME, we still have to get the approval from the government side. So there's a bit. So there is a policy which is there. And on the Balaji Speciality side, the end market demand is still growing in mid-single digit. So what is the reason that we are doing further big capex? And we announced this capex 2 years ago also, and we have been able to ramp up very fast. So, these are the questions, I would like to ask.

D Ram Reddy: See, number one, this is regarding the Dimethyl Ether approvals. See, there is no, nothing is pending for the manufacturing point of view. We are already having the permission for the

manufacturing.

Only thing is for the transportation part of the approvals, have already been on the place. So, that is a reason we are going ahead. Plant is already fully constructed. Just commissioning is going on. Now, the commissioning activities are going on.

Balaji Amines Limited

May 18, 2026

Page 7 of 14

And as regards the consumption of DME in the country presently, India is importing almost 25% to 40% of the LPG from outside country. And we are talking about only 100,000 MT and that is 1 lakh tons capacity. We are putting up.

And we are -- as I said, we are targeting only Aerosol and commercial establishments. You are aware that the government has increased almost INR1,000 per cylinder, recently its about 10 days back only they've increase for the commercial cylinders. So definitely, we think that we should be in a position to continue this project on very profitably.

Second thing as regards to Balaji Specialty Chemicals, I don't know where from you got the figures. Like the new products, value - added products, which I have mentioned in my speech that is TETA, TEPA and AEEA, AEP, these are all products having very good demand in the world market. For the TETA nobody is making in the country. So there's a good demand. And like other products, like greenfield, Hydrogen Cyanide and Sodium Cyanide there's a good demand in the country as well as outside the country also.

Parikshit Gujrati: So, sir are you still on -- so you are saying that we will be able to reach INR3,000 crores revenue in FY28.

D Ram Reddy: Definitely, y

ou have not heard fully. I said the situation goes like this. We will be definitely reaching INR3,000 crores in 2028.

Parikshit Gujrati: Okay. And sir, on the DME side, I wanted to ask like that's the last question. So, what will be the amount of volume of DME which India will require? And is there an import risk from China that China will dump at lower prices in India?

D Ram Reddy: No. As of now, China has not come to the India, because this being in the gas form I don't think there will be much competition from the outside country. And you asked about the what is the - see, I am saying, when I say this is the alternate to the LPG.

Parikshit Gujrati: Right.

D Ram Reddy: So, wherever the LPG is used there we can use this. Like, Aerosol market that itself is more than 40,000 tons to 50,000 tons currently using the other gases. So there, it is easy to target by giving this DME.

And the same way, commercial establishment, there are many commercial establishments like Baking Industry, Bulb Industry, Ceramic Industry they're all depending on the natural gas or the LPG, where we can replace this. Specifically in the current situation, there is a tremendous shortage of the LPG. So, I don't think there should be any problem.

Parikshit Gujrati: Okay. So, you are saying that, from the Q1 only, you will be start supplying DME to the government, right?

D Ram Reddy: Yes.

Parikshit Gujrati: Okay. Got it.

Balaji Amines Limited

May 18, 2026

Page 8 of 14

Moderator: Thank you. The next question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: Yes. Good afternoon, sir. -- Sir, my first question is on our consolidated numbers, there is a sharp reduction in other expenses in consolidated numbers? What are the steps or the efforts that we have taken that to reduce it? And what number we should build in for FY27 in our -- for modeling purpose?

D Ram Reddy: I didn't understand.

Nilesh Ghuge: Sir, other expenses, probably consolidated...

D Ram Reddy: Start of with the specialty chemicals because the subsidiary is not working in full position because of the activities for the modification. It is working 10 days, working and 15 days is working for the modifications, repairs are going on, which goes into the expenses, which going for the modification definitely goes into the capitalization.

Nilesh Ghuge: Okay. Okay. Okay. So this is the impact. So can we work out with the quarter 3 number as a normal number and the other expenses for FY27?

D Ram Reddy: If you have specific numbers you want in the -- other than the -- what we have presented...

Nilesh Ghuge: Sure. Sure, sir. I will do. Just I will do that.

D Ram Reddy: Drop a mail to CS, we'll definitely try to give you your answer to your question.

Nilesh Ghuge: Yes. Okay, sir. And sir, second question, in the subsidiary number, there is a growth at top line.

However, at a gross level, the rising raw material cost is very steep. Any specific reason I mean in terms of Ethylenediamine prices have increased or something like that?

D Ram Reddy: Yes. There's an increase in the raw material prices like Monoethanolamine. It's almost 3 times than the normal.

Nilesh Ghuge: Okay. Okay. And that's why our subsidiary, and gross margins are much, much lower. -- compared to quarter -- last quarter.

D Ram Reddy: Yes, because we cannot consider these numbers, Nilesh. The reason is it's hardly working 15 days or 20 days and even 10 days, it has worked, only thing is after these modifications from the third quarter onwards, you can see the real figures of this existing plant.

Nilesh Ghuge: Okay. Okay. Okay. So meanwhile, we can take the annual number or maybe the 6 -monthly number as a benchmark. Is that right understanding, sir, instead of quarterly numbers?

D Ram Reddy: No. This is very difficult to compare because -- almost the 9 to 12 months, it is on the modification type of things only happening -- you cannot consider them as a benchmark, right?

Nilesh Ghuge: Okay. Okay, sir. And sir, the last question. What are the prices of EDA DETA in Q4, particularly in the month of March? And what are the prices now?

Balaji Amines Limited

May 18, 2026

Page 9 of 14

D Ram Reddy: It's between 300 -- 280 to 300 or even it went up to 400 also in the smaller quantities.

Nilesh Ghuge: Okay. This is your -- sir, talking about the Q4 number, average Q4 number?

D Ram Reddy: Average Q4 numbers are about 300. And today, it is about 270 to 280.

Nilesh Ghuge: Okay. So, there is a dip. Okay. Thanks a lot. Thanks, sir. Thank you, sir. Thanks, and all the best, sir.

Moderator: The next question is from the line of Pritesh Chheda from Lucky Investment. Please go ahead.

Pritesh Chheda: Yes. So, my first question is how -- what is the arrangement for raw materials, especially in methanol and ammonia the standalone side? And then on the EDA side, how are we positioned on the raw material and continuation of manufacturing? That's my first question on the raw material, yes.

D Ram Reddy: Raw materials, we are regularly -- market we are regularly buying. For the ammonia, there's no problem. Only prices are up, but availability is no problem as of now. We are getting regularly.

Methanol is also, there is no problem only thing is prices and volatility in the pricing. So one need to alert every time.

See, earlier what we should do when we buy order today and for the entire month, you should keep quiet. But now we need to be alert every 3 days, 4 days, we are observing what is happening in the market, and we are buying in the shorter quantities for a shorter period.

Pritesh Chheda: So, the availability of -- so there is sufficient arrangement to make sure that the plant which was running at 25,000 tonnes volume for all these last 3 -4 upto 25,000 per quarter. So you have necessary arrangement to make sure that at least plant runs at the run rate what you were always doing, right?

D Ram Reddy: Yes, you are right.

Pritesh Chheda: Okay. My second question is, I did understand your 30% volume growth guidance. So what will drive that 30% volume growth? And are you prepared from the raw material side to deliver that 30% growth?

D Ram Reddy: Yes, 20% to 30% volume growth, I said because considering the 3 new plants, one is acetonitrile, Dimethyl Ether and your NMM. These 3 new plants are coming up. And even the battery industries, which is yet to start. We hope that in the current financial year, they will start and next financial, they will stable. So all these -- considering all these have taken a very conservative number of 30% capacity, 30% volume growth.

Pritesh Chheda: Okay. My next question is on the ethylamine portfolio side and the EDA portfolio side. If you could tell us the pricing that you experienced in March and the pricing that you're experiencing now or the spreads which you're experiencing in March and the spreads, which we're experiencing now, are they holding on, are there any changes?

Balaji Amines Limited

May 18, 2026

Page 10 of 14

D Ram Reddy: See there is a change. There was a change in the March also 3, 4 times. Even now also every 3, 4 days, there is a change. Even if I give you some numbers today, the price is going on this, that will not work for your calculation because there is a -- because of this current geopolitical situation, every 2 days, every 3 days, there's a change in the prices. Only thing is one need to be very alert both the sides, sales as well as from the procuring the raw material side. So then only we should be in a position to maintain the margins, what we have assured.

Pritesh Chheda: Okay. And my last question is on the 3 new products which you referred to, which is acetonitrile, and Dimethyl Ether and the one more other products us what is the usual -- what is the pricing

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range that they are at, so they are at that 200 -plus range or 300 -plus- range pricing, what is it?

D Ram Reddy: See, one is this is about INR100 -plus, INR100 INR120 dimethyl ether what we are thinking at around INR100 basing on the current situation. And acetonitrile is about INR240, today's situation. And NMM is also about INR250 to INR300.

Pritesh Chheda: Okay, sir. Thank you. If I have more questions , I'll come back. Thank you very much.

D Ram Reddy: Thank you.

Moderator: Thank you. The next question is from the line of Bhagwat from Prosperity Wealth Management Private Limited. Please go ahead.

Bhagwat: Thank you for the opportunity. My question is regarding the dimethyl ether plant. Could you please comment on the expected utilization of the plant in line with the potential revenue and EBITDA margins for current year and next year, please?

D Ram Reddy: This is a very difficult question, Mr. Bhagwat. Yes. Utilization, I can say, the situation goes like this, we can utilize fully only thing is we are waiting for the permission on the transportation, road transport permission we are applied to the government, and we are following up. We expect that in a month's time, that will come.

And production, yes, we continue to be in production till what we have the storage s, we fill up the -- our storages. And margins, it is very difficult to say. Only we can say today's margins are okay with the line of other chemicals it is there. But tomorrow, it is very difficult to predict what will happen at the raw material front.

Bhagwat: So if you get the road transportation permission , so since the time we can utilize the plant fully or...

D Ram Reddy: We -- okay. Our current financial year maybe about 30% to 40%, we should be in a position to utilize because there will be some teething problems in the production even it's and also using the new product is being the first time in the country and also adjusting to the product also will take some time. By end of the year, we should reach to 50% to 60% capacity. And the coming years, it will go to 80% to 90%.

Bhagwat: Okay. And 100% utilization, what is the potential revenue?

Balaji Amines Limited

May 18, 2026

Page 11 of 14

D Ram Reddy: I'm telling you today's price, even if you take a conservatively INR80, INR90 also, our capacity is about 100,000 tons. That is even if you take 80% to 80,000 tons, you can calculate.

Bhagwat: Okay. And the margin that you mentioned is similar to the other chemical margin, that's around 22% to 23% approximately.

D Ram Reddy: Today's situation.

Bhagwat: Today's situation. Okay. That's around 22%?

D Ram Reddy: EBITDA is 22.

Bhagwat: Okay. Okay. Thank you for all the answers. Thank you so much.

Moderator: Thank you. The next question is from the line of Anil Shah from Insightful Investment. Please go ahead.

Anil Shah: Yes, sir. Hi. Just wanted to know what would be your capex that is still remaining in the stand - alone for these 3 products that is DME, NMM and ACN for this year?

D Ram Reddy: I think hardly INR20 crores must be there. We already spent almost all the money. We paid the advance of the equipment. They're on the way. Only balance is there maybe INR20 crores .

Anil Shah: For all 3 products combined, you're saying about INR20 crores is balance, right? Correct.

D Ram Reddy: Yes. Yes.

Anil Shah: And from a subsidiary perspective, what is the likely capex this year that we will be doing, Balaji Specialty?

D Ram Reddy: Its total INR750 crores in first phase, we'll be spending about INR350 crores to INR400 crores .

Anil Shah: Okay. Out of which how much will be this year?

D Ram Reddy: This year, it's about -- we already spent more than INR100 crores , INR110 crores . We'll be spending about another INR200 crores , INR250 crores this current year.

Anil Shah: Okay. So basically, we've got -- we are looking at anywhere between INR25

0 crores to INR275

crores of capex combined on a consolidated basis this year.

D Ram Reddy: Yes, INR275 crores to INR290 crores .

Anil Shah: INR275 crores to INR290 crores . Just to touch upon in terms of the DME, obviously, while we await the road transport permission, have you already been approached by prospective buyers?

Is there a volume understanding agreement which has been signed? Or is it all going to go on spot? Or how does this work, if you could just explain a bit.

D Ram Reddy: We approached almost all the customers to equivalent to our capacity. The only thing is this being a gas -- we cannot provide them the sample. People are asking for sample . Now we ordered

Balaji Amines Limited

May 18, 2026

Page 12 of 14

about 100 cylinders of 500 kg each. Those will be sending one, one cylinder to each customer, even though they are the bulk consumers, they'll be testing with 500 kgs. And after that testing, when the trials are done successfully, then they will be placing the order for bulk requirement, of course, after receipt of the transport permission.

Anil Shah: Agreed. So more likely than not, we should see the actual booked revenues only probably in the second half of the fiscal?

D Ram Reddy: Yes.

Anil Shah: Because the permission, you said not is...

D Ram Reddy: I have not considered anything if you heard my earlier answer to the question, I told them that there will be 20% to 30% volume growth in the ...

Anil Shah: Utilization, yes.

D Ram Reddy: Next financial year, considering all these products.

Anil Shah: I thought you said 30% to 40% utilization for DME in FY27 itself, right? 30% to 40% utilization.

D Ram Reddy: Yes. But conservatively, I said, these -- all the 3 products like acetonitrile, partly we are selling, but when that comes, that sales will increase. And these 2 products are new. One is the NMM and methyl morpholine and Dimethyl ether.

Anil Shah: Correct.

D Ram Reddy: Also, obviously, any product when you go first time in the country, there are 2 types of the teething problems. One is our side to get the quality of the customer specifications. Number two, the acquaintance for the product being manufactured first time in the country when we talk about the alternate to the product one they're using already. So there also, they will take some time.

Concerning all the things this year, it will be very marginal. But next financial, we'll definitely see 60%, 70% of the growth -- utilization should be there for this product.

Anil Shah: So, for this particular year, the n what kind of volume growth and what kind of revenue growth -- more important is volume because value growth is obviously subject to a lot of raw material prices moving up and down. So, what kind of volume growth for this year as a company that we should be looking at? Because I appreciate the fact that DME, ACN and NMM will take its time and you are not factoring in too much for this year and that's understandable. But if I

D Ram Reddy: I assume it will be 10% to 15% volume growth should be there.

Anil Shah: 10% to 15% volume growth, and this is for a consolidated part, right?

D Ram Reddy: Yes.

Anil Shah: Consolidated.

Balaji Amines Limited

May 18, 2026

Page 13 of 14

D Ram Reddy: Yes.

Anil Shah: Okay. And in terms of the batt -- last question, sir, in terms of the battery chemical unit, how much would we have spent -- and is that unit been commercially operation in terms of -- or it's still not -- we are not showing it as commercially operating.

D Ram Reddy: It is operating -- it's already started the production, but not for the battery chemicals, they are giving to the other sectors also, there is some consumption like agro and pharma, so it is running 20% to 25% capacity production is going on. Because these battery people, I don't know everybody is talking this month, next month, somebody shared that from the April onwards w

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come into the full swing. So we'll have to wait, the moment they start and then we will be in a position to utilize our capacity also.

Anil Shah: Yes. I understand that, sir, just -- sorry, I'm just extending the same question. It's not a new question. But has our product been approved by the respective battery manufacturers. And in terms of the trial runs, in terms of samples, all the -- all that part has been done. It's just the fact that they need to start commercial orders to be placed. Is that correct?

D Ram Reddy: Yes. They have placed -- some of the people place the commercial also, some 100 tons like that, some of the people they placed. They said that this is not exactly -- I'll tell you 2 things. One is the battery based chemicals and other is the electrolytes. Our product source is in the battery chemical electrolytes.

Anil Shah: Okay.

D Ram Reddy: People who are buying from us presently who bought about 100, 150 tons. They said that Indian companies are not yet ready. We are selling this outside country. We bought our chemicals, they made an electrolyte and they sold it. They are selling it outside the country.

Anil Shah: Got it. Got it. And we are hoping from better utilization in that particular segment.

D Ram Reddy: Yes, yes. Definitely.

Anil Shah: Okay. sir. Thanks, I'll join the queue. Thank you so much.

D Ram Reddy You're welcome, Bhagwat.

Moderator: Thank you. The next question is from the line of Rajiv Rupani, an Individual Investor. Please go ahead.

Rajiv Rupani: Yes, sir. Congratulations on a good set of numbers. Sir, my first question is regarding increase of stake in BSE from 51% to a higher level. So I would appreciate -- I have been asking this question since last few con calls. So if we can increase our stake in BSE from 51% to a higher level, it would be good, could you update us please ?

D Ram Reddy: See -- saying by you and by me, it's not going to happen . This is -- there are both the Boards are involved, both the shareholders are involved. So, they will take it appropriate time, both the Boards will take the decisions and will take place.

Balaji Amines Limited

May 18, 2026

Page 14 of 14

Rajiv Rupani: So are we going for a IPO? Or are we going to increase the stake? Any hint can you give us.

D Ram Reddy: It's too early. It's too early, Rajiv, to discuss. But why the IPO is postponed because, we want to come with the -- all the products into the market, then we will talk about the -- what action to be taken.

Rajiv Rupani: Okay. And sir, my next question was this -- the greenfield and brownfield capex, I had come to you and we had -- did a plant visit in June '23. So now it's been 3 years, not even the Phase 1 of the greenfield capex has started. So is there a delay of more than a year in this?

D Ram Reddy: No. The things what we said in 2023, we're already the production like ethylamine, the DMC and all those products are already in production. Now we -- modifications, we have taken last year only the modification decision for the Balaji Specialty Chemicals one, which is going on. You yourself saying that you did not visit from 2023, how can you say what is happening at the plant level.

Once you visit, you will understand what quantum of work is involved, what type of machinery is involved once you visit probably by this month and or next month mid we will be inviting the investor stakeholders for the visit of the plant to witness the expansions going on.

Rajiv Rupani: Okay. My next question was on antidumping duty on DMF and EDA. Any update on that?

D Ram Reddy: DMF, we are not yet applied that one, that old case is still there. And EDA, it was at final stage, but because of this geopolitical situation, government has repelled many products, they made it duty-free, forget regular duty antidumping. So we will have to wait till end of June because those orders given by the Government of India

or exemption of certain products is valid up to, I think, the end of June. Probably after that we will come to know state of all these cases.

Rajiv Rupani: I'll get back in the queue.

Moderator: Thank you. We take this as the last question. I now hand the conference over to Mr. Gagan sir. Thank you, and over to you.

Gagan Dixit: Yes, thanks for all the participants and special thanks to the Balaji Amines Management for sharing their views on the company's fourth quarter fiscal year 2026 We take then this opportunity to thank Mr. Ram Reddy on this -- please once again. Would you like to give any closing comment, sir?

D Ram Reddy: Yes. Thank you. Thank you, Gagan. I would like to thank you all the participants, all the stakeholders who are well -wishers , all the shareholders to showing interest on our company. Definitely, we will not let you down, I once again assure you all. And as I said, we'll be inviting whoever is interested to witness the expansions going on. So, thank you once again. Thank you.

Moderator: Thank you. On behalf of Elara Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.